



AFRICAN ALLIANCE INSURANCE LIMITED
Audited Financial Statement
For The Period Ended 31st December 2024

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Corporate Information

Country of incorporation and domicile	Nigeria	
Company registration number	RC 2176	
Tax Identification Number		
Nature of business and principal activities	The principal activities of the Group are the provision of life assurance, pension business, and related financial services to corporate and retail customers in Nigeria and Ghana	
Directors	Mr. Sylva Ogwemoh (SAN)	Chairman Dissolved 29th October 2024
	Mrs. Joyce Ojemudia	Managing Director – Resigned 31st July 2024
	Alh. Abatcha Bulama	Non-Executive Director Dissolved 29th October 2024
	Dr. Adiele Ekechukwu	Independent Non-Executive Director Dissolved 29th October 2024
	Sir Macaully Atasie	Non-Executive Director Dissolved 29th October 2024
	Dr. Alex Nwuba	Non-Executive Director Dissolved 29th October 2024
Interim Management Board	Mr. Haruna Mustafa	Chairman Appointed 30th October 2024
	Mr. Jacob Erabor	Managing Director Appointed 30th October 2024
	Ms. Oremeyi Longe	Executive Director, Finance Appointed 30th October 2024
	Mr. Wasiu Amao	Executive Director, Technical Appointed 30th October 2024
	Halimatu Khabeeb	Non- Executive Director Appointed 30th October 2024
	Mr. Anthony Achebe	Non- Executive Director Appointed 30th October 2024
Company Secretary	Tope Adebayo LLP	
	FRC/2013/NBA/0000000001586	
Registered Office	112 Broad Street, Lagos.	
Bankers	Ecobank Nigeria Limited Guaranty Trust Bank Limited Fidelity Bank Plc Access Bank Plc	

AFRICAN ALLIANCE INSURANCE PLC

RC: 2176

Audited Financial Statements for The Year Ended 31st December, 2024



Keystone Bank Limited
Sterling Bank Plc
United Bank for Africa Plc
First City Monument Bank Limited

Auditor TAC Professional Services
(Chartered Accountants)

Reinsurer African Reinsurance Corporation
WAICA Reinsurance Corporation Plc
Nigeria Reinsurance Corporation
Continental Reinsurance Plc

Actuary **BECODA CONSULTING**
FRC/2015/PRO/NAS/004/0000001
2946
7, Ibiyinka Olorunnimbe Close,
Victoria Island,
Lagos, Nigeria

Estate Surveyor and Valuer A.C Otegbulu & Co
FRC/2013/NIESV/00000001582

Registrars Carnation Registrars Limited
2a, Gbagada Expressway, Anthony
Village, Lagos.

Regulatory Authority National Insurance Commission
(NAICOM)

Branch and Agency
Networks

Our Vision	To be the most preferred life insurance specialist	
Our Mission	We improve the quality of life of our clients and add value to our shareholders	
Core Values	Accountability	We are responsible
	Accessibility	We are within your reach
	Integrity	We keep our words
	Professionalism	We provide quality service
	Loyalty	We are committed to our stakeholders
	Creativity	We are innovative
Management Team	Mr. Jacob Erabor	Managing Director/CEO
	Ms. Oremeyi Longe	Executive Director - Finance
	Mr. Wasiu Amao	Executive Director - Technical

RESULTS AT A GLANCE

COMPREHENSIVE INCOME STATEMENT	Company			
	31-Dec-2024	31-Dec-2023		
	N'000	N'000	Variance	%
Insurance Revenue	10,252,050	7,089,169	3,162,881	45%
Insurance Service Expenses	(993,960)	(15,978,687)	14,984,727	-94%
Insurance Service Result	9,164,437	(9,034,989)	18,199,426	-201%
Investment income	2,932,368	3,825,525	-864,174	-23%
Profit/(loss) before tax	3,178,027	(4,552,695)	7,730,722	-169%
Profit/(loss) after tax	3,171,909	(4,552,373)	7,724,282	-170%

STATEMENT OF FINANCIAL POSITION	Company			
	31-Dec-2024	31-Dec-2023		
	N'000	N'000		
Total assets	49,501,090	48,792,897	708,193	1.5%
Insurance and investment contract liabilities	40,262,085	43,242,852	(2,980,767)	-6.89%
Total liabilities	45,511,898	47,975,614	(2,463,716)	-5.14%
Total Equity	3,989,192	2,072,666	3,171,910	388.1%

STATEMENT OF DIRECTORS' RESPONSIBILITIES

In accordance with the provisions of the Companies and Allied Matters Act, 2020, the Insurance Act, 2025 and National Insurance Commission's operational guidelines 2011 and the provisions of Financial Reporting Council of Nigeria (Amendment) Act, 2023 the Directors are responsible for the preparation of annual financial statements which reflect a true and fair view of the state of affairs of the Company and the profit or loss and other comprehensive income for the financial year.

The responsibilities of the Directors include ensuring that:

- Appropriate and adequate internal controls are established to safeguard the assets of the Company and to prevent and detect fraud and other irregularities;
- The Company keeps proper accounting records that disclose with reasonable accuracy the financial position of the Company and which ensure the Audited Financial Statements comply with the requirements of the Companies and Allied Matters Act, 2020, the Nigerian Insurance Industry Reform Act 2025 and relevant provisions of the International Financial Reporting Standards,
- The Company has used appropriate accounting policies, consistently applied and supported by reasonable and prudent judgments and estimates, and all applicable accounting standards have been followed; and
- The Audited Financial Statements are prepared on a going concern basis unless it is presumed that the Company will not continue in business.

The Directors accept responsibility for maintaining adequate accounting records as required by:

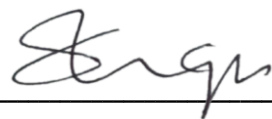
- a. International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB);
- b. Companies and Allied Matters Act, 2020
- c. Insurance Reform Act, 2025;
- d. NAICOM Operational Guidelines and circulars.
- e. Financial Reporting Council (Amendment) Act, 2023.

The Directors are of the opinion that the Audited Financial Statements give a true and fair view of the state of financial affairs of the Company and of its profit or loss. The Directors further accept responsibility for the maintenance of accounting records that may be relied upon in preparing Audited Financial statements as well as adequate systems of internal financial control.

Nothing has come to the attention of the Directors to indicate that the Company will not remain a going concern for at least twelve months from the date of this statement.

SIGNED ON BEHALF OF THE BOARD OF DIRECTORS BY:

Jacob Erhabor
Managing Director
FRC/2025/CIIN/002/580404
Date: 20th April, 2026



Oremeyi Onefuwa Longe
Executive Director – Finance
FRC/2025/PRO/ICAN/001/108374
Date: 20th April, 2026

STATEMENT OF DIRECTORS' RESPONSIBILITIES

In accordance with the provisions of the Companies and Allied Matters Act, 2020, the Insurance Act, 2025 and National Insurance Commission's operational guidelines 2011 and the provisions of Financial Reporting Council of Nigeria (Amendment) Act, 2025 the Directors are responsible for the preparation of annual financial statements which reflect a true and fair view of the state of affairs of the Company and the profit or loss and other comprehensive income for the financial year.

The Directors responsibilities include ensuring that the Company: i. ii. iii. a. implements appropriate internal controls to secure the assets of the Company, prevent and detect fraud and other financial irregularities. keeps accounting records which disclose with reasonable accuracy the financial position of the Company and which ensure that the financial statements comply with the requirements of the Companies and Allied Matters Act, 2020, the Insurance Act, 2003, and NAICOM Operational Guidelines and Circulars. has used appropriate accounting policies, consistently applied and supported by reasonable and prudent judgments and estimates, and that all applicable accounting standards have been followed. The Directors accept responsibility for maintaining adequate accounting records as required by: International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB); b. Companies and Allied Matters Act, 2020 c. Insurance Act, 2025; d. NAICOM Operational Guidelines and circulars. e. Financial Reporting Council (Amendment) Act, 2023. The Directors are of the opinion that the financial statements give a true and fair view of the state of affairs of the Company and of the profit for the year. The Directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of the financial statements, as well as adequate systems of internal control. Nothing has come to the attention of the Directors indicating that the Company will not remain a going concern for at least 12 (twelve) months from the date of approval of the financial statements.



Jacob Erhabor
Managing Director
FRC/2025/CIIN/002/580404
Date: 20th April, 2026



Oremeyi Onefuwa Longe
Executive Director – Finance
FRC/2025/PRO/ICAN/001/108374
Date: 20th April, 2026

REPORTS OF THE DIRECTORS

The Directors submit their report together with the financial statements of African Alliance Insurance Plc for the year ended 31 December 2024.

1. Legal Form

The company was incorporated as a private limited liability company in 1960 under the extant Companies and Allied Matters Act with RC No 2176. The Company became a public liability company following the successful completion of the private placement exercise undertaken by the company in June 2008, On 17 September 2009, the Company became listed on the Nigerian Stock exchange. African Alliance Insurance Plc owns 100% equity of Axiom Air Limited, a cargo airline Company and 98% in Ghana Life Insurance Company Limited, a Life Company in Ghana.

2. Principal activities and corporate development

The principal activity of the Group is the provision of life assurance and pension business to corporate and retail customers in Nigeria.

3. Result for the year

Result for the year	2024	2023
	N'000	N'000
Insurance revenue	10,252,051	7,089,169
Insurance service expenses	(993,959)	(15,978,687)
Insurance service results	9,258,091	(8,889,518)
Net insurance finance income	(93,653)	(145,471)
Management expenses	(1,719,155)	(3,002,463)
Profit before taxation	3,178,027	(4,552,695)
Profit for the year	3,171,909	(4,552,373)
Total comprehensive income for the year	-	-
Per Share Data		
Basic earnings per share (kobo)		
Diluted earnings per share (kobo)		

4. Corporate governance

The Company conducts its business under structured corporate governance environment incorporating majorly the Shareholders in general meeting, the Board, the Board Committees and Management. The Board of Directors is the body responsible for shaping and controlling the strategic business intents of the Company and constantly reviews and presents a balanced and comprehensive assessment of the Company's performance and future prospects. The Company is committed to the principles of Corporate Governance and Best Practices. The business of the Company is conducted with integrity which pays due regard to the legitimate interests of all stakeholders. The Board, in compliance with the guidelines of the National Insurance Commission carries out its oversight function through its standing committees, each of which has a charter that clearly defines its purpose, composition and structure, frequency of meetings, duties, tenure and reporting lines to the Board.

REPORTS OF THE DIRECTORS

THE BOARD OF DIRECTORS

The Board of Directors employs effective tools in the delivery of good corporate practice and other objectives. The Board exercises effective oversight functions on management performance primarily through its committees. The Board may exercise all such powers of the Company as are, by law or the Articles of the Company, required to be exercised by the Company in general meetings. The Board of Directors of the Company is composed of a mix of non-executive and executive members whereby the number of non-executives exceeds the executives while the position of the Chairman of the Board is clearly delineated from that of the Chief Executive Officer.

The Chairman

The Chairman of African Alliance Insurance Plc was duly appointed. The Chairman's primary role is to ensure that the Board carries out its governance role in the most effective manner. The Chairman manages the operations of the Board effectively and ensures that Board Members make valuable contributions towards the decisions of the Board and that the Board operates in harmony.

The Chief Executive Officer

The Chief Executive Officer with members of Management is responsible for implementing the approved strategic and financial plans of the Company in line with the directives of the Board. The CEO sees to the effective utilization and management of the Company's resources in order to ensure profitability of its operations and that all significant matters affecting the going concern of the Company are brought to the attention of the Board.

Independent Director

The Board appointed one independent member who have remained truly independent since their appointments.

(a) ACTIVITIES OF THE BOARD

The Board meets at least quarterly to discuss critical issues affecting the Organisation and performs other responsibilities that fall within its purview as provided in the Company's Article of Association, operating laws, regulations and guidelines. Meetings held within the period were well attended with sufficient notice given well in advance.

Names	Status	May 15			
Mr. Sylva Ogwemoh (SAN)	Chairman	√			
Alh. Abatcha Bulama	NED	√			
Dr. Adiele Ekechukwu	INED	√			
Sir Macaully Atasie	NED	√			
Dr. Alex Nwuba	NED	√			
Mrs. Joyce Ojemudia	MD/CEO	√			

Keys: √- Present

x- Absent

N/A- Not Applicable

REPORTS OF THE DIRECTORS

(b) ACTIVITIES OF THE INTERIM MANAGEMENT AND THE BOARD

On 30 October 2024, the National Insurance Commission (NAICOM) dissolved the erstwhile Board and Management of the Company and directed the immediate constitution and resumption of an Interim Management Board (IMB).

The Interim Management Board assumed office on the same date and was mandated to oversee the affairs of the Company in line with the terms of reference issued by the regulator. The IMB's responsibilities include stabilising the Company's operations, assessing its financial and governance position, implementing immediate remedial actions where necessary, and preparing the Company for the eventual transition to a substantive Board and Management team.

In line with its mandate, the IMB commenced a review of the Company's state of affairs as at 30 October 2024 and developed a strategic roadmap to guide its tenure and ensure an orderly handover process to the incoming substantive Board and Management.

Names	Status	Oct 31	November 4	November 13	November 21
Mr. Haruna Mustafa	Chairman	√	√	√	√
Mr. Jacob Erabor	Managing Director	√	√	√	√
Ms. Oremeyi Longe	Executive Director, Finance	√	√	√	√
Mr. Wasiu Amao	Executive Director, Technical	√	√	√	√
Halimatu Khabeeb	Non- Executive Director	√	X	√	√
Mr. Anthony Achebe	Non- Executive Director	√	√	√	√

Keys: √- Present

x- Absent

N/A- Not Applicable

(c) Board of Committees

i. Audit and Compliance Committee

In line with the National Insurance Commission's Guidelines on corporate governance, the Committee is responsible for ensuring integrity of the figures in the Company's Audited Financial Statements, through its. It also provides oversights on internal control functions, audit and compliance. The Committee reviews the terms of engagement of the Independent Auditors. It also recommends the appointment or reappointment and compensations of the independent auditors to the Board. The Committee also reviews the Company's compliance level to relevant laws, regulations, guidelines, directives and circulars that are currently in force regarding the Company's operations in additions to benchmarking best practices.

REPORTS OF THE DIRECTORS

Below are the dates of the meetings called in 2024 and the attendance:

Names	Status	May 21			
Alh. Abatcha Bulama	Chairman	√	√	√	√
Dr. Adiele Ekechukwu	Member	√	√	√	√
Dr. Alex Nwuba	Member	√	√	√	√
Sir. Macauley Atasie	Member	√	√	√	√
Mrs. Oluchi Nwaizim	Member	√	√	√	√

ii. Enterprise Risk Management and Governance Committee

The Board Enterprise Risk Management and Governance Committee is responsible for ensuring that the generated risks by the Company in its pursuit of its corporate goals and objectives are within the risk appetite level approved by the Board. It also ensures that the mitigating solutions proffered to manage the identified risks are adequate and effective to allow a comfortable solvency level that would support the Company's operations for current and future purpose. In addition, the Committee also ensures that the Organization's governance structures are well established, efficient, working optimally and sustainable.

The recorded attendance at the meeting of the Committee for 2024 is stated below:

Names	Status	May 22			
Sir Macauly Atasie	Chairman – NED	√			
Dr. Alex Nwuba	Member – NED				
Mr. Sylva Ogwemoh (SAN)	Member – Chairman				
Mrs. Joyce Ojemudia	Member – MD/CEO	√			
Dr. Adiele Ekechukwu	Member – INED	√			
Alh. Abatcha Bulama	Member – NED	√			
Dr. Adiele Ekechukwu	Independent Non-Executive Director	√			
Mrs. Oluchi Nwaizim	Company Secretary	√			

BOARD FINANCE, INVESTMENT AND GENERAL PURPOSE COMMITTEE

The Board Finance, Investment and General Purpose Committee is responsible for budget monitoring, evaluating the corporate financial performance in accordance with the approved financial budget targets, comparison of the Company's performance to its peers in the industry, ensuring its operating ratios are competitive and within estimated levels, control of expenses, ensuring the reliability and integrity of the quarterly management accounts submitted to the Regulator, setting the investment policy and conducting periodic reviews of same and approving the Company's investment plan, reviews and evaluates the Company's various investment portfolios amongst other things. In addition, the Committee also oversees all other matters of the Company's operations not specifically assigned to the other Board Committees under its general-purpose roles.

REPORTS OF THE DIRECTORS

The meetings held by the Committee in year 2024 and the recorded attendance by its members are reported below:

Names	Status	May 23			
Dr. Alexander Nwuba	Chairman – NED	√			
Alh. Abatcha Bulama	Member - NED	√			
Dr. Adiele Ekechukwu	Member – Chairman	√			
Sir Macauley Atasie	Member – MD/CEO	√			
Mrs. Oluchi Nwaizim	Member – INED	√			
Mrs. Joyce Ojemudia	Member – NED				

DIRECTORS' INTERESTS IN CONTRACTS

None of the Director has notified the Company for the purpose of Section 303 of the Companies and Allied Matters Act, 2020 of any disclosable interest in contracts in which the Company was involved during the year ended 31 December 2024.

Directors' Interest

The direct and indirect interest of Directors in the issued share capital of the Company as recorded in the register of directors' shareholding and/or as notified by the Directors for the purposes of Section 301 of the Companies and Allied Matters Act, 2020 is as noted. None of the Director has direct and indirect interest in the Company's share capital as at the end of year 2024.

DIRECTORS' SHAREHOLDING

The direct and indirect interest of Directors in the issued share capital of the Company as recorded in the register of directors shareholding and/or as notified by the Directors for the purposes of Section 301 of the Companies and Allied Matters Act, 2020 is as noted. None of the Director has direct and indirect interest in the Company's share capital as at the end of year 2024

7. SHAREHOLDING STRUCTURE

The range of shareholding as at 31 December 2024 is as follows:

Major Shareholding

The following shareholders held more than 5% of shares of the Company according to the Register of members as at 31 December 2024:

Directors	2024		2023	
	No. of shares held	% of shares held	No. of shares held	% of shares held
Conau Limited	11,868,700,000	58	11,868,700,000	58
Universal Insurance Plc	1,200,000,000	6	1,200,000,000	6
	13,068,700,000	100	13,068,700,000	100

REPORTS OF THE DIRECTORS

5. Property, Plant & Equipment

Movement in property, Plant and equipment during the year is shown in note 15 of the notes to the financial statements. In the opinion of the Directors, the market value of the Company's property is not less than the value shown in the financial statements

6. Dividends

The Directors did not recommend dividend for the financial year ended 31 December 2024

7. Event after reporting date

There are no events after the reporting date which could have had material effect on the state of affairs of the Company, and the result for the year ended 31 December 2024 which have not been adequately provided for in the financial statements.

8. Reinsurance arrangement

The Company maintains reinsurance treaties with African Reinsurance Corporation, WAICA Reinsurance Corporation Plc, Nigeria Reinsurance Corporation, and Continental Reinsurance Plc during the financial year under review.

9. Business outlook

The Company maintains reinsurance treaties with African Reinsurance Corporation, WAICA Reinsurance Corporation Plc, Nigeria Reinsurance Corporation, and Continental Reinsurance Plc during the financial year under review.

10. Employment and Employees**A. Employment of Physically Challenged Persons**

The Group continues to maintain a policy of giving fair consideration to applications for employment made by physically challenged persons with due regard to their abilities and aptitudes. The Group's policy prohibits discrimination against physically challenged persons in the recruitment, training and career development of its employees. In the event of members of staff becoming disabled, efforts will be made to ensure that their employment with the Group continues and appropriate training arranged to ensure that they fit into the Group's working environment. As at 31 December 2024, the Group had no disabled persons in its employment.

B. Health, Safety and Welfare

Health, safety and Welfare regulations for employees are enforced within the premises of the Company and employees are fully aware of existing safety regulations. The Company provides safety equipment at all its premises and also has in force an arrangement with a Health Management Organisation (HMO) to provide medical services to all categories of employees. The Company has enhanced safety measures in this regard as well as educating staff and its clients on appropriate hygiene manners. The Company also has regulations and best practices in relevant to Health and Safety risks in all its operating locations.

C. Employee Involvement and Training

The Company has continued to ensure that it maintains an efficient and effective information dissemination system. Information is circulated constantly to update the various categories of staff in terms of the Company's values, goals, policies, performance, procedures and progress. Employees at various levels are encouraged to express their opinions on issues ranging from personal to corporate management matters.

REPORTS OF THE DIRECTORS

This is mainly achieved at different meetings such as Staff General Meetings, Departmental/Divisional Meetings, Zonal Meetings, Executive Management Meetings and Branch Managers Meetings, all of which are structured and held at stated periods. African alliance Insurance PLC places high premium on employee development.

The Company continuously trains its staff both locally and internationally and encourages each staff to embrace professional tutelage and certification. With its corporate policy on employee development, the Company is able to strengthen the skills and competencies of its employees with the aim of increasing the value that we bring to our clients, business partners and other stakeholders.

D. Whistle blowing policy

The Company has installed an effective whistle blowing mechanism which encourages staff to put forward their opinion with regard to certain corporate and operational issues under strict confidence. The mechanism also provides the needed protection to such staff to ensure that they are not unnecessarily victimised for whistle blowing.

11. Auditor

The Auditors, Messrs TAC Professional Services (Chartered Accountants) have indicated their willingness to continue in office in compliance with NAICOM Corporate Governance regulation and section 401(2) of the Companies and Allied Matters Act, 2020.

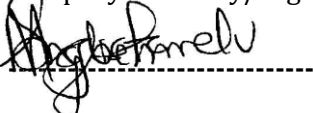
COMPLIANCE WITH CORPORATE GOVERNANCE FOR THE YEAR ENDED 31 DECEMBER 2024

In line with the global principles of Corporate Governance and the Nigerian Code on Corporate Governance Regulations 2018, the Company is applying the stipulated principles and making reports on its level of implementation regarding the requirements. The Company has a vibrant and efficient Board and it meets at the end of every quarter. The Board Committees are equally viable and are efficiently working in line with their Terms of References. The company submits annually its corporate governance practises in the required template to the Financial Reporting Council of Nigeria in line with regulating requirements.

By Order of the Board

Tope Adebayo & Co.

Company Secretary/Legal Adviser



FRC/2013/NBA/0000000001586

OVERVIEW

Operational risk is the risk of loss resulting from inadequate or failed internal processes, people, systems and external events. In line with best practice, operational risk in the Company is composed of the following risk types: operations risk, legal risk, regulatory compliance risk, financial crime risk, people risk, property, technology, vendor, financial, and environmental risks.

The Company recognises the significance of operational risk, which is inherent in all areas of our business. Operational risk is managed within acceptable levels through an appropriate level of management focus and resources.

Objectives

The Company is committed to the management of operational risks. The Company's operational risk management framework aims to:

- Reduce losses arising from operational risk– a key role of operational risk management in the Company is to reduce losses from operational failure and in particular avoid potentially large or catastrophic risk losses;
- Improve performance measurement– the Company's improved understanding of its operational risk profile shall enable appropriate allocation of risk and economic capital to individual lines of business, which would allow improved performance measurement and evaluation of activities;
- Ensure better control of operations– the Company expects that increased understanding of risk activities within various business units, the Board and senior management will lead to improvement in the control of operations and the emergence of a more proactive operational risk management culture;
- Provide early warning signals of deterioration in the Company's internal control system; and
- Raise awareness of operational risk in the Company from top to bottom through the implementation of an enterprise-wide operational risk approach.

Philosophy and principles

The following philosophy and principles govern the management of operational risk in the Company:

- The Board of Directors is responsible for setting the operational risk strategy of the Company and its implementation.
- The Board approves and periodically reviews the operational risk management framework.
- Operational risk in the Company is coordinated through a centralised and independent risk management function.
- Ownership, management and accountability for operational risk are decentralised with business and functional units.
- There are consistent standards for defining, evaluating, measuring, monitoring and reporting operational risk.
- The Company's operational risk management practices are in line with best practices.
- Operational risk-related issues are taken into consideration in business decisions including new product and process designs.
- Operational risk and loss events are reported openly and fully to the appropriate levels once they are identified.
- Adequate processes and systems for identifying, measuring, monitoring, reporting and controlling operational risks are being implemented by the Company.

Methodologies

In order to meet its operational risk management objectives, each business function within the Company is required to identify, assess, measure and control its operational risk in line with the policy set by the Board.

The following are some of the key tools and techniques used by each business unit, in line with the nature and scale of the business risks:

Operational risk reporting template

This template is used for operational risk reporting on a monthly basis. Issues to be reported using this template take the form of significant operational risk exposures, exceptions from Key Risk Indicators (KRI) analysis and trending, exceptions from Control Risk Self-Assessment (CRSA), operational and fraudulent losses incidences, significant control breakdowns rectified during the month, all exceptions to corporate governance standards and outstanding audit issues, and any other issues with operational risk implications.

Real time incidence reporting

This is for reporting urgent and significant operational risk issues/events that have to be escalated to relevant senior management stakeholders within 72 hours of the incidence without having to wait for the monthly risk reporting cycle. Examples of significant operational risk issues are: fraud, accidents and whistle blowers' alerts.

Risk and Control Self-Assessment (RCSA)

Risk and control self-assessment is a key component of the Company's operational risk framework and involves, on a quarterly basis, each business unit within the Company proactively identifying and assessing its significant operational risks and the controls in place to manage those risks.

Internal loss data

The tracking of internal loss event data is a key component of the Company's operational risk framework. Internal loss events and data are analysed with a view to focusing attention on where they are needed and to forestall re-occurrence through sharing lessons learnt.

Key Risk indicators (KRIs)

Key risk indicators are measures that track the risk profile of the Company. Each business unit within the Company develops and monitors key risk indicators for its significant risks, which:

- target key operational risk exposures for the business unit;
- enable management of the underlying causes of risk exposures;
- use thresholds aligned to the Company's risk appetite and enable risk-based decision-making;
- are monitored with a frequency that matches the nature of the risks;
- complement the self-assessment and loss-event collection processes; and
- are reported as part of monthly management reporting.

Key operational risks

Major operational risks faced by the Company are financial crimes (internal fraud, external fraud and money laundering). Each incident is analysed, control failures identified and new controls designed. The Company is also investing in enhanced loss control. Key counter-measures put in place include:

- 17



- the overall governance is achieved through the Board and the Board Committees.
- the approval of operational risk policies and standards of risk identification, measurement, assessment, monitoring and reporting is the responsibility of the Board and Board Committees;
- the operational risk management framework implementation and review is owned by the Risk Management department;
- the implementation of the operational risk framework within the branches, departments/business units and the day-to-day management of operational risks is owned by their respective core processes and executed through their management structure; and
- the assurance role that operational risk management controls are effective is owned by the internal audit function.

The Board and Board Committees

The Board of Directors, Board Audit & Risk Committees and the Management Risk Committee shall have overall oversight function for operational risk management. It shall be their responsibility to ensure effective management of operational risk and adherence to the approved operational risk policies.

Board of Directors

The Board of Directors:

Sets the Company's operational risk strategy and direction in line with the Company's corporate strategy; Gives final approval for the Company's operational risk management framework, policies and procedures; and periodically reviews the framework to ensure its relevance and effectiveness; and ensures that senior management is performing its risk management responsibilities.

Board Enterprise Risk Management and Governance Committee

The Board Committees:

- Ensures that the operational risk management framework is comprehensive and in line with the Company's strategy;
- Approves the operational risk management framework and oversees its implementation;
- Establishes a management structure capable of implementing the framework with clear lines of responsibility, accountability and reporting; and
- Reports significant operational risk issues to the Board of Directors.

Management Risk Committee

The Company's Management Risk Committee:

- Ensures that the framework is implemented consistently across the Company;
- Ensures policies and procedures are developed for operational risk management;
- Ensures that all levels of staff understand their responsibilities with respect to operational risk management;
- Reviews the Company's risk dashboard and assesses potential impact on the activities of the Company or business unit;
- Ensures the Company's risk profile is within established risk parameters;
- Ensures that staff are adequately trained and have access to the necessary resources;
- Obtains and reviews periodic reports on operational loss events, risk profiling and control failures Company-wide and ensures corrective measures are being implemented;
- Ensures that the outputs from the operational risk management process are factored into the day-to-day management decisions of the Company; and
- Ensures that the Company's operational policies and procedures promote the desired risk culture.

Chief Risk Officer

The Chief Risk Officer shall:

- Lead the development and implementation of operational risk management across the Company.
- Develop operational risk management strategy, principles, framework and policy.
- Implements appropriate operational risk management processes and methodologies.
- Advise and coach management and business units on risk management.
- Coordinate the appropriate and timely delivery of risk management information.
- Exercise supervisory responsibilities over operational risk management in addition to responsibility over insurance risk, market risk, credit risk and other key risk types.
- Approve all reports, operational risk policy proposals, recommendations and other documents prepared for presentation to the Management Risk Committee, and Board Audit & Risk Committees.

Regulatory framework

Regulators are primarily interested in protecting the rights of policyholders and monitor them closely to ensure that the Company is satisfactorily managing affairs for their benefit. At the same time, regulators are also interested in ensuring that the Company maintains an appropriate solvency position to meet unforeseen liabilities arising from economic shocks or natural disasters, monitor them closely to ensure that the Company is satisfactorily managing affairs for their benefit.

Future outlook

The Company is on a journey to embedding a robust operational risk management practice, culture and environment beyond complying with regulatory requirements. The goal is to make risk management a value driver that enhances and contributes to stakeholders' value and the long-term existence and survival of the institution. To this end, a number of initiatives and projects are being initiated. When completed, it will enhance the risk management culture and practices within the organisation and by extension significantly reduce the Company's operational risk exposures and incidences, monitor them closely to ensure that the Company is satisfactorily managing its affairs for their benefit. At the same time, regulators are also interested in ensuring that the Company maintains an appropriate solvency position to meet unforeseen liabilities arising from natural disasters.

Some of these key initiatives and projects are as follows:

- Sourcing of a risk solution that has capacity to support the management of insurance risks, operational risk, credit risk and market risk in line with best practices and ultimately complying with risk-based capital regulation in anticipation;
- Structuring a business continuity management framework and infrastructure;
- Review and update of existing operational risk management processes and introduction of new ones; and
- Ongoing aggressive Company-wide operational risk awareness campaign to increase employees' risk-awareness level, competence and involvement in managing risks.

The Company's governance system is strong and support the entity to attain its set objectives in a sustainable manner. It is a source of strength that encompasses the entire organizational structure, and it is collectively accepted as a corporate culture.

The Company's main governance structures comprises of the Shareholders in general meeting, the Board of Directors and its Committees, the Management, headed by the MD/CEO and the other Stakeholders. The composition and methods of operation of these corporate organs are tailored to elicit transparency and openness to ensure fairness, justice, good ethics, and fair judgments in their dealings. The Board and its committees' memberships are made up of Non-Executive Directors (NEDs), Independent Non-Executive Directors (INEDs) and Executive Directors (EDs). The position of the Chairman of the Board is separate from the MD/CEO. The Chairman is not a member of any Board Committee, and the Managing Director/Chief Executive Officer is not a member of the Audit Committee. The Executive Directors do not partake in discussions concerning their remunerations and disciplines and the Chief Internal Auditor reports to the Board Audit Committee with a dotted reporting line to the MD/CEO. The Company Secretary also reports to the Board with a dotted reporting line to the MD/CEO.

The Board in line with the above stated characteristics, and in line with the Nigerian Code of Corporate Governance (NCCG) 2018 principles and the operating NAICOM Corporate Governance Guidelines 2021, has evolved a good governance culture for the Company and the result is evident in the high disciplined operating environment. The Board and its Committees enjoy good harmony, there is strong moral ethics, effective and efficient processes and procedures, integrity, and reliability. The corporate governance culture has continued to flourish and constantly benchmarked against best practices.

In addition, the NCCG 2018 philosophy of Apply and Explain presents the opportunity of sharing the basis or reasoning in applying each of the NCCG 2018 principles in a particular manner based on the Company's antecedents and corporate trajectory, it explores the need to improve on the level of its implementation of the NCCG principles or adopt different application modules to achieve better results.

The Board recognizes that the 2018 NCCG Principles represents minimum standards for private and public entities in Nigeria aimed at instilling and establishing good corporate governance systems. Based on the foregoing, the Board dynamically updates its corporate governance practices by benchmarking best practices continuously in other jurisdictions.

In line with the provisions of Section 405 of the Companies and Allied Matters Act, 2020; we have reviewed the audited financial statements of the Company for the year ended 31 December 2024 and based on our knowledge confirm as follows:

- a) the audited financial statements do not contain any untrue statement of material fact or omit to state a material fact, which would make the statements misleading;
- b) the audited financial statements and all other financial information included in the statements fairly present, in all material respects, the financial condition and results of operations of the Company as at and for the year ended 31 December 2024.
- c) the Company's internal controls have been designed to ensure that all material information relating to the Company is received and provided to the Auditor in the course of the audit.
- d) Contract Measured the Company's internal controls were evaluated within 90 days of the financial reporting date and are effective as at 31 December 2024.
- e) that we have disclosed to the Auditor that there are no significant deficiencies in the design or operation of the Company's internal controls which could adversely affect the Company's ability to record, process, summarise and report financial data, and have discussed with the Auditor any weaknesses in internal controls observed in the course of the Audit.
- f) that we have disclosed to the Auditor that there is no fraud involving management or other employees which could have any significant role in the Company's internal control; and
- g) there are no significant changes in internal controls or in other factors which could significantly affect internal controls subsequent to the date of this audit, including any corrective actions with regard to any observed deficiencies and material weaknesses.

AFRICAN ALLIANCE INSURANCE PLC

RC: 2176

Audited Financial Statements for The Year Ended 31st December, 2024



A handwritten signature in black ink, appearing to read 'J Erhabor', positioned above a horizontal line.

Jacob Erhabor

Managing Director

FRC/2025/CIIN/002/580404

Date: 20th April, 2026

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Oremeyi Onefuwa Longe

Executive Director – Finance

FRC/2025/PRO/ICAN/001/108374

Date: 20th April, 2026

Management Report on the Assessment of Internal Control Over Financial Reporting

In accordance with the guidance of Securities and Exchange Commission (SEC) and Financial Reporting Council of Nigeria (FRC) on management's assessment of Internal Control Over Financial Reporting for the year ended 31 December 2024, we hereby attest as follows:

1. African Alliance Insurance Plc's management is responsible for establishing and maintaining a system of internal control over financial reporting ("ICFR") and attest that the entity's ICFR were effective as of 31 December, 2024.
2. African Alliance Insurance Plc's management has designed and maintained an internal control system as recommended by the Investment and Securities Act, 2007 which is able to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with International Financial Reporting Standards (IFRS).
3. That the Audited Financial Statements do not contain any untrue statement of material fact or omit to state a material fact, which would make the statements misleading.
4. In evaluating the effectiveness of the entity's ICFR, we adopted the Integrated Framework issued by the Committee of Sponsoring Organisations of the Treadway Commission (COSO). Based on our evaluation, we attest that the Internal Control Over Financial Reporting of African Alliance Insurance Plc is effective as of 31 December 2024.
5. Management takes responsibility to remediate deficiencies where identified. Any significant deficiencies in the design and operation of internal controls which could adversely affect the financial information of the entity has been disclosed to the independent Auditor and the Audit Committee.

Our auditor, Messrs TAC Professional Services, has issued an attestation report on management's assessment of the entity's internal control over financial reporting as of 31 December 2024. This report will be filed as part of the annual report of African Alliance Insurance Plc.

Signed on behalf of the Directors by:

Date:



Jacob Erhabor
Managing Director
FRC/2025/CIIN/002/580404
Date: 20th April, 2026



Oremeyi Onefuwa Longe
Executive Director - Finance
FRC/2025/PRO/ICAN/001/108374
Date: 20th April, 2026

AFRICAN ALLIANCE INSURANCE PLC

RC: 2176

Audited Financial Statements for The Year Ended 31st December, 2024



subsequent to the date of their evaluation including any corrective actions with regard to significant deficiencies and material weaknesses.

A handwritten signature in black ink, appearing to read "Jacob Erhabor", is positioned above a horizontal line.

Jacob Erhabor

Managing Director FRC/2025/CIN/002/580404

Date: 20th April, 2026

CERTIFICATION OF INTERNAL CONTROL OVER FINANCIAL REPORTING

To comply with the Financial Reporting Council (FRC) Guidance on Management Report on Internal Control Over Financial Reporting, I hereby make the following statements regarding the internal controls African Alliance Insurance PLC for the year ended 31 December 2024.

I, Oremeyi Onefuwa Longe certify that

(a) I have reviewed the management's assessment on Internal Control over financial reporting of African Alliance Insurance Plc

(b) Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the year covered in this report.

(c) Based on my knowledge, the financial statements and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the Company as of, and for, the periods presented in this report.

(d) The Company's other certifying officer and I:

i are responsible for establishing and monitoring internal controls

ii have designed such internal controls and procedures, or caused such internal controls and procedures to be designed under our supervision, to ensure that material information relating to the Company is made known to us, particularly during the period in which this report is being prepared.

iii have designed such internal control system, or caused such internal control system to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and preparation of financial statements to external purposes in accordance with generally accepted accounting principles;

iv have evaluated the effectiveness of the Company's internal controls and procedures as of a date within 90 days prior to the report and presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of the end of the period covered by this report based on such evaluation.

(e) The Company's other certifying officer and I have disclosed, based on our most recent evaluation of internal control system, to the Company's auditors and audit committee of the Company's board of directors (or persons performing the equivalent functions):

i All significant deficiencies and material weaknesses in the design or operation of the internal control system which are reasonably likely to adversely affect the Company's ability to record, process, summarize and report financial information; and

ii Any fraud, whether or not material, that involves management or other employees who have a significant role in the Company's internal control system.

(f) The Company's other certifying officer(s) and I have identified, in the report whether or not there were significant changes in internal controls or other facts that could significantly affect internal controls

AFRICAN ALLIANCE INSURANCE PLC

RC: 2176

Audited Financial Statements for The Year Ended 31st December, 2024



subsequent to the date of their evaluation including any corrective actions with regard to significant deficiencies and material weaknesses.

A handwritten signature in dark ink, appearing to read "O Longe", is positioned above a horizontal line.

Oremeyi Onefuwa Longe

Executive Director –

Finance FRC/2025/PRO/ICAN/001/108374

Date: 20th April, 2026

REPORT OF THE AUDIT COMMITTEE

In accordance with the provisions of Section 404(7) of the Companies and Allied Matters Act, 2020, we the Members of the Audit Committee of African Alliance Insurance Plc, have carried out our statutory functions under the Act, and hereby report as follows:

- We have reviewed the scope and planning of the audit for the year ended 31 December 2024 and we confirm that they were adequate;
- The Company's reporting and accounting policies as well as internal control systems conform to legal requirements and agreed ethical practices; and
- We are satisfied with the departmental responses to the external auditor's findings on management matters for the year ended 31 December 2024.

Finally, we acknowledge and appreciate the co-operation of Management and Staff in the conduct of these duties.



Alh.KabirTundeSarumi
FRC/2013/IODN/00000003715
 April 20, 2026

Members of the Audit Committee

Alh.KabirTunde Sarumi	-	Chairman
Dr. Raphael Naji Attu	-	Member
Ms. Juliet Ebere Gbaka	-	Member
Dr.Abatcha Bulama	-	Member
Mr. Macauley Atasie	-	Member

The Company Secretary/Legal Adviser acted as the Secretary to the Committee



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Plot 22, Adebisi Ogunniyi Crescent,
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Lekki Phase 1, Lagos, Nigeria
Tel: +234 906 284 0807 | +234 906 224 0810

Abuja: Suite 30, Block B, Landmark Plaza,
Plot 3124, Ibrahim Babangida Way,
Maitama, Abuja.
Tel: +234 906 284 0801
info@tacgroupng.com
www.tacgroupng.com

INDEPENDENT AUDITORS REPORT **TO THE MEMBERS OF AFRICAN ALLIANCE INSURANCE PLC**

Report on the Audited Financial Statements

Opinion

We have audited the financial statements of African Alliance Insurance Plc ("the Company"), which comprise the statement of financial position as at 31 December 2024, and the statements of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

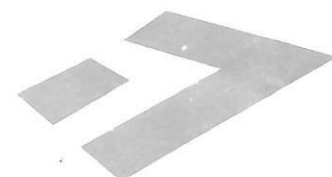
In our opinion, the financial statements present fairly, in all material respects, the financial position of African Alliance Insurance Plc as at 31 December 2024, and of its financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) and the requirements of the Companies and Allied Matters Act, 2020, the Insurance Act 2003, the Financial Reporting Council of Nigeria Act 2023, and relevant National Insurance Commission (NAICOM) guidelines and circulars.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of **African Alliance Insurance Plc** in Nigeria, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

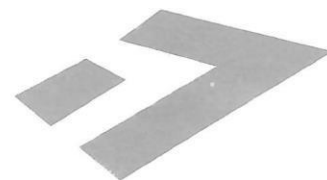
Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the interim financial statements of the current period. These matters were addressed in the context of our audit of the interim financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.





Key Audit Matter	How the matter was addressed in the audit
Actuarial valuation of insurance contract liabilities The Company has material insurance contract liabilities of ₦ 37. 4 billion (2023: ₦40.3 billion) Actuarial valuation of these insurance contract liabilities, including reinsurance contract assets is an area that involves significant assumptions and judgment over uncertain future outcomes and therefore was an area of significance to our audit. Economic assumptions such as discount rates, time value of money, risk adjustment for non-financial risk involve significant judgement which are applied in setting these assumptions and small changes in a number of these key assumptions could have a material impact on the calculation of the liabilities. Insurance contract liabilities, related accounting policies and significant judgments and assumptions are disclosed in (Reinsurance contract assets and Insurance contract liabilities), (Insurance contracts and insurance contract liabilities) and (financial instruments) respectively to the financial statements.	Our audit procedures included the following: • We gained an understanding of the Company's IFRS 17 implementation process including the approach for classification of insurance contracts for the purpose of measuring insurance contract liabilities. • Tested underlying support documentation for the inputs into the valuation of insurance contract liabilities. • We assessed the competence and objectivity of the Company's independent actuary, confirming they are qualified and affiliated with the appropriate industry bodies. • With the assistance of our in-house staff, we performed the following audit procedures on the Company's actuarial reports: • We considered the appropriateness of the methodology and assumptions used in the valuation of the insurance contracts liabilities with reference to the Company's policies and the requirements of the relevant accounting standard. • We considered the appropriateness of the noneconomic assumptions used in the valuation of the insurance contract liabilities by making reference to Company-specific and industry data. • We reviewed the qualitative and quantitative disclosures for appropriateness and reasonableness to ensure conformity with required guidelines of National Insurance Commission (NAICOM) and IFRS 17.
Solvency Margin Compliance Why the matter was considered to be a Key Audit Matter In accordance with the provisions of the Insurance Act of Nigeria, NAICOM Prudential Guidelines, and other applicable regulatory requirements, insurance companies are required to maintain a minimum solvency margin at all times. The solvency margin represents the excess of admissible assets over insurance liabilities and other obligations and is a critical indicator of the Company's financial strength and ability to meet policyholder obligations as they fall due. The determination of the solvency margin involves significant judgement in identifying admissible assets, measuring insurance and investment contract liabilities in accordance with IFRS 17 and IFRS 9, and ensuring appropriate classification and exclusion of non admissible assets as prescribed by NAICOM. Given the significance of the balances involved, the regulatory importance of solvency	Our audit procedures included, among others, the following: • Obtained management's computation of the solvency margin and assessed its compliance with the relevant provisions of the NAICOM Prudential Guidelines and the Insurance Act. • Evaluated the appropriateness of assets included in the solvency margin computation by assessing their admissibility in line with regulatory requirements. • Tested, on a sample basis, the existence and valuation of key admissible assets included in the computation by reference to supporting documentation such as bank statements, investment schedules, valuation reports, and third-party confirmations where available. • Reviewed the measurement of insurance contract liabilities and investment contract liabilities used in the solvency margin computation, including consideration of the actuarial valuation performed in accordance with IFRS 17. • Assessed whether any material non admissible





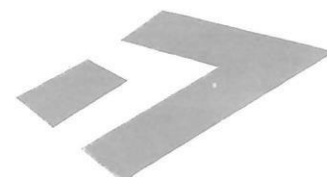
compliance, and the potential impact of non compliance on the Company's operations and regulatory standing, we considered the solvency margin assessment to be a key audit matter.	assets or regulatory adjustments were appropriately excluded from the solvency margin calculation. • Evaluated the adequacy of disclosures relating to solvency margin compliance in the financial statements.
Insurance Revenue Recognition Why the matter was considered to be a Key Audit Matter Insurance revenue represents a significant component of the Company's performance and is a key driver of profitability. Under IFRS 17 – Insurance Contracts, insurance revenue is recognised based on the provision of insurance coverage and services over the coverage period, rather than on premium receipts. This requires appropriate identification of insurance contracts, determination of coverage periods, and accurate allocation of revenue between earned and unearned portions. The determination of insurance revenue involves significant judgement, particularly in relation to the completeness of premium data, cut-off at the reporting date, accuracy of production reports, and alignment of underwriting data with actuarial valuations. In addition, the Company operates across multiple classes of business with varying policy durations and risk characteristics, which increases the complexity of revenue recognition. Given the materiality of insurance revenue, the judgement involved in its recognition under IFRS 17, and the risk of material misstatement arising from inappropriate timing, completeness, or valuation of revenue, we considered insurance revenue recognition to be a key audit matter.	Our audit procedures included, among others, the following: • Obtained an understanding of the Company's underwriting and premium recording processes and assessed the design and implementation of relevant controls over insurance revenue. • Evaluated management's insurance revenue recognition methodology for compliance with the requirements of IFRS 17. • Tested, on a sample basis, insurance contracts by inspecting underlying policy documents to confirm policy inception dates, coverage periods, premiums charged, and classification by class of business. • Recalculated insurance revenue for selected policies by assessing the allocation of premiums between earned and unearned portions based on the coverage period. • Tested the completeness and accuracy of production reports by reconciling them to the general ledger and trial balance. • Performed cut-off testing around the reporting date to ensure that insurance revenue was recognised in the appropriate accounting period. • Compared premium data used by the actuarial expert in the insurance contract liability valuation with the Company's accounting records and investigated significant differences. • Assessed the adequacy of disclosures relating to insurance revenue in the financial statements.

Information Other than the Financial Statements and Audit Report thereon

The Directors are responsible for the other information. The other information comprises the information included in [the directors' report, chairman's statement, audit committee report, Value added statement and financial summary but does not include the financial statements and our audit report thereon.

Our opinion on the interim financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the interim financial statements, our responsibility is to read the other information and in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.





Responsibilities of the Directors and Those Charged with Governance for the Financial Statements

The company's directors are responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards, and requirements of the Companies and Allied Matters Act of Nigeria, Cap C20 LFN 2020, the Financial Reporting Council of Nigeria Act, 2023, the Insurance Act 2003 and relevant National Insurance Commission (NAICOM) guidelines and circulars and for such internal control as the directors determine is necessary to enable the preparation of the financial statements that are free from material misstatements, whether due to fraud or error.

In preparing the interim financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

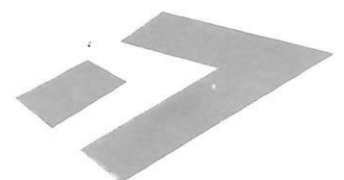
Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the interim financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern. Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the company to express an opinion on the financial statements.





We are responsible for the direction, supervision and performance of the company audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the benefits of public interest such communication.

Report on Other Legal and Regulatory Requirements

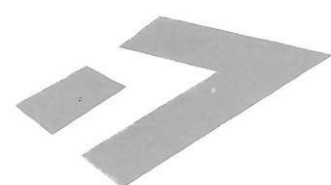
As required by the Companies and Allied Matters Act of Nigeria, Cap C20 LFN 2020 we report to you, based on our audit, that:

1. we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
2. in our opinion proper books of account have been kept by the company, so far as appears from our examination of those books; and
3. The company statement of financial position and profit and loss account are in agreement with the books of account.
4. The company financial statement is in compliance with section 28 (2) of the Insurance Act 2003.



Lagos, Nigeria
21st April 2026

TUNDE FANIYI
FRC/2012/PRO/ICAN/004/00000000325
For: TAC Professional Services
(Chartered Accountants)



STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES

1. General Information

African Alliance Insurance Plc ("the Company") was incorporated as a private limited liability company in 1960 under the extant Companies and Allied Matters Act with RC No 2176. The Company became a public liability company following the successful completion of the private placement exercise undertaken by the company in June 2008. On 17 September 2009, the Company became listed on the Nigerian Stock Exchange. The address of the Company's registered office is 54 Awolowo Road, Ikoyi, Lagos.

The Company is principally engaged in the business of providing risk underwriting for life and related financial services and pension services to its customers. Such services include provision of life insurance services to both corporate and individual customers.

Subsidiaries

The consolidated financial statements include the financial statements of the Company and its subsidiaries:

- African Alliance Insurance Plc owns 100% equity of Axiom Air Limited, a cargo airline Company
- African Alliance Insurance Plc owns 98% in Ghana Life Insurance Company Limited, a Life Company in Ghana.

Ownership structure

The shares of the company were fully owned by Nigerian Citizens and associations.

Authorisation for issue

The financial statements of African Alliance Insurance Plc for the year ended 31 December 2024 were authorised for issue by the Board of Directors on 13 April 2026 in accordance with a resolution of the Directors

2. Summary of Significant Accounting Policies

The significant accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1 Going Concern

These financial statements have been prepared on the going concern basis. The Company has no intention or need to reduce substantially its business operations. The management believes that the going concern assumption is appropriate for the Company due to sufficient capital adequacy ratio and projected liquidity, based on historical experience that short term obligations will be refinanced in the normal course of business. Liquidity ratio and continuous evaluation of current ratio of the Company is carried out by the Company to ensure that there are no going concern threats to the operations of the Company.

2.2 Basis of Preparation and Compliance with IFRS

The Company's financial statements for the year ended 31 December 2024 have been prepared in accordance with International Financial Reporting Standards issued by the International Accounting Standards Board and in compliance with the relevant provisions of the Financial Reporting Council of Nigeria, (Amendment) Act 2023, the Companies and Allied Matters Act, 2020, the Insurance Act, 2003 and the Prudential Guidelines issued by National Insurance Commission.

2.2.1 Basis of measurement

The financial statements are prepared on the historical cost basis except for the following:

- Financial Instruments at fair value through profit or loss
- Financial Assets classified as at fair value through other comprehensive income which are measured at fair value through other comprehensive income
- Land and building (included in property and equipment) which are carried at a revalued amounts;
- Loans and receivables and debt instruments and financial liabilities which are measured at amortised costs; and

STAT-EMENT OF SIGNIFICANT ACCOUNTING POLICIES

- Investment properties which are measured at fair value.

2.3 Critical Accounting Estimates, Judgments and Assumptions

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Company's accounting policies. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgments about carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates under different assumptions and conditions. Changes in assumptions may have a significant impact on the financial statements in the period the assumptions changed. Management believes that the underlying assumptions are appropriate and that the Company's financial statements therefore present the financial positions and results fairly. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in note 2.4.

2.4 Judgments, Estimates and Assumptions

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised, if the revision affects only that year, or in the year of the revision and future years, if the revision affects both current and future years. Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements are described below:

2.4.1 Income Taxes

Significant estimates are required in determining the provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain. The Company recognises liabilities for anticipated tax issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions.

2.4.2 Retirement Benefits

The present value of the retirement benefit obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. Any changes in these assumptions will impact the carrying amount of gratuity obligations. The assumptions used in determining the net cost (income) for gratuity include the discount rate, rate of return on assets, future salary increments and mortality rates.

The Company determines the appropriate discount rate at the end of the year. This is the interest rate that should be used to determine the present value of estimated future cash outflow expected to be required to settle the gratuity obligations. In determining the appropriate discount rate, the Company considers the interest rates of high-quality government bonds that are denominated in the currency in which the benefits will be paid and that have terms to maturity approximating the terms of the related gratuity liability. Other key assumptions for gratuity obligations are based in part on current market conditions.

In most cases, no explicit assumptions are made regarding the future rates of claims inflation or loss ratios. Instead, the assumptions used are those implicit in the historical claims development data on which the projections are based. Additional qualitative judgment is used to assess the extent to which past trends may not apply in future, (e.g. to reflect one-off occurrences, changes in external or market factors such as public attitudes to claiming, economic conditions, levels of claims inflation, judicial decisions and legislation, as well as internal factors such as portfolio mix, policy features and claims handling procedures) in order to arrive at the estimated ultimate cost of claims that present the likely outcome from the range of possible outcomes, taking account of all the uncertainties involved.

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Similar judgments, estimates and assumptions are employed in the assessment of adequacy of provisions for unearned premium. Judgment is also required in determining whether the pattern of insurance service provided by a contract requires amortisation of unearned premium on a basis other than time apportionment.

2.4.3 Fair Valuation of Investment Properties

The fair value of investment properties is based on the nature, location and condition of the specific asset. The fair value is determined by reference to observable market prices. The fair value of investment property does not reflect the related future benefits from this future expenditure. These valuations are performed annually by external appraisers. Assumptions are made about expected future cash flows and the discounting rates.

2.5 New standards, interpretations and amendments**(a) New standards, interpretations and amendments adopted from 1 January 2025**

The following amendments are effective for the period beginning 1 January 2024:

- Supplier Finance Arrangements (Amendments to IAS 7 & IFRS 7);
- Lease Liability in a Sale and Leaseback (Amendments to IFRS 16);
- Classification of Liabilities as Current or Non-Current (Amendments to IAS 1); and Non-current Liabilities with Covenants (Amendments to IAS 1).

These amendments to various IFRS Accounting Standards are mandatorily effective for reporting periods beginning on or after 1 January 2025.

Supplier Finance Arrangements (Amendments to IAS 7 & IFRS 7)

On 25 May 2023, the IASB issued Supplier Finance Arrangements, which amended IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments: Disclosures.

The amendments require entities to provide certain specific disclosures (qualitative and quantitative) related to supplier finance arrangements.

Lease Liability in a Sale and leaseback (Amendments to IFRS 16);

On 22 September 2022, the IASB issued amendments to IFRS 16 — Lease Liability in a Sale and Leaseback (the Amendments).

Prior to the Amendments, IFRS 16 did not contain specific measurement requirements for lease liabilities that may contain variable lease payments arising in a sale and leaseback transaction. In applying the subsequent measurement requirements of lease liabilities to a sale and leaseback transaction, the Amendments require a seller-lessee to determine 'lease payments' or 'revised lease payments' in a way that the seller-lessee would not recognise any amount of the gain or loss that relates to the right of use retained by the seller-lessee.

These amendments had no effect on the financial statements of the Company.

Classification of Liabilities as Current or Non-Current and Non-current Liabilities with Covenants (Amendments to IAS 1)

The IASB issued amendments to IAS 1 in January 2020 Classification of Liabilities as Current or Non-current and subsequently, in October 2022 Non-current Liabilities with Covenants. The amendments clarify the following:

- An entity's right to defer settlement of a liability for at least twelve months after the reporting period must have substance and must exist at the end of the reporting period.
- If an entity's right to defer settlement of a liability is subject to covenants, such covenants affect whether that right exists at the end of the reporting period only if the entity is required to comply with the covenant on or before the end of the reporting period.
- The classification of a liability as current or non-current is unaffected by the likelihood that the entity will exercise its right to defer settlement.

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- In case of a liability that can be settled, at the option of the counterparty, by the transfer of the entity's own equity instruments, such settlement terms do not affect the classification of the liability as current or non current only if the option is classified as an equity instrument.

These amendments have no effect on the measurement of any items in the financial statements of the Company. However, the classification of certain borrowings has changed from non- current to current as result of the application of the amendments for the current financial year as well as the comparative period.

(b) New standards, interpretations and amendments not yet effective There are a number of standards, amendments to standards, and interpretations which have been issued by the IASB that are effective in future accounting periods that the Company has decided not to adopt early.

The following amendments are effective for the period beginning 1 January 2025:

- Lack of Exchangeability (Amendment to IAS 21 the effects of Changes in Foreign Exchange Rates); The following amendments are effective for the period beginning 1 January 2026:
 - Amendments to the Classification and Measurement of Financial Instruments (Amendments to IFRS 9 Financial instruments and IFRS 7)
 - Contracts Referencing Nature-dependent Electricity (Amendments to IFRS 9 and IFRS 7)
- The following amendments are effective for the period beginning 1 January 2027:
- IFRS 18 Presentation and Disclosure in Financial Statements
 - IFRS 19 Subsidiaries without Public Accountability: Disclosures.

The Company is currently assessing the impact of these new accounting standards and amendments.

IFRS 18 Presentation and Disclosure in Financial Statements, which was issued by the IASB in April 2024 supersedes IAS 1 and will result in major consequential amendments to IFRS Accounting Standards including IAS 8 Basis of Preparation of Financial Statements (renamed from Accounting Policies, Changes in Accounting Estimates and Errors). Even though IFRS 18 will not have any effect on the recognition and measurement of items in the financial statements, it is expected to have a significant effect on the presentation and disclosure of certain items.

These changes include categorisation and sub-totals in the statement of profit or loss, aggregation/disaggregation and labelling of information, and disclosure of management-defined performance measures.

The Company is not eligible to apply IFRS 19

2.5.1 IFRS 17 ACCOUNTING POLICY

A. Insurance contracts

Key types of insurance contracts issued, and reinsurance contracts held.

The Company issues the following types of contracts that are accounted for in line with IFRS 17 Insurance Contracts:

Ø Life insurance

(i) LIFE INSURANCE

For the Life insurance products, the Company offers the following insurance contracts with the indication of IFRS 17 methodologies applied to these contracts:

- Individual Life With-profit Policies-** These are endowment plans without participating features. The Company accounts for these policies by applying the General Model.
- Individual Life Without-profit Policies including:**

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In determining whether investment and insurance components are highly interrelated the company assesses whether the company is unable to measure one component without considering the other and the policyholder is unable to benefit from one component unless the other component is present, i.e. whether cancelling one component also terminates the other. The company has identified and separated the distinct investment components from the host of insurance contracts that it issued.

Separating promises to transfer distinct goods or non-insurance services

After the company has determined whether to separate embedded derivatives and investment components, it considers the separation of any promise to transfer goods or non-insurance services embedded in the contract. the company separates from the host insurance contract only distinct promises to transfer goods or non-insurance services to a policyholder. Once separated, such promises are accounted for applying IFRS 15.

In determining whether an obligation to deliver a good or non-insurance service promised to a policyholder is distinct, the company considers whether the policyholder can benefit from the good or service either on its own or together with other resources readily available to the policyholder that are either sold separately or it is something that the policyholder already has. A good or non-insurance service that is promised to the policyholder is not distinct if the cash flows and risks associated with the good or service are highly interrelated with the cash flows and risks associated with the insurance components and the company provides a significant service in integrating the good or non-insurance service with the insurance components. The company has not identified any distinct goods or non-insurance services.

Separating insurance components of a single insurance contract

Once the embedded derivatives, investment components and the goods and services components are separated, the company assesses whether the contract should be separated into several insurance components that, in substance, should be treated as separate contracts.

To determine whether a single legal contract does not reflect the substance of the transaction and its insurance components recognised and measured separately instead, the company considers whether there is an interdependency between the different risks covered, whether components can lapse independently of each other and whether the components can be priced and sold separately. When the company enters into one legal contract with different insurance components operating independently of each other, insurance components are recognised and measured separately applying IFRS 17.

2.5.2 Summary of measurement methods

The company issues the following contracts that are accounted for in accordance with IFRS 17 Insurance Contracts:

Group Life, this policy is designed to provide insurance benefits/ group life cover to its assured. The policy does not allow an option of receiving the sum assured on maturity or at death. The company accounts for these policies applying the Premium Allocation Approach (PAA);

Credit Life, this covers the outstanding loan balance when there is a claim, with the assumption that the borrower made his/her repayments as and when due. The job loss benefit is the sum of the principal repayments for half of the outstanding loan tenor, subject to a maximum of 12 or 24 months. The company accounts for these policies applying the Premium Allocation Approach (PAA);

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Portfolio	Measurement Model Applied	Basis
Annuity	General Measurement Model (GMM)	Long-term contracts with significant financing components and complex future cash flow estimates.
Protection	General Measurement Model (GMM)	Long-duration life contracts requiring fulfilment cash flow and risk adjustment measurement.
Endowment	General Measurement Model (GMM)	Savings-oriented life contracts with long coverage periods and significant insurance risk.
Investment-linked	General Measurement Model (GMM)*	Investment-linked contracts measured using fulfilment cash flows and contractual service margin.
Individual Life	General Measurement Model (GMM)	Long-term individual life assurance contracts with significant estimation uncertainty.
Group Life	Premium Allocation Approach (PAA)	Short-term contracts with coverage periods generally not exceeding one year.

The company identifies portfolios by aggregating insurance contracts that are subject to similar risks and managed together. In grouping insurance contracts into portfolios, the company considers the similarity of risks rather than the specific labelling of the product lines. The company determines that all contracts within each product line, as defined for management purposes, have similar risks and, therefore, represent a portfolio of contracts when they are managed together.

Each portfolio is sub-divided into groups of contracts to which the recognition and measurement requirements of IFRS 17 are applied. At initial recognition, the company segregates contracts based on when they were issued. A portfolio contains all contracts that were issued within a 12- month period. Each portfolio is then further disaggregated into three groups of contracts:

- contracts that are onerous on initial recognition;
- contracts that, on initial recognition, have no significant possibility of becoming onerous subsequently;
- any remaining contracts in the portfolio.

The company has adopted an annual cohort that aligns with his financial year.

In determining the appropriate group, the company measures a set of contracts together using reasonable and supportable information. The company applies significant judgement in determining at what level of granularity the company has sufficient information to conclude that all contracts within a set will be in the same group. In the absence of such information the company assesses each contract individually.

The determination of whether a contract or a group of contracts is onerous is based on the expectations as at the date of initial recognition, with fulfilment cash flow expectations determined on a probability weighted basis. the company determines the appropriate level at which reasonable and supportable information is available to assess whether the contracts are onerous at initial recognition and whether the contracts not onerous at initial recognition have a significant possibility of becoming onerous subsequently.

All groups include only contracts issued within a 12-month period. The composition of groups established at initial recognition is not subsequently reassessed. the company adopts annual cohorts which aligns with the financial year.

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For products accounted for applying the premium allocation approach (PAA), the company assumes that contracts are not onerous on initial recognition, unless there are facts and circumstances indicating otherwise. the company assesses the likelihood of changes in applicable facts and circumstances to determine whether contracts not onerous on initial recognition belong to a group with no significant possibility of becoming onerous in the future.

If the facts and circumstances indicate that some contracts are onerous, the company performs an additional assessment to determine whether some contracts are onerous. In making the assessment, the company uses information about estimates provided by its internal reporting.

Reinsurance contracts held are assessed separately from underlying insurance contracts issued. the company disaggregates a portfolio of its reinsurance contracts held into three groups of contracts:

- a. those that on initial recognition have a net gain;
- b. those that on initial recognition have a net cost that is not immediately recognised in profit or loss;
- c. those that on initial recognition have a net cost that is immediately recognised in profit or loss. For Group and Credit life reinsurance contracts held accounted for applying the PAA, the company assumes that all reinsurance contracts held in each portfolio will not result in a net gain on initial recognition, unless facts and circumstances indicate otherwise

2.5.4 Recognition

The company recognises groups of insurance contracts issued from the earliest of the following dates:

- the beginning of the coverage period of the company of contracts;
- the date when the first payment from a policyholder in the company becomes due (in the absence of a contractual due date, this is deemed to be when the first payment is received); and
- when the company determines that a group of contracts becomes onerous. the company recognises only contracts issued within a one-year period meeting the recognition criteria by the reporting date. Subject to this limit, a group of insurance contracts can remain open after the end of the current reporting period and new contracts are included to the company when they meet the recognition criteria in subsequent reporting periods until such time that all contracts expected to be included within the company have been recognised.

Investment contracts with discretionary participation features are initially recognised at the date the company becomes a party to the contract.

2.5.3 Contract boundaries

The company includes in the measurement of a group of insurance contracts all the future cash flows expected to arise within the boundary of each of the contracts in the company.

In determining which cash flows fall within a contract boundary, the company considers its substantive rights and obligations arising from the terms of the contract, and also from applicable laws and regulations. the company determines that cash flows are within the boundary of a contract if they arise from substantive rights and obligations that exist during the reporting period in which the company can compel the policyholder to pay the premiums or the company has a substantive obligation to provide the policyholder with services.

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A substantive obligation to provide services ends when: the company has the practical ability to reassess the risks of a particular policyholder and as a result change the price charged or the level of benefits provided for the price to fully reflect the new level of risk; or

- the boundary assessment is performed at a portfolio rather than individual contract level, there are two criteria that both need to be satisfied: the company must have the practical ability to reprice the portfolio to fully reflect risk from all policyholders' and the company's pricing must not take into account any risks beyond the next reassessment date.

In determining whether all the risks have been reflected either in the premium or in the level of benefits, the company considers all risks that policyholders would transfer had it issued the contracts (or portfolio of contracts) at the reassessment date. Similarly, the company concludes on its practical ability to set a price that fully reflects the risks in the contract or portfolio at a renewal date by considering all the risks that it would assess when underwriting equivalent contracts on the renewal date for the remaining service. The assessment on the company practical ability to reprice existing contracts takes into account all contractual, legal and regulatory restrictions. In doing so, the company disregards restrictions that have no commercial substance. The company also considers the impact of market competitiveness and commercial considerations on its practical ability to price new contracts and repricing existing contracts. Judgement is required to decide whether such commercial considerations are relevant in concluding as to whether the practical ability exists at the reporting date.

In estimating expected future cash flows of contracts the company applies its judgement in assessing future policyholder behaviour surrounding the exercise of options available to them such as surrenders options, and other options falling within the contract boundary.

Cash flows are within the boundaries of investment contracts with discretionary participation features if they result from a substantive obligation of the company to deliver cash at a present or future date.

The company assesses the contract boundary at initial recognition and at each subsequent reporting date to include the effect of changes in circumstances on the company's substantive rights and obligations.

2.5.4 Measurement of insurance contracts issued**Measurement on initial recognition for contracts other than PAA**

The company measures a group of contracts on initial recognition as the sum of the expected fulfilment cash flows within the contract boundary and the contractual service margin representing the unearned profit in the contracts relating to services that will be provided under the contracts.

The company recognises and measures the liability for the unpaid amounts arising from all groups in aggregate and does not allocate such fulfilment cash flows to specific groups when coverage on contracts has been provided. The cash flow estimates include both market variables, which are consistent with observable market prices, and non-market variables, which are not contradictory with market information and based on internally and externally derived data. The company updates its estimates at the end of each reporting period using all newly available, as well as historic evidence and information about trends. The company determines its current expectations of probabilities of future events occurring at the end of the reporting period. In developing new estimates, the company considers the most recent experience and earlier experience, as well as other information.

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Discount Rate

The time value of money and financial risk is measured separately from expected future cash flows with changes in financial risks recognised in profit or loss at the end of each reporting period unless the company has elected the accounting policy to present the time value of money separately in profit or loss and other comprehensive income. The time value of money and financial risk is measured separately from expected future cash flows with changes in financial risks recognised in profit or loss at the end of each reporting.

The company measures the time value of money using discount rates that reflect the liquidity characteristics of the insurance contracts and the characteristics of the cash flows, consistent with observable current market prices and exclude the effect of factors that influence such observable market prices but do not affect the future cash flows of the insurance contracts (e.g. credit risk). Expected future cash flows that vary based on the returns on any financial underlying items are discounted at rates that reflect this variability.

In determining discount rates for cash flows that do not vary based on the returns of underlying items, the company uses the 'Bottom-up approach' to estimate discount rates by adjusting a liquid risk-free yield curve to reflect the differences between the liquidity characteristics of the financial instruments that underlie the rates observed in the market and the liquidity characteristics of the insurance contracts.

The discount rates applied have been based on the yield curve at 31 December 2024, as published by the Nigerian Actuarial Society (NAS). The current rates alongside the previous year rates used for the 31 December 2024 comparatives are shown in the Actuarial Valuation Report.

2.5.7 Risk adjustment for non-financial risk

The company measures the compensation it would require for bearing the uncertainty about the amount and timing of cash flows arising from insurance contracts, other than financial risk, separately as an adjustment for non-financial risk. Risk adjustment for non-financial risks was determined using Value at Risk (VAR) approach with a confidence level of 70%.

2.5.8 Contractual service margin (CSM)

The CSM is a component of the overall carrying amount of a group of insurance contracts representing unearned profit the company will recognise as it provides insurance contract services over the coverage period.

At initial recognition, the company measures the CSM at an amount that, unless a group of insurance contracts is onerous, results in no gains recognised in profit or loss arising from:

- the expected fulfilment cash flows of the company;
- the amount of any derecognised asset for acquisition cash flows allocated to the company; and any other asset or liability previously recognised for cash flows related to the company and
- any cash flows that have already arisen on the contracts as of that date. If a group of contracts is onerous, the company recognises a loss on initial recognition, resulting in the carrying amount of the liability for the company being equal to the fulfilment cash flows, and the CSM of the company being nil. A loss component is recognised for any loss on initial recognition of the company of insurance contracts.

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2.5.9 Insurance acquisition cash flows

The company includes insurance acquisition cash flows in the measurement of a group of insurance contracts if they are directly attributable to either the individual contracts in a group, or to the company itself, or the portfolio of insurance contracts to which the company belongs. the company estimates insurance acquisition cash flows not directly attributable to the company but directly attributable to the portfolio at a portfolio level and then allocates them to the company of newly written and renewed contracts on a systematic and rational basis

The company recognises an asset in respect of costs in securing a portfolio or group of insurance contracts, such as costs of selling and underwriting, when these costs are already paid before the recognition of the company of insurance contracts to which these costs relate to. the company recognises such an asset for each existing or future group of insurance contracts to which insurance acquisition cash flows are allocated. Such assets are derognised when the insurance acquisition cash flows allocated to the company of insurance contracts are included in the measurement of the company. The related portion of the asset for insurance acquisition cash flows is derecognised when the associated group of contracts is recognised, and its balance is included in the company's fulfilment cash flows. When only some of the insurance contracts expected to be included within the company is recognised as at the end of the reporting period, the company determines the related portion of the asset that is derecognised and included in the company's fulfilment cash flows on the basis of a systematic and rational allocation method taking into consideration the timing of recognition of the contracts into the company.

At each reporting date, the company reviews the carrying amounts of the asset for insurance acquisition cash flows to determine whether there is an indication that the asset has suffered an impairment. If any such indication exists, the company adjusts the carrying amount of the asset so that the carrying amount of the asset does not exceed the expected net cash inflow for the associated future groups of contracts and an impairment loss is recognised in profit or loss for the difference. Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the extent the impairment conditions no longer exist or have improved and the cumulative amount of impairment loss reversal does not exceed the impairment loss recognised for the asset in prior years.

2.5.10 Subsequent measurement under the general model

After initial recognition, at the end of each reporting period, the carrying amount of the company of insurance contracts will reflect a current estimate of the liability for incurred claims (LIC) as at that date and a current estimate of the liability for remaining coverage (LRC).

The LRC represents the company's obligation to investigate and pay valid claims under existing contracts for insured events that have not yet occurred, comprising (a) fulfilment cash flows relating to future service and (b) the CSM yet to be earned.

The LIC includes the company's liability to pay valid claims for insured events that have already incurred, other incurred insurance expenses arising from past coverage service and includes the liability for claims incurred but not yet reported. It also includes the company's liability to pay amounts the company is obliged to pay the policyholder under the contract, including repayment of investment components, when a contract is derecognised. The current estimate of LIC comprises the fulfilment cash flows related to current and past service allocated to the company at the reporting date. In estimating the total future fulfilment cash flows, the company distinguishes between those relating to already incurred claims and those relating to future services. At the end of each reporting period, the fulfilment cash flows are updated

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by the company to reflect the current estimates of the amounts, timing and uncertainty of future cash flows, as well as discount rates to ensure that the estimates measured in the statement of financial position are always current.

Experience adjustments are the difference between:

- a. Premium received (and any related cash flows paid such as insurance acquisition cash flows and insurance premium taxes) and the estimate at the beginning of the period of the amounts expected in the period; or
- b. The actual amounts of insurance service expenses incurred in the period (excluding insurance acquisition expenses) and the estimate at the beginning of the period of the amounts expected to be incurred in the period. Experience adjustments relate to current or past service are recognised in profit or loss. For incurred claims (including incurred but not reported) and other incurred insurance service expenses, experience adjustments always relate to current or past service and are included in profit or loss as part of insurance service expenses. Experience adjustments relating to future service are included in the LRC by adjusting the CSM. The release of the CSM depends on whether the contract does not participate, participates indirectly, or directly participates in the performance of the specified underlying items.

Subsequent to initial recognition, the CSM of a group of insurance contracts accretes interest at the discount rates 'locked in' on initial recognition, which represent a historic curve of discount rates that were applied for initial measurement. The curve is made up of discount rates used to discount those cash flows that do not vary with the returns of the underlying items.

The carrying amount of the CSM for insurance contracts without direct participating features at the end of the reporting period is the carrying amount at the beginning of the period adjusted for:

- the effect of any new contracts added to the company;
- interest accreted on the carrying amount of CSM measured at the discount rates determined at initial recognition;
- the changes in fulfilment cash flows related to future service, except that:
 - such increases in fulfilment cash flows exceed the carrying amount of the CSM, giving rise to a loss that results in the company of contracts becoming onerous or more onerous; or
 - such decreases in fulfilment cash flows reverse a previously recognised loss on a group of onerous contracts;
 - the effect of any currency exchange differences on the CSM; and
 - the amount recognised as insurance revenue because of the transfer of insurance contract services in the period, determined by allocation of the CSM remaining at the end of the reporting period over the current and remaining coverage period.

2.5.11 Changes in fulfilment cash flows

At the end of each reporting period, the company re-estimates the LRC fulfilment cash flows, updating for changes in assumptions relating to financial and non-financial risks.

For insurance contracts without direct participating features, the following changes in fulfilment cash flows are considered to be related to future services and adjust (or 'unlock') the CSM:

- Experience adjustments relating to the premiums received in the period that relate to future services, and any related cash flows such as acquisition cash flows and premium-based taxes

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measured at the 'locked in' discount rates applicable when the contracts in the company were initially recognised.

- the change in the estimate of the present value of expected future cash flows in the liability for remaining coverage measured at the 'locked in' discount rates applicable when the contracts in the company were initially recognised.
- Changes in the risk adjustment for non-financial risk relating to future services. the company has elected not to disaggregate the change in the risk adjustment for non-financial risk between (i) a change related to non financial risk and (ii) the effect of the time value of money and Changes in the time value of money. If the company made such a disaggregation, it shall adjust the CSM for the change related to non-financial risk, measured at the discount rates applicable when the contracts in the company were initially recognised.
- Differences between the amount of investment components that were expected to be payable in the period and the amount of investment components that actually became payable. Both these amounts are measured at the discount rates applicable when the contracts in the company were initially recognised.

The following adjustments do not relate to future service and thus do not adjust the CSM: Changes in fulfilment cash flows for the effect of the time value of money and the effect of financial risk and changes thereof;

- Changes in the fulfilment cash flows relating to the LIC; and
- Experience adjustments relating to insurance service expenses (excluding insurance acquisition cash flows)

If an increase in fulfilment cash flows relating to future coverage exceeds the CSM of the company, the company recognises the difference in profit or loss as an expense, creating a 'loss component' for the company. Subsequently, any further increases in fulfilment cash flows relating to future coverage are also recognised in profit or loss as they occur, increasing the loss component of the company of insurance contracts. Any subsequent decreases in fulfilment cash flows related to future coverage do not adjust the CSM, until the loss component of the company is fully reversed through profit or loss.

2.5.12 Recognition of the CSM in profit or loss

An amount of the CSM is released to profit or loss in each period during which the insurance contract services are provided. In determining the amount of the CSM to be released in each period, the company follows three steps:

- determine the total number of coverage units in the company. The amount of coverage units in the company is determined by considering for each contract the quantity of benefits provided under the contract and the expected coverage period.
- allocate the CSM at the end of the period (before any of it is released to profit or loss to reflect the insurance contract services provided in the period) equally to each of the coverage units provided in the current period and expected to be provided in the future.
- recognise in profit or loss the amount of CSM allocated to the coverage units provided during the period.

The number of coverage units changes as insurance contract services are provided, contracts expire, lapse or surrender and new contracts are added into the company. The total number of coverage units depends on the expected duration of the obligations that the company has from its contracts, which can

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differ from the legal contract maturity because of the impact of policyholder behaviour and the uncertainty surrounding future insured events. In determining a number of coverage units, the company exercises judgement in estimating the likelihood of insured events occurring and policyholder behaviours to the extent that they affect expected period of coverage in the company, the different levels of service offered across periods (e.g. policyholder exercising an option and adding an additional coverage for a previously guaranteed price) and the 'quantity of benefits' provided under a contract. In determining the number of coverage units for its life product measured under GMM, the company applies a method based on the expected benefit and claims over the coverage period.

2.5.13 Insurance contracts under the premium allocation approach

The company applies the PAA to the measurement of its product with a coverage period of each contract in the company of one year or less and for product that meets the PAA eligibility criteria. On initial recognition, the company measures the LRC at the amount of premiums received in cash. As all the issued insurance contracts to which the PAA is applied have coverage of a year or less, the company applies a policy of expensing insurance acquisition cash flows as they are incurred. The carrying amount of the LRC at the end of each subsequent reporting period represents the carrying amount at the start of the reporting period adjusted for the following:

- (i) the premiums received in the period and the amount recognised as insurance revenue for insurance contract services provided in that period; and
- (ii) any adjustment to a financing component and any investment component paid or transferred to the liability for incurred claims.

The company has determined that there is no significant financing component in all products with a coverage period of one year or less. The company does not discount the liability for remaining coverage to reflect the time value of money and financial risk for such insurance contracts.

The carrying amount of the LIC is measured similar to GM however for those claims that the company expects to be paid within one year or less from the date of incurring, the company does not adjust future cash flows for the time value of money and the effect of financial risk. However, claims expected to take more than one year to settle are discounted.

Applying the PAA, the insurance revenue is measured at the amount allocated from the expected premium receipts excluding any investment component. The allocation is done on the basis of the passage of time unless the expected pattern of release from risk differs significantly from the passage of time, in which case it is recognised on the expected timing of incurred claims and benefits. the company applies judgement in determining the basis of allocation.

If facts and circumstances lead the company to believe that a group under PAA has become onerous, the company tests it for onerousness. If the amount of the fulfilment cash flows exceeds the carrying amount of the LRC, the company recognise a loss in profit or loss and increases the LRC for the corresponding amount.

2.5.14 Onerous Contracts

The company considers an insurance contract to be onerous if the expected fulfilment cash flows allocated to the contract plus any previously recognised acquisition cash flows and any cash flows arising from the contract at the date of initial recognition in total result in a net cash outflow. The onerous assessment is done on an individual contract level assessing future expected cash flows on a

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probability-weighted basis including a risk adjustment for non-financial risk. Contracts expected on initial recognition to be loss-making are grouped together and such groups are measured and presented separately. Once contracts are allocated to a group, they are not re-allocated to another group, unless they are substantively modified.

The financial statements of African Alliance Insurance Plc for the year ended 31 December 2024 were authorised for issue by the Directors on ____April 2026.

2.5.15 Reinsurance contracts held**Recognition**

The company uses facultative and treaty reinsurance to mitigate some of its risk's exposures. Reinsurance contracts held are accounted under IFRS 17 when they meet the definition of an insurance contract, which includes the condition that the contract must transfer significant insurance risk.

Reinsurance contracts transfer significant insurance risk only if they transfer to the reinsurer substantially all the insurance risk relating to the reinsured portions of the underlying insurance contracts, even if a reinsurance contract does not expose the issuer (reinsurer) to the possibility of a significant loss. The effect of non- performance risk of the reinsurer is assessed at each reporting date and the effect of changes in the non- performance risk is recognised in profit or loss.

Reinsurance contracts held are accounted for separately from underlying insurance contracts issued and are assessed on an individual contract basis. In aggregating reinsurance contracts held, the company applies the general approach and disaggregates a portfolio of its reinsurance contracts held into three groups of contracts:

- a) contracts that on initial recognition have a net gain;
- b) contracts that, on initial recognition, have no significant possibility of resulting in a net gain subsequently; and
- c) any remaining reinsurance contracts held in the portfolio.

Reinsurance contracts issued are similar to indirect insurance contract and they should be accounted for by Reinsurer using either GMM or PAA. The company measures group life reinsurance contract applying the PAA and the retail re-insurance applying the GMM.

In determining the timing of initial recognition of a reinsurance contract, the company assesses whether the reinsurance contract's terms provide protection on losses on a proportionate basis. the company recognises a group of reinsurance contracts held that provides proportionate coverage:

- i. at the same time as the onerous group of underlying contracts is recognised, or
- ii. for all the other reinsurance contracts held that provide proportionate coverage, at the start of the coverage period of that group of reinsurance contracts; or at the initial recognition of any of the underlying insurance contracts, whichever is later.

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The company recognises a group of non-proportional reinsurance contracts at the earliest of the beginning of the coverage period of the company or the date an underlying onerous group of contracts is recognised.

Cash flows are within the boundary of a reinsurance contract held, if they arise from the substantive rights and obligations of the cedant that exist during the reporting period in which the company is compelled to pay amounts to the reinsurer or has a substantive right to receive services from the reinsurer. The boundary of a reinsurance contract held includes cash flows resulting from the underlying contracts covered by the reinsurance contract. This includes cash flows from insurance contracts that are expected to be issued by the company in the future if these contracts are expected to be issued within the boundary of the reinsurance contract held. the company holds reinsurance agreements which allow both the reinsurer and the company to terminate the contract at 90 days' notice for new business ceded. the company includes within the contracts boundary only cash flows arising from such 90 days' notice period because it does not have substantive rights or obligations beyond that point.

2.5.16 Reinsurance contracts held measured under the general model

The company measures the reinsurance contracts held and the underlying insurance contracts issued using consistent assumptions. the company includes in the estimates of the present value of expected future cash flows for a group of reinsurance contracts held the effect of any risk of nonperformance by the reinsurer, including the effects of any collateral and losses from disputes. The effect of non-performance risk of the reinsurer is assessed at each reporting date and the effect of changes in the non-performance risk is always recognised in profit or loss as part of the insurance service result.

In determining the asset representing the risk adjustment for non-financial risk transferred to the reinsurer, the company assesses the amount of risk transferred by the company to the reinsurer by calculating the risk adjustment of the underlying contracts before and after the effect of the reinsurance contracts held. The difference is then recognised as the asset representing the risk adjustment reinsured.

On initial recognition, the company recognises any net cost or net gain on purchasing the company of reinsurance contracts held as a reinsurance CSM, unless the net cost of purchasing reinsurance coverage relates to events that occurred before the purchase of the company of reinsurance contracts, where the company recognises such a cost immediately in profit or loss as an expense as part of insurance service result.

For a group of reinsurance contracts held covering an onerous underlying group of contracts, the company adjusts the CSM of the company of reinsurance contracts held and recognise an income when a loss on initial recognition of an onerous group of underlying insurance contracts or on addition of onerous underlying insurance contracts to that group. A loss recovery component of the asset for the remaining coverage of a group of reinsurance contracts held is created and subsequently adjusted for any changes in the amount.

For a group of reinsurance contracts held, the company adjusts the carrying amount of the CSM at the end of a reporting period to reflect changes in the FCF applying the same approach as for insurance contracts issued, except when the underlying contract is onerous and the change in the FCF for the underlying insurance contracts is recognised in profit and loss by adjusting the loss component. The respective changes in reinsurance contract is also recognised in profit and loss.

2.5.17 Reinsurance contracts held measured under the PAA

The company measures group life reinsurance contracts applying the PAA. Under the PAA, the initial measurement of the asset equals the reinsurance premium paid. the company measures the amount relating to remaining service by allocating the premium paid over the coverage period of the company. For all reinsurance contracts held the allocation is based on the passage of time or expected incidence of claims.

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When the company derecognises an insurance contract because it transfers the contract to a third party, the company adjusts the CSM of the company from which the contract has been derecognised for the difference between the change in the carrying amount of the company caused by the derecognised FCF and the premium charged by the third party for the transfer.

When the company derecognises an insurance contract due to modification, it derecognises an in-force insurance contract and recognises a new one. the company adjusts the CSM of the company from which the modified in-force contract has been derecognised for the difference between the change in the carrying amount of the company as a result of adjustment to fulfilment cash flows due to derecognition and the premium the company would have charged had it entered into a contract with equivalent terms as the new contract at the date of the contract modification, less any additional premium actually charged for the modification.

2.5.19 Presentation

The company has presented separately in the financial position the carrying amount of portfolios of insurance contracts that are assets and those that are liabilities, portfolio of reinsurance contracts held that are assets and those that are liabilities.

The company disaggregates the amounts recognised in the statement of profit or loss and other comprehensive income into an insurance service result sub-total that comprises insurance revenue and insurance service expenses and, separately from the insurance service result, the insurance finance income or expenses.

The company includes any assets for insurance acquisition cash flows recognised before the corresponding groups of insurance contracts are recognised in the carrying amount of the related portfolios of insurance contracts issued.

The company does not disaggregate the change in risk adjustment for non-financial risk between a financial and non-financial portion and includes the entire change as part of the insurance service result.

2.5.20 Insurance revenue

As the company provides insurance services under a group of insurance contracts issued, it reduces its LRC and recognises insurance revenue, which is measured at the amount of consideration the company expects to be entitled to in exchange for those services.

For groups of insurance contracts measured under the GM, insurance revenue consists of the following:

The sum of the changes in the LRC:

- a) the insurance service expense incurred in the period measured at the amounts expected at the beginning of the period, excluding:
 - amounts allocated to the loss component;
 - amounts relating to risk adjustment for non-financial risk
 - repayments of investment components;
 - insurance acquisition expenses;
- b) amounts related to income tax that are specifically chargeable to the policyholder
- c) the change in the risk adjustment for non-financial risk, excluding:
 - changes that relate to future service that adjust the CSM; and
 - amounts allocated to the loss component;
- d) the amount of CSM for the services provided in the period;
- e) experience adjustments for premium receipts (and any related cash flows such as insurance acquisition cash flows) that relate to current or past services, if any.

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The portion of premiums that can be seen as recovering those acquisition cash flows are included in the insurance service expenses in each period. Both amount are measured on the same basis used for the allocation of the CSM to profit or loss under d) above.

When applying the PAA, the company recognises insurance revenue for the period based on the passage of time by allocating premium receipts including premium experience adjustments to each period of service. However, when the expected pattern of release from risk during the coverage period differs significantly from the passage of time, then premium receipts are allocated based on the expected pattern of incurred insurance service expense. the company issues home insurance policies with different expected pattern of occurrence of claims. For those groups of contracts revenue is recognised based on the expected pattern of claim occurrence.

At the end of each reporting period, the company considers whether there was a change in facts and circumstances indicating a need to change, on a prospective basis, the premium receipt allocation due to changes in the expected pattern of claim occurrence for new and existing groups.

2.5.21 Insurance service expense

Insurance service expense arising from group insurance contracts issued comprises of:

- changes in the LIC related to claims and expenses incurred in the period excluding repayment of investment components;
- changes in the LIC related to claims and expenses incurred in prior periods (related to past service);
- other directly attributable expenses incurred in the period;
- amortisation of insurance acquisition cash flows, which is recognised at the same amount in both insurance service expense and insurance contract revenue; and
- changes in the LRC related to future service that do not adjust the CSM, because they are changes in the loss components of onerous groups of contracts.

2.5.22 Income or expenses from reinsurance contracts held

The company presents income or expenses from a group of reinsurance contracts held and reinsurance finance income or expenses in profit or loss for the period separately. Income or expenses from reinsurance contracts held are split into the following two amounts:

- amount recovered from reinsurers; and
- an allocation of the reinsurance premiums paid, provided that together they equal total income or expenses from reinsurance contracts held.

The company presents cash flows that are contingent on claims as part of the amount recovered from reinsurers. Ceding commissions that are not contingent on claims of the underlying contracts are presented as a deduction in the premiums to be paid to the reinsurer which is then allocated to profit or loss.

2.5.23 Insurance finance income and expenses

Insurance finance income or expenses present the effect of the time value of money and the change in the time value of money, together with the effect of financial risk and changes in financial risk.

2.5.24 The use of OCI presentation for insurance finance income and expense

The company has an accounting policy choice to either present all of the period's insurance finance income or expenses in profit or loss or to split the amount between profit or loss and other comprehensive income (OCI). In considering the choice of presentation of insurance finance income or expenses, the company considers the assets held for that portfolio and how they are accounted for. The accounting policy choice to not disaggregate insurance finance income or expenses so that part is recognised in profit or loss and part in OCI is applied on a portfolio-by-portfolio basis.

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The company may reassess its accounting policy choice during the duration of a group of direct participating contracts when there is a change in whether the company holds the underlying items or no longer holds the underlying items. When such change occurs, the company includes the amount accumulated in OCI by the date of change as a reclassification adjustment to profit or loss spread across the period of change and future periods based on the method and on the assumptions that applied immediately before the date of change. the company has opted not to adopt the OCI option.

2.5.25 For PAA contracts

When applying the PAA, the company does not discount the liability for remaining coverage to reflect the time value of money and financial risk for products with a coverage period of one year or less.

The company adjusts the LRC for the time value of money for policies with a coverage period longer than one year. The company does not disaggregates insurance finance income or expense between profit or loss and Other Comprehensive Income.

For contracts with cash flows not affected by underlying items

For contracts with cash flows not affected by underlying items, the company has elected to present all insurance finance income or expenses in profit or loss

2.6. Foreign currency translation**Functional and presentation currency**

Items included in the financial statements of the Company are measured using the currency of the primary economic environment in which the Company operates (the functional currency).

The financial statements are presented in Nigerian naira (₦), which is the presentation currency, and rounded to the nearest thousand (₦'000) unless otherwise indicated.

Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains or losses resulting from the settlement of such transactions and from translation at year end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the Income Statements.

Foreign exchange gains and losses that relate to cash and cash equivalents are presented in the Income Statement within 'finance income or cost'. All other foreign exchange gains and losses are presented in the Income Statement within 'other operating income' or 'other operating expenses'.

2.7. Cash and cash equivalents

Cash and cash equivalents include cash in hand and bank, unrestricted balances held with Central Bank, call deposits and short-term highly liquid financial assets (including money market funds) with original maturities of less than three months, which are subject to insignificant risk of changes in their value and used by the Company in the management of its short-term commitments. For the purpose of the statement of cash flows, cash and cash equivalents consist of cash and cash equivalents, net of outstanding bank overdrafts.

2.8. Trade receivables

They are initially recognised at fair value and subsequently measured at amortised cost less provision for impairment. A provision for impairment is made when there is objective evidence (such as the probability of solvency or significant financial difficulties of the debtors) that the Company will not be able to collect the entire amount due under the original terms of the invoice.

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Allowances are made based on an impairment model which consider the loss given default for each customer, probability of default for the sectors in which the customer belongs and emergence period which serves as an impairment trigger based on the age of the debt.

Impaired debts are derecognised when they are assessed as uncollectible. If in a subsequent period the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised, the previous recognised impairment loss is reversed to the extent that the carrying value of the asset does not exceed its amortised cost at the reversed date. Any subsequent reversal of an impairment loss is recognised in the Income Statement.

2.9. Deferred Acquisition Costs

Deferred acquisition costs comprise of commission, brokerage and other related expenses arising from generation and conclusion of insurance contracts. The proportion of acquisition costs that correspond to the unearned premiums are deferred as an asset and recognised in the subsequent period. They are recognised on a basis consistent with the related provision for unearned premiums.

2.10. Financial Assets and Liabilities

2.10.1 Recognition

The Company on the date of origination or purchase recognises placements, equity securities and deposits at the fair value of consideration paid. Regular-way purchases and sales of financial assets are recognised on the settlement date. All other financial assets and liabilities, including derivatives, are initially recognised on the trade date at which the Company becomes a party to the contractual provisions of the instrument.

2.10.2 Classification and Measurement

Initial measurement of a financial asset or liability is at fair value plus transaction costs that are directly attributable to its purchase or issuance. For instruments measured at fair value through profit or loss, transaction costs are recognised immediately in profit or loss. Financial assets include placement with banks, treasury bills and equity instruments.

Financial assets are classified into one of the following measurement categories:

1. Amortised cost
2. Fair Value through Other Comprehensive Income (FVOCI)
3. Fair Value through Profit or Loss (FVTPL) for trading related assets

The Company classifies all of its financial assets based on the business model for managing the assets and the asset's contractual cash flow characteristics.

2.10.3 Business Model Assessment

Business model assessment involves determining whether financial assets are managed in order to generate cash flows from collection of contractual cash flows, selling financial assets or both. The Company assesses business model at a portfolio level reflective of how groups of assets are managed together to achieve a particular business objective. For the assessment of business model the Company takes into consideration the following factors:

- i. The stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realizing cash flows through the sale of the assets.

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- ii. How the performance of assets in a portfolio is evaluated and reported to Company heads and other key decision makers within the Company's business lines;
- iii. The risks that affect the performance of assets held within a business model and how those risks are managed;
- iv. How compensation is determined for the Company's business lines' management that manages the assets;
- v. The frequency and volume of sales in prior periods and expectations about future sales activity.

Management determines the classification of the financial instruments at initial recognition. The business model assessment falls under three categories:

- a) Business Model 1 (BM1): Financial assets held with the sole objective to collect contractual cash flows;
- b) Business Model 2 (BM2): Financial assets held with the objective of both collecting contractual cash flows and selling; and
- c) Business Model 3 (BM3): Financial assets held with neither of the objectives mentioned in BM1 or BM2 above. These are basically financial assets held with the sole objective to trade and to realize fair value changes.

The Company may decide to sell financial instruments held under the BM1 category with the objective to collect contractual cash flows without necessarily changing its business model if one or more of the following conditions are met:

- i. Where these sales are infrequent even if significant in value. A Sale of financial assets is considered infrequent if the sale is one-off during the Financial Year and/or occurs at most once during the quarter or at most three (3) times within the Financial Year.
The Company may decide to sell financial instruments held under the BM1 category with the objective to collect contractual cash flows without necessarily changing its business model if one or more of the following conditions are met:
- ii. Where these sales are insignificant in value both individually and in aggregate, even if frequent. A sale is considered insignificant if the portion of the financial assets sold is equal to or less than five (5) per cent of the carrying amount (book value) of the total assets within the business model.
- iii. When these sales are made close to the maturity of the financial assets and the proceeds from the sales approximate the collection of the remaining contractual cash flows. A sale is considered to be close to maturity if the financial assets have a tenor to maturity of not more than one (1) year and/or the remaining contractual cash flows expected from the financial asset do not exceed the cash flows from the sales by ten (10) per cent.

Other reasons: The following reasons outlined below may constitute 'Other Reasons' that may necessitate selling financial assets from the BM1 category that will not constitute a change in business model:

- 1. Selling the financial asset to realize cash to deal with unforeseen need for liquidity (infrequent).
- 2. Selling the financial asset to manage credit concentration risk (infrequent)
- 3. Selling the financial assets as a result of changes in tax laws (infrequent).
- 4. Other situations also depend upon the facts and circumstances which need to be judged by the management

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2.10.4 Cash flow characteristics assessment

The contractual cash flow characteristics assessment involves assessing the contractual features of an instrument to determine if they give rise to cash flows that are consistent with a basic investment arrangement. Contractual cash flows are consistent with a basic deposit arrangement if they represent cash flows that are solely payments of principal and interest on the principal amount outstanding (SPPI).

Principal is defined as the fair value of the instrument at initial recognition. Principal may change over the life of the instruments due to repayments. Interest is defined as consideration for the time value of money and the credit risk associated with the principal amount outstanding and for other basic lending risks and costs (liquidity risk and administrative costs), as well as a profit margin.

a. Financial assets measured at amortised cost

Financial assets are measured at amortised cost if they are held within a business model whose objective is to hold for collection of contractual cash flows where those cash flows represent solely payments of principal and interest. After initial measurement, debt instruments in this category are carried at amortized cost using the effective interest rate method. The effective interest rate is the rate that discounts estimated future cash payments or receipts through the expected life of the financial asset to the gross carrying amount of a financial asset. Amortised cost is calculated taking into account any discount or premium on acquisition, transaction costs and fees that are integral part of the effective interest rate. Amortization is included in Interest income in the Statement of profit or loss and other comprehensive income. Impairment on financial assets measured at amortized cost is calculated using the expected credit loss approach.

Financial assets measured at amortized cost are presented net of the allowance for credit losses (ACL) in the statement of financial position.

b. Financial assets measured at FVOCI

Financial assets are measured at FVOCI if they are held within a business model whose objective is to hold for collection of contractual cash flows and for selling financial assets, where the assets' cash flows represent payments that are solely payments of principal and interest. Subsequent to initial recognition, unrealized gains and losses on debt instruments measured at FVOCI are recorded in other comprehensive Income (OCI).

c. Financial assets measured at FVTPL

Financial assets measured at FVTPL include assets held for trading purposes, assets held as part of a portfolio managed on a fair value basis and assets whose cash flows do not represent payments that are solely payments of principal and interest. Financial assets may also be designated at FVTPL if by so doing eliminates or significantly reduces an accounting mismatch which would otherwise arise. These instruments are measured at fair value in the Statement of Financial Position, with transaction costs recognised immediately in the Statement of profit or loss and other comprehensive income.

d. Equity Instruments

Equity instruments are measured at FVTPL, unless an election is made to designate them at FVOCI upon purchase. For equity instruments measured at FVTPL, changes in fair value are recognised in the Statement of profit or loss and other comprehensive income. The Company can elect to classify non-trading equity instruments at FVOCI. This election will be used for certain equity investments for strategic or longer term investment purposes. The FVOCI election is made upon initial recognition, on an instrument-by-instrument basis and once made is irrevocable. Gains and losses on these instruments including when derecognised/sold are recorded in OCI and are not subsequently reclassified to profit or loss. Dividends received are recorded in Interest income in the Statement of profit or loss and other comprehensive income. Any transaction costs incurred upon purchase of the security are added to the cost basis of the security and are not reclassified to the Statement of profit or loss and other comprehensive income on sale of the security.

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- b. A temporary disappearance of a particular market for financial assets.
- c. A transfer of financial assets between parts of the Company with different business models.

When reclassification occurs, the Company reclassifies all affected financial assets in accordance with the new business model. Reclassification is applied prospectively from the 'reclassification date'. Reclassification date is 'the first day of the first reporting period following the change in business model. For example, if the Company decides to shut down the retail business segment on 31 December 2021, the reclassification date will be 1 January 2023 (i.e. the first day of the entity's next reporting period), the Company shall not engage in activities consistent with its former business model after 31 December 2021. Gains, losses or interest previously recognised are not be restated when reclassification occurs.

2.10.6 Impairment of Financial Assets

In line with IFRS 9, the Company assesses the under listed financial instruments for impairment using:

Expected Credit Loss (ECL) approach:

- Amortized cost financial assets; and
- Debt securities classified as at FVOCI;

Equity instruments and financial assets measured at FVTPL are not subjected to impairment under the standard.

Impairment Methodology

The IFRS 9 impairment model will be applicable to all financial assets at amortised cost, debt instruments measured at fair value through other comprehensive income, lease receivables, loan commitments and financial guarantees not measured at fair value through profit or loss. IFRS 9 replaces the existing 'incurred loss' impairment approach with an Expected Credit Loss ('ECL') model, resulting in earlier recognition of credit losses compared with IAS 39. Expected credit losses are the unbiased probability weighted average credit losses determined by evaluating a range of possible outcomes and future economic conditions. The ECL model has three stages. Entities are required to recognise a 12 month expected loss allowance on initial recognition (stage 1) and a lifetime expected loss allowance when there has been a significant increase in credit risk since initial recognition (stage 2). Stage 3 requires objective evidence that an asset is credit-impaired, which is similar to the guidance on incurred losses in IAS 39.

The requirement to recognise lifetime ECL for assets which have experienced a significant increase in credit risk since origination, but which are not credit impaired, does not exist under IAS 39. The assessment of whether an asset is in stage 1 or 2 considers the relative change in the probability of default occurring over the expected life of the instrument, not the change in the amount of expected credit losses. Reasonable and supportable forward looking information will also be used in determining the stage allocation. In general, assets more than 30 days past due, but not credit impaired, will be classed as stage 2.

IFRS 9 requires the use of more forward looking information including reasonable and supportable forecasts of future economic conditions. The company has developed the capability to model a number of economic scenarios and capture the impact on credit losses to ensure the overall ECL represents a reasonable distribution of economic outcomes. Appropriate governance and oversight has been established around the process.

An assessment of the ECL in the company's statement of financial position reflects an increase in the provisions for credit losses. However, this increase will not have a significant impact on regulatory capital and invariably the Capital adequacy due to the Company's earnings and retention capacity over the years.

Expected Credit Loss Impairment Model for financial assets

The Company's allowance for credit losses calculations shall be outputs of models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies. The expected

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credit loss impairment model reflects the present value of all cash shortfalls related to default events either over the following twelve months or over the expected life of a financial instrument depending on credit deterioration from inception. The allowance for credit losses reflects an unbiased, probability-weighted outcome which considers multiple scenarios based on reasonable and supportable forecasts. The Company shall adopt a three-stage approach for impairment assessment based on changes in credit quality since initial recognition.

Stage1—Where there has not been a Significant Increase in Credit Risk (SICR) since initial recognition of a financial instrument, an amount equal to 12months expected credit loss shall be recorded. The expected credit loss shall be computed using a probability of default occurring over the next 12 months. For those instruments with a remaining maturity of less than 12 months, a probability of default corresponding to remaining term to maturity shall be used.

Stage2—When a financial instrument experiences a SICR subsequent to origination but is not considered to be in default, it shall be included in Stage 2. This requires the computation of expected credit loss based on the probability of default over the remaining estimated life of the financial instrument.

Stage3—Financial instruments that are considered to be in default shall be included in this stage. Similar to Stage 2, the allowance for credit losses captures the lifetime expected credit losses.

Measurement of Expected Credit Losses:

The probability of default (PD), exposure at default (EAD), and loss given default (LGD) inputs used to estimate

expected credit losses shall be modelled based on macroeconomic variables that are most closely related with credit losses in the relevant portfolio.

Details of these statistical parameters/inputs are as follows:

PD—The probability of default shall be an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the remaining estimated life, if the asset has not been previously derecognised and are still in the portfolio.

12-month PDs—This is the estimated probability of default occurring within the next 12months (or over the remaining life of the financial instrument if that is less than 12 months). This shall be used to calculate 12-month ECLs.

Lifetime PDs—This is the estimated probability of default occurring over the remaining life of the financial instrument. This shall be used to calculate lifetime ECLs for “stage2” and stage3 exposures. PDs shall be limited to the maximum exposure required by IFRS 9.

EAD—The exposure at default shall be an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected draw downs on committed facilities, and accrued interest from missed payments.

LGD—The loss given default shall be an estimate of the loss arising in the case where a default occurs at a given time. It shall be based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realization of any collateral. It shall be usually expressed as a percentage of the EAD.

The measurement of expected credit losses for each stage and the assessment of significant increases in credit risk considers information about past events and current conditions as well as reasonable and supportable forecasts of future events and economic conditions. The estimation and application of forward-looking information requires significant judgement.

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The Company shall rely on a broad range of forward looking information as economic inputs, such as GDP growth, unemployment rates, central bank base rates, crude oil prices, inflation rates and foreign exchange rates. The inputs and models used for calculating expected credit losses may not always capture all characteristics of the market at the date of the financial statements. To reflect this, qualitative adjustments or overlays shall be made as temporary adjustments using expert credit judgement.

The Company shall determine allowance for credit losses using probability-weighted forward looking scenarios. The Company shall consider both internal and external sources of information in order to achieve an unbiased measure of the scenarios used. The Company prepares the scenarios using forecasts generated by credible sources such as Business Monitor International (BMI), International Monetary Fund (IMF), Nigeria Bureau of Statistics (NBS), World Bank, Central Bank of Nigeria (CBN), Nigeria Insurers Association, Financial Markets Dealers Quotation (FMDQ), and Trading Economics.

2.10.7 Assessment of Significant increase in Credit Risk (SICR)

At each reporting date, the company shall assess whether there has been a significant increase in credit risk for exposures since initial recognition by comparing the risk of default occurring over the remaining expected life from the reporting date and the date of initial recognition. The assessment considers borrower-specific quantitative and qualitative information without consideration of collateral, and the impact of forward-looking macroeconomic factors. The common assessments for SICR on retail and non-retail portfolios include macroeconomic outlook, management judgement, delinquency and monitoring. Forward looking macroeconomic factors shall be a key component of the macroeconomic outlook. The importance and relevance of each specific macroeconomic factor depends on the type of product, characteristics of the financial instruments and the borrower and the geographical region.

The Company shall adopt a multi factor approach in assessing changes in credit risk. This approach considers: Quantitative (primary), Qualitative (secondary) and Back stop indicators which are critical in allocating financial assets into stages.

The quantitative models consider deterioration in the credit rating of obligor/counter party based on the company's internal rating system or External Credit Assessment Institutions (ECAI) while qualitative factors consider information such as expected forbearance, restructuring, exposure classification by licensed credit bureau etc.

A back stop shall be used to ensure that in the (unlikely) event that the primary (quantitative) indicators do not change and there is no trigger from the secondary (qualitative) indicators, an account that has breached the 30 days past due criteria for SICR and 90 days past due criteria for default shall be transferred to stage 2 and stage 3 respectively except there is a reasonable and supportable evidence available without undue cost to rebut the presumption.

Definition of Default and Credit Impaired Financial Assets

At each reporting date, the Company shall assess whether financial assets are credit impaired. A financial asset shall be credit impaired when one or more of the following events have a detrimental impact on the estimated future cash flows of the financial asset:

- Significant financial difficulty of the borrower
- A breach of contract terms such as a default or past due event;
- It is becoming probable that the borrower will enter bankruptcy or other financial reorganization
- The disappearance of an active market for a security because of financial difficulties

A debt that has been renegotiated due to a deterioration in the borrower's condition shall be considered to be credit-impaired unless there is evidence that the risk of not receiving contractual cash flows has reduced significantly and there shall be no other indicators of impairment. In making an assessment of whether an investment in sovereign debts is credit-impaired, the Company shall consider the following factors:

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- i. The market's assessment of credit worthiness as reflected in the bond yields
- ii. The rating agencies' assessments of credit worthiness
- iii. The country's ability to access the capital markets for new debt issuance
- iv. The probability of debt being restructured, resulting in holders/lenders suffering losses through voluntary or mandatory debt forgiveness
- v. The international support mechanisms in place to provide the necessary support as lender of last resort to that country as well as the intention, reflected in public statements of governments and agencies to use those mechanisms. This includes an assessment of the depth of those mechanisms and irrespective of the political intent, whether there is the capacity to fulfil the required criteria.

Effective Interest Rate

EIR (also denoted Internal Rate of Return or Level Yield to Maturity) is in the context of IFRS 9, the interest rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial asset or financial liability to the gross carrying amount of a financial asset or the amortised cost of a financial liability.

Presentation of allowance for ECL in the statement of financial position

Allowances for ECL shall be presented in the statement of financial position as follows:

- Financial assets measured at amortised cost: as a deduction from the gross carrying amount of the assets
- Financial assets measured at FVOCI: no loss allowance shall be recognised in the statement of financial position because the carrying amount of these assets shall be their fair value. However, the loss allowance shall be disclosed and recognised in the fair value reserve.

2.11. Reinsurance Assets

The Company cedes insurance risk in the normal course of business on the bases of treaty agreements. Reinsurance assets represent balances due from Reinsurance Companies. Reinsurance assets are recognised when the related gross insurance claim is recognised according to the terms of the relevant contract.

Reinsurance assets also include prepaid reinsurance cost as at the reporting date. The Company assesses its reinsurance assets for impairment. If there is objective evidence that the reinsurance asset is impaired, the Company reduces the carrying amount of the reinsurance asset to its recoverable amount and recognises the impairment loss in the income statement. There are no indications of impairment as at year end. Amounts recoverable from reinsurers are estimated in a manner consistent with settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance assets are reviewed for impairment at each reporting date, or more frequently, when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Company may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Company will receive from the reinsurer. The impairment loss is recorded in the income statement.

Premiums, losses and other amounts relating to reinsurance treaties are recognised over the period from inception of a treaty to expiration of the related business. Ceded reinsurance arrangements do not relieve the Company from its obligations to policyholders.

STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES

2.12. Prepayments and Other Receivables

Prepayments and other receivables are carried at cost less accumulated impairment losses. The carrying amounts of the Company's non-financial assets other than deferred tax assets are assessed at the end of each reporting date to determine whether there is any indication of impairment. If any such indication exists then the asset's recoverable amount is estimated.

An impairment loss is recognised if the carrying amount of an asset exceeds its recoverable amount. A cash-generating unit is the smallest identifiable asset group that generates cash flows that are largely independent from other assets and groups. Impairment losses are recognised in income statement.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Impairment losses on non-revalued assets are recognised in the income statement as an expense, while reversals of impairment losses are also stated in the income statement. Impairment losses on revalued assets are recognised in other comprehensive income to the extent that the impairment loss does not exceed the amount in the revaluation surplus for that same asset.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

2.13. Investment properties

Investment properties are those properties held for rentals and appreciation in value and are not occupied by the Company. Investment properties comprise freehold land and buildings.

Recognition and measurement

Investment properties are measured initially at cost, including transaction costs. The carrying amount includes the cost of replacing part of an existing investment properties at the time that cost is incurred if the recognition criteria are met; and excludes the cost of the day-to-day servicing of an investment property. Subsequent to initial recognition, investment properties are carried at fair value. Fair value is based on active market prices, adjusted, if necessary, for any difference in the nature, location or condition of the specific asset.

Fair value changes are recognised under 'net fair value gains/losses' in the income statement.

Derecognition

Investment properties are derecognised either when they have been disposed of, or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the income statement in the year of retirement or disposal.

Transfer

Transfers are made to or from investment properties only when there is a change in use evidenced by the owner- occupation, commencement of an operating lease to another party or completion of construction or development. Transfer between investment property and owner-occupied property does not change the cost of that property for measurement or disclosure purposes.

STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES

2.14. Property, Plant and Equipment

Property, plant and equipment are initially recorded at cost. Land and building are subsequently carried at revalued amount being the fair value at the date of revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses. Revaluations are made with sufficient regularity such that the carrying amount does not differ materially from that which would be determined using fair value at the end of the reporting period.

Recognition and measurement

All other property, plant and equipment are stated at historical cost less depreciation. Historical cost includes expenditure that is directly attributable to the acquisition of the items. Any increase in assets carrying amount, as a result of revaluation is credited to other comprehensive income and accumulated in Revaluation Surplus within Revaluation reserves in equity. The increase is recognised in profit or loss to the extent that it reverses reduction decrease of the same asset previously recognised in profit or loss.

Subsequent costs

The cost of replacing part of an item of property or equipment is recognised in the carrying amount of the item, if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be reliably measured. The costs of the day-to-day servicing of property, plant and equipment are recognised in income statement as incurred.

Depreciation

Land is not depreciated. Depreciation on other assets is provided on a straight line basis so as to allocate the cost/revalued amounts less their residual values over the estimated useful lives of the assets. Depreciation begins when an asset is available for use and ceases at the earlier of the date that the asset is de-recognised or classified as held for sale in accordance with IFRS 5 'Non-current Assets Held for Sale and Discontinued Operations'.

The depreciation rates for the current and comparative periods are as follows:

Building	2%
Furniture and Fittings	10%
Motor Vehicles	20%
Machinery	10%
Computer Equipment	15%
Office Equipment	15%

The assets' residual values, useful lives and method of depreciation are reviewed, and adjusted if appropriate, at the end of the reporting year.

De-recognition

An item of property, plant and equipment is derecognised on disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de- recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the income statement of the year the asset is derecognised.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amount and are included in income statement.

STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES

2.15. Statutory Deposit

Statutory deposit represents the amount deposited with the Central Bank of Nigeria in accordance with Section 9 (1) and Section 10 (3) of Insurance Act, 2003. This is restricted cash as management does not have access to the balances in its day to day activities. Statutory deposits are measured at cost and interest income earned on the deposit is included in investment income.

2.16. Intangible assets (Software)**2.16.1 Recognition and Measurement**

Recognition of software acquired is only allowed if it is probable that future economic benefits to this intangible asset are attributable to and will flow to the Company. Software acquired is initially measured at cost. The cost of acquired software comprises its purchase price, including any import duties and non-refundable purchase taxes, and any directly attributable expenditure on preparing the asset for its intended use.

After initial recognition, software acquired is carried at its cost less any accumulated amortisation and any accumulated impairment losses. Maintenance costs are not to be included. Internally developed software is capitalised when the Company has the intention and demonstrates the ability to complete the development and use of the software in a manner that will generate future economic benefits, and can reliably measure the costs to complete the development. The capitalised costs include all costs directly attributable to the development of the software. Internally developed software is stated at capitalised cost less accumulated amortisation and impairment.

Subsequent expenditure on software assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

2.16.2 Amortisation

Amortisation is calculated on intangible assets on the straight line basis to write down the cost of software to its residual value over its estimated useful life. Amortisation methods, useful lives and residual values are reassessed at each reporting date. No Amortisation is charged on intangible assets until they are available for use.

Amortisation reduces an asset's carrying value to its residual value at the end of its useful life, and is allocated on a straight line basis over the estimated useful lives, as follows:

IES-Online Software 20%

2.17. Insurance Contracts Liabilities**2.17.1 Classification**

The Company applies IFRS 17- Insurance Contracts to insurance contracts and reinsurance contracts it issues, reinsurance contracts it holds and investment contracts with discretionary participation features (DPF) it issues. Investment contracts without DPF (with or without investment management services) fall within the scope of IFRS 9 – Financial Instruments.

All references to insurance contracts in these accounting policies apply to insurance contracts issued or acquired, reinsurance contracts issued or held, and investment contracts with DPF issued, unless specifically stated otherwise. All references to insurance contracts issued in these accounting policies apply to insurance contracts excluding reinsurance contracts held.

Some insurance contracts issued by the company have several components in addition to the provision of the insurance coverage service, such as an investment component, an investment management service, an embedded derivative and a provision of some other distinct goods or non- insurance services. The company

STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES

assesses its products to determine whether some of these components are distinct and need to be separated and accounted for applying other Standards. When these non-insurance components are non distinct they will be accounted for together with the insurance component as part of the accounting for an insurance contract.

The company first considers the need to separate distinct embedded derivatives and investment components before assessing the need to separate any non-insurance services component.

2.17.2 Insurance Revenue

For the General Model, The Company insurance revenue depicts the provision of services arising from a group of insurance contracts at an amount that reflects the consideration to which the Company expects to be entitled in exchange for those services. Insurance revenue from a group of insurance contracts is therefore, the relevant portion for the period of the total consideration for the contracts, (i.e., the amount of premiums paid to the Company adjusted for financing effect (the time value of money) and excluding any investment components). As the Company provides insurance services under a group of insurance contracts issued, it reduces its LRC and recognizes insurance revenue, which is measured by the amount of consideration the Company expects to be entitled to in exchange for those services.

For groups of insurance contracts measured under the General Model, insurance revenue consists of the sum of the changes in the LRC due to:

- The insurance service expenses incurred in the period measured at the amounts expected at the beginning of the Amounts allocated to the loss component.
- Repayments of investment components.
- Amounts that relate to transaction-based taxes collected on behalf of third parties.
- Insurance acquisition expenses.
- Amounts relating to risk adjustment for non-financial risk.
- The change in the risk adjustment for non-financial risk, excluding:
- Changes that relate to future service that adjust the CSM.
- Amounts allocated to the loss component.
- The amount of CSM for the services provided in the period.
- Other amounts, such as experience adjustments for premium receipts that relate to current or past service.

If any Insurance revenue also includes the portion of premiums that relate to recovering those insurance acquisition cash flows included in the insurance service expenses in each period. Both amounts are measured in a systematic way on the basis of the passage of time. For the Premium Allocation Approach (PAA), The insurance revenue for the period is the amount of expected premium receipts (excluding any investment component) allocated to the period. When applying the PAA, the Group recognizes insurance revenue for the period based on the passage of time by allocating expected premium receipts including premium experience adjustments to each period of service. At the end of each reporting period, the Company considers whether there was a change in facts and circumstances indicating a need to change, on a prospective basis, the premium receipt allocation due to changes in the expected pattern of claim occurrence.

2.17.3 Insurance Service Expenses

Insurance service expenses arising from a Company of insurance contracts issued comprises:

- Changes in the LIC related to claims and expenses incurred in the period excluding repayment of investment components.
- Changes in the LIC related to claims and expenses incurred in prior periods (related to past service)
- Other directly attributable insurance service expenses incurred in the period.
- Amortization of insurance acquisition cash flows, which is recognized at the same amount in both insurance service expenses and insurance contract revenue.

STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES

- Loss component of onerous groups of contracts initially recognized in the period.
- Changes in the LRC related to future service that do not adjust the CSM, because they are changes in the loss components of onerous group of contracts.

2.17.4 Income or expenses from reinsurance contracts held

The Company presents income or expenses from a group of reinsurance contracts held and reinsurance finance income or expenses in profit or loss for the period separately. Income or expenses from reinsurance contracts held are split into the following two amounts:

- Amount recovered from reinsurers.

An allocation of the premiums paid. The Company presents cash flows that are contingent on claims as part of the amount recovered from reinsurers. Ceding commissions that are not contingent on claims of the underlying contracts are presented as a deduction in the premiums to be paid to the reinsurer which is then allocated to profit or loss.

The Company establishes a loss recovery component of the asset for the remaining coverage for a group of reinsurance contracts held. This depicts the recovery of losses recognized on the initial recognition of an onerous group of underlying insurance contracts or on the addition of onerous underlying insurance contracts to a group. The loss recovery component adjusts the CSM of the group of reinsurance contracts held. The loss recovery component is then adjusted to reflect:

- Changes in the fulfillment cash flows of the underlying insurance contracts that relate to future service and do not adjust the CSM of the respective group to which the underlying insurance contracts belong.
- Reversals of loss recovery component to the extent those reversals are not changes in the fulfillment cash flows of the Company of reinsurance contracts held.
- Allocations of the loss recovery component against the amounts recovered from reinsurers reported in line with the associated reinsured incurred claims or expenses.

2.17.5 Insurance Finance Income and Expenses

Insurance finance income or expenses present the effect of the time value of money and the change in the time value of money, together with the effect of financial risk and changes in financial risk of a group of insurance contracts and a group of reinsurance contracts held. The use of OCI presentation for insurance finance income and expenses The Company has an accounting policy choice to present all the period's insurance finance income or expenses in profit or loss or to split the amount between profit or loss and other comprehensive income (OCI).

When considering the choice of presentation of insurance finance income or expenses, the company examines the assets held for that portfolio and how they are accounted for. Currently, the Company presents all the period's insurance finance income or expenses in the profit or loss. The company may reassess its accounting policy choice during the duration of a group of direct participating contracts when there is a change in whether the Group holds the underlying items or no longer holds the underlying items. When such change occurs, the company includes the amount accumulated in OCI by the date of the change as a reclassification adjustment to profit or loss spread across the period of change and future periods based on the method and on assumptions that applied immediately before the date of the change. Comparatives are not restated. When applying the PAA, the Company does not discount the liability for remaining coverage to reflect the time value of money and financial risk for group life and non-life policies with a coverage period of one year or less. For those claims that the company expects to be paid within one year or less from the date of incurrence, the Company does not adjust future cash flows for the time value of money and the effects of financial risks. However, claims expected to take more than one year to settle are discounted by applying the discount rate at the time the incurred claim is initially recognized.

STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES

2.18. Investment Contracts**2.18.1. Interest on Investment Contracts**

Interest accruing to the assured from investment of the savings is recognised in the income statement in the period it is earned while interest paid and due to depositors is recognised as expense. The net amount of the deposit administration revenue is transferred to the income statement.

2.18.2 Recognition and measurement of investment contracts

Receipt and payments under investment contracts are not classified as insurance contracts in the Income statement but are deposits accounted in the Statement of Financial Position in line with the accounting policies for financial instruments. The deposit liability recognised in the Statement of Financial Position represents the amounts payable to the holders of the investment contracts inclusive of allocated investment income.

A number of insurance and investment contracts contain a discretionary feature. This feature entitles the holder to receive, as a supplement to guaranteed benefits, additional benefits or bonuses:

- that is likely to be a significant portion of the total contractual benefits.
- whose amount or timing is contractually at the discretion of the Company; and
- that are contractually based on:
 - the performance of a specified pool of contracts or a specified type of contract
 - realised and /or unrealised investment returns on a specified pool of assets held by the Company
 - the profit or loss of the Company, fund or other entity that issues the contract.

Investment Contracts with Discretionary Participation Feature (DPF)

Insurance contracts and investment contracts with DPF are classified into two main categories, depending on the duration of risk and whether or not the terms and conditions are fixed.

Long-term Insurance Business (i.e. Long-term insurance contracts with fixed and guaranteed terms, and Long-term insurance contracts without fixed terms and with DPF) includes insurance business of all or any of the following classes, namely; life insurance business, superannuation business and business incidental to any such class of business.

The Company is concerned with Long-term insurance contracts without fixed terms and with DPF. Life assurance business means the business of, or in relation to, the issuing of, or the undertaking of liability to pay money on death (not being death by accident or in specified sickness only) or on the happening of any contingency dependent on the termination or continuance of human life (either with or without provision for a benefit under a continuous disability insurance contract), and include a contract which is subject to the payment of premiums for term dependent on the termination or continuance of human life and any contract securing the grant of an annuity for a term dependent upon human life.

2.19. Trade Payables

Trade payables are recognised when due and measured on initial recognition at the fair value of the consideration received less directly attributable transaction costs. Subsequent to initial recognition, they are measured at amortised cost using the effective interest rate method. These include amounts due to agents, brokers, insurance contract holders, insurance companies and reinsurance companies.

The fair value of a non-interest bearing liability is its discounted repayment amount. If the due date is less than one year, discounting is omitted.

STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES

Derecognition

Insurance payables are derecognised when the obligation under the liability is settled, cancelled or expired.

2.20. Other Payables and Accruals

Other payables and accruals are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. The fair value of a non-interest bearing liability is its discounted repayment amount. If the due date of the liability is less than one year discounting is omitted.

2.21. Taxation

Income tax expense comprises current and deferred tax. Income tax expense is recognised in the income statement except to the extent that it relates to items recognised directly in equity.

2.21.1 Current tax

Current tax is the expected tax payable on total or 'taxable' income for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

2.21.2 Deferred tax

Deferred income tax is provided, using the liability method, on all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted at the reporting period date and are expected to apply when the related deferred income tax liability is settled.

Deferred income tax assets are recognised for all deductible temporary differences and unused tax credits and losses, only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

2.22. Share capital and reserves**Issued share capital**

The issued ordinary shares of the Company are classified as equity instruments. Incremental costs directly attributable to the issue of an equity instrument are deducted from the initial measurement of the equity instruments.

Dividend

Dividends on ordinary shares are recognised and deducted from equity when they are approved by the Company's shareholders, while interim dividends are deducted from equity when they are paid. Dividends for the year that are approved after the reporting date are disclosed as an event after reporting date.

2.23. Statutory contingency reserve

Contingency reserve is done in accordance with the provisions of Section 22(1) (b) of the Insurance Act, 2003. The contingency reserve is credited with the higher of an amount equal to 1% of the gross premium or 10% of the profit. The amount shall accumulate until it reaches the amount of the minimum paid up capital.

2.24. Asset revaluation reserve

Subsequent to initial recognition, an item of property and equipment and, in certain circumstances, an intangible asset, may be revalued to fair value. However, if such an item is revalued, the whole class of asset to which that asset belongs has to be revalued. The revaluation surplus is recognised in equity, unless it reverses a decrease in the fair value of the same asset which was previously recognised as an expense, in which case it is recognised in income statement. A subsequent decrease in the fair value is charged against

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STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES

2.29. Short-term employee benefit

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as part of management expenses as the related service is provided. A provision is recognised for the amount expected to be paid under short-term cash, bonus or profit-sharing plans if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

The Company operates a defined contribution plan in accordance with the provisions of the Pension Reform Act 2004. The contribution of the Company is 10% of the qualifying monthly emoluments (i.e. basic, housing and transport) of employees. Employees' contribution is 8%. The Company's obligations for contributions to the plan are recognised as an expense in Income Statement when they are due.

2.30. Earnings Per Share

The Company presents basic earnings per share data for its ordinary shares. Basic earnings per share is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period.

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and date of completion of these financial statements that could give rise to dilution of equity.

2.31. Provisions, contingent liabilities and contingent assets**a) Provisions**

A provision is recognised when the Company has present obligations as a result of past event, it is probable that a outflow of resources embodying economic benefits will be required to settle the obligations and reliable estimate can be made of amount of the obligation. Provisions are not discounted at their present value and are determined based on the best estimate required to settle the obligation at the reporting date. these estimates are reviewed at each reporting date and adjusted to reflect the current best estimates.

b) Contingent assets

Contingent assets are possible assets whose existence will be confirmed by the occurrence or non-occurrence of uncertain future events that are not wholly within the control of the entity. Contingent assets are not recognised but they are disclosed when it is more likely than not that an inflow of benefits will occur. However, when the inflow of benefits is virtually certain an asset is recognised in the statement of financial position, because that asset is no longer considered to be contingent.

c) Contingent liabilities

A Contingent liability is a possible obligation that arises from the past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Company or a present obligation that is not recognised because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases where there is liability that cannot be recognised because it cannot be measured reliably. The Company does not recognise a contingent liability but discloses its existence in the financial statements.

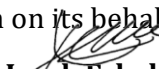
AFRICAN ALLIANCE INSURANCE PLC

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Audited Financial Statements for The Year Ended 31st December, 2024**STATEMENT OF FINANCIAL POSITION AS AT 31st DECEMBER 2024**

Assets	Notes	2024	31/12/2023'	1/1/2023
		₦'000	Restated ₦'000	₦'000
Cash and cash equivalents	6	748,979	739,360	1,060,089
Financial Assets:				
Fair value through profit or loss	7.2	1,964,784	3,328,589	6,408,805
Fair value through OCI	7.3	29,847,197	29,847,197	29,846,418
Amortized cost	7.4	62,782	62,782	62,583
Trade receivables	8	-	-	-
Reinsurance contract assets	9	117,308	135,120	166,819
Prepayments and other receivables	10	613,796	653,727	691,995
Investment properties	11	15,079,500	12,734,000	11,080,750
Investment in subsidiary	12	105,000	105,000	105,000
Investment in Associate		-	-	-
Deferred Tax Asset	25	146,476	146,476	146,476
Intangible assets	13	20,718	156,738	56,850
Property, plant and equipment	14	543,754	684,688	763,047
Right of Use Assets	15	50,795	-	-
Statutory deposit	16	200,000	200,000	200,000
Total Assets		49,501,090	48,793,677	50,588,832
Liabilities				
Insurance contract liabilities	17	37,412,939	40,323,718	42,408,806
Investment contract liabilities	18	2,849,146	2,919,135	776,643
Trade payables	19	3,443,737	2,905,370	665,407
Other payables and accruals	20	934,788	612,332	600,675
Short Term Borrowings	21	150,669	-	-
Employee benefit liabilities	22	60,531	561,869	113,310
Current income tax liabilities	23	567,981	561,865	558,187
Deferred tax	24	92,107	92,107	92,107
Total liabilities		45,511,898	47,976,396	45,215,136
Equity				
Issued share capital	26	10,292,500	10,292,500	10,292,500
Share premium	26	14,365,133	14,365,133	14,365,133
Statutory contingency reserve	27	2,157,966	1,983,877	1,922,694
Retained earnings	28	(38,224,789)	(41,222,611)	(36,605,015)
Fair value reserves	29	15,398,382	15,398,383	15,398,383
Total Equity		3,989,192	817,281	5,373,696
Total Liabilities And Equity		49,501,090	48,793,677	50,588,832

The financial statements were approved and authorised for issues by the Board of Directors on ____ April 2026 and sign on its behalf by:


Jacob Erhabor
 Managing Director/ CEO
 FRC/2025/CIIN/002/580404


Oremeyi Onefuwa Longe
 Executive Director – Finance
 FRC/2025/PRO/ICAN/001/108374

AFRICAN ALLIANCE INSURANCE PLC

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Audited Financial Statements for The Year Ended 31st December, 2024**STATEMENT OF PROFIT OR LOSS & OTHER COMPREHENSIVE INCOME FOR THE PERIOD ENDED 31st DECEMBER 2024**

		2024 N'000	2023 N'000
Insurance revenue	30	10,252,050	7,089,169
Insurance service expenses	31	(993,960)	(15,978,687)
Insurance service result from insurance contracts issued		9,258,090	(8,889,518)
Net expenses from reinsurance contracts held	32	(93,653)	(145,471)
Insurance service results		9,164,437	(9,034,989)
Investment income	35	3,564,183	3,825,525
Net Investment income		3,564,183	3,825,515
Net impairment loss on financial assets	38	-	4,713
Net investment income		3,564,183	3,830,238
Net finance income from insurance contracts issued	32b	(7,562,625)	3,008,078
Net insurance finance income		(7,562,625)	3,008,078
Net insurance and investment results		5,165,995	(2,196,673)
Other operating income	34	90,822	646,441
Other operating expenses	39/40	(2,078,791)	(3,002,463)
Other finance costs	42		
Profit before tax		3,178,026	(4,552,695)
Income tax expenses	43	(6,117)	(3,678)
Profit for the year		3,171,909	(4,556,373)

Other comprehensive income:***Item that may be reclassified to profit or loss:***

Fair value gain on financial assets at FVOCI

Item that will not be reclassified to profit or loss:Revaluation gain on property and equipment
(net of tax)**Other comprehensive income for the year****Total comprehensive income for the year****Earnings Per Share**

Basic/Diluted Earning Per Share

AFRICAN ALLIANCE INSURANCE PLC

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 Audited Financial Statements for The Year Ended 31st December, 2024

STATEMENT OF CHANGES IN EQUITIES FOR THE PERIOD ENDED 31st DECEMBER 2024


	Issued Share Capital	Share premium	Statutory Contingency Reserve	Fair Value Reserve	Retained Earnings	Total Equity
	N'000	N'000	N'000	N'000	N'000	N'000
At 1 st January 2024	10,292,500	14,365,133	1,983,877	15,398,382	(41,222,611)	817,281
Total comprehensive income for the year						
Profit for the year					3,171,909	3,171,909
Other comprehensive income						
Total comprehensive income for the year					3,171,909	3,171,909
Transfer between reserves			174,087		(174,087)	-
Issue of ordinary shares						
At 31st December 2024	10,292,500	14,365,133	2,157,964	15,398,382	(38,224,789)	3,989,192
At 1 st January 2023	10,292,500	14,365,133	1,922,694	15,398,382	(36,605,015)	5,373,696
Total comprehensive income for the year						
Profit for the year					(4,556,373)	(4,556,373)
Other comprehensive income						
Total comprehensive income for the year					(4,556,373)	(4,556,373)
Transfer between reserves			61,183		(61,183)	-
Issue of ordinary shares						
At 31st December 2023	10,292,500	14,365,133	1,983,877	15,398,382	(41,222,611)	817,281

The accompanying notes and significant accounting policies on pages 6 to 125 and other national disclosures on pages 126 and 127 form an integral part of these financial statements.

STATEMENT OF CASH FLOWS FOR THE PERIOD ENDED 31st December 2024

		2024	2023
	Notes	N'000	N'000
Cash flow from operating activities			
Premium received from policy holders	17.1	4,315,147	5,386,767
Premium received yet to be allocated	19.1	594,909	2,159,451
Cash withdrawals from deposit contract liabilities	18	(957,038)	(1,986,647)
Cash received from deposit contract liabilities	18	5,346	724,374
Reinsurance Premium paid net of Commission	9	75,840	145,621
Reinsurance claims and expenses received	9.3	-	(31,848)
Claims paid	17.1	(5,099,406)	(12,013,832)
Cash paid to reinsurers/ coinsurers		-	(39,521)
Commission received		-	1,836,742
Maintenance expenses paid		-	(174,332)
Acquisition costs	17.1	(431,054)	(1,339,464)
Retirement Benefits Paid	22	(31,576)	(21,203)
Employee benefits paid	39	(744,266)	(995,314)
Other operating expenses paid	40	(1,294,490)	(2,007,148)
Other income received	34	363,001	646,441
Interest received	34	-	3,825,526
Cash flows (used in)/generated from operating activities		(3,203,587)	(3,884,387)
Company income tax paid			
Net cash flows (used in)/generated from operating activities		(3,203,587)	(3,884,387)
Cash flow from investing activities:			
Purchase of property, plant and equipment	14	(9,421)	(71,200)
Additions to intangible assets		-	(137,390)
Capital Improvement of investment properties		-	-
Proceeds from disposal of property, plant and equipment	34/14	337	1,696
Proceeds from sale of financial assets	7	95,227	-
Proceed from sale of short term fixed Deposit	6	394,886	-
Purchase of financial assets-Bonds FVTPL		-	(240,000)
Cash received from disposal of bonds	7	1,104,121	3,580,594
Dividend received	33	1,477,388	256,466
Redemption of financial assets - Amortised cost Right of Use		-	195,935
Matured and liquidated placements			
Net cash flows used in investing activities		3,062,538	3,586,101
Cash flow from financing activities			
Short term Borrowings	21	150,669	-
Payments for lease liability – Principal		-	(22,444)
Issue share capital			
Net cash flow from financing activities		150,669	(22,444)
Net increase in cash and cash equivalents		9,619	(320,730)
Cash and cash equivalents at the beginning		739,360	1,060,090
Cash and cash equivalents at the end of the year (Note 3.3)		748,979	739,360

Notes To The Audited Financial Statements

1. General Information

African Alliance Insurance Company is a public limited company incorporated and domiciled in Nigeria. The registered office is located at 54 Awolowo Road, Ikoyi, Lagos.

The company is principally engaged in the business of providing risk underwriting for life, related financial and pension services, aviation and hospitality services to its customers.

2. Summary of significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are disclosed under General information on the Reporting Entity and Summary of Significant Accounting Policies. These policies have been consistently applied to all the years presented unless otherwise stated.

3. Solvency

The assets backing the life funds are as follows:

	Company	
	2024	2023
	N000	N000
Government Bonds	1,878,696	3,058,136
Cash and bank balances	748,979	739,360
Investment in quoted equity	270,453	270,453
Total	2,898,128	4,067,949

4. Management of Financial Risk

The Group is exposed to various financial risks in connection with its current operating activities, such as foreign currency risk, interest rate risk, credit risk, market risk and liquidity risk. These risks contribute to the key financial risk that the proceeds from the Group's financial assets are insufficient to fund the obligations arising from insurance policy contracts.

The Company manages these risks through the activities of the Audit Committee and the Investment Committee. Each committee meets at least four times per annum to discuss financial risk issues. Management is responsible for implementing recommendations that have been agreed and reporting back to the relevant committee.

The Audit Committee is a committee of the Board of African Alliance Insurance Plc and is responsible for the implementation and monitoring of overall risk management, internal financial controls, and financial and actuarial reporting within the Group. The main responsibilities of this Committee are:

- i) Setting and overseeing the overall standard for financial and actuarial reporting, risk management and internal controls within the Group;
- ii) Monitoring the effectiveness of business risk management processes in the Group;
- iii) Reviewing and assessing the quality of the work done by professionals responsible for financial and actuarial reporting, risk management and internal control;
- iv) Engaging in discussions with external and internal auditors on the quality and acceptability of the control environment and reporting structures.



Notes To The Audited Financial Statements

The Investment Committee is a management committee and is responsible for:

- i) Ensuring that insurance and investment contract liabilities are matched with appropriate supporting assets based on the type of benefits payable to the contract holders;
- ii) Ensuring that the long-term investment return on assets supporting policy liabilities are sufficient to fund policyholders' reasonable benefit expectations and the shareholders' profit entitlement;
- iii) The implementation and monitoring of the asset management process to ensure that the risks arising from trading positions are effectively managed within the pre-determined risk parameters.

4.1 Market Risk

The business's operations are exposed to market risk. Market risk is the risk of adverse financial impact as a consequence of market movements such as currency exchange rates, interest rates and other price changes. Market risk arises due to fluctuations in both the value of assets and liabilities. The Company has established policies and procedures in order to manage market risk.

The acquisition of policyholders' assets is based on the design of the product and marketing descriptions. Within these parameters, investments are managed with the aim of maximising policyholder returns while limiting risk to acceptable levels within the framework of statutory requirements.

The focus of risk measurement and management is to ensure that:

- Potential risks inherent in an investment are reasonable for the expected future reward;
- Exposure to investment risk is limited to acceptable levels;
- Premium rates are adequate to compensate for investment risk; and
- An adequate reserving policy is applied for long-term policy liabilities.

The diverse product range requires a variety of approaches to the management of risk. These range from portfolio management practices and techniques, such as optimisation of expected risks and rewards based on investment objectives, to asset-liability matching in support of statement of financial position obligations.

4.2 Foreign Exchange Risk

Foreign exchange risk is the risk associated with movements in foreign exchange rates arising from foreign currency denominated transactions to which the Group is exposed.

The Group is exposed to foreign exchange risk primarily through certain transactions denominated in foreign currencies. This includes exposures to currencies such as US Dollars and Pounds through bank balances held in foreign currencies.

The Group manages its exposure to foreign exchange risk using sensitivity analysis to assess potential changes in the value of foreign exchange positions and the impact of such changes on the Group's income. There have been no major changes from the previous year in the exposure to risk or in the policies, procedures, and methods used to measure the risk.

4.3 Liquidity Risk

Liquidity risk is the risk that the Company is unable to meet its obligations when they fall due as a result of policyholder benefit payments, cash requirements from contractual commitments, or other cash outflows such as debt maturities. Such outflows may deplete available cash resources for operational, trading and investment activities.

In extreme circumstances, a lack of liquidity could result in reductions in the consolidated statement of financial position through the forced sale of assets or, potentially, an inability to fulfil policyholder commitments. This risk is inherent in all insurance operations and may be affected by a range of institution-specific and market-wide events including, but not limited to, credit events, merger and acquisition activities, systemic shocks and natural disasters.



Notes To The Audited Financial Statements

Monitoring and reporting of liquidity risk take the form of cash flow measurement and projections for the next day, week and month, as these are key periods for liquidity management. The starting point for these projections is an analysis of the undiscounted contractual cash flows at the maturity of financial liabilities and the expected collection dates of financial assets.

All policyholder funds are invested in appropriate assets to meet the reasonable benefit expectations of policyholders, including the expectation that funds will be available to pay benefits as required by the policy contracts. The disclosure in Note 6 demonstrates that the Group has significant liquid resources. The values of policyholders' liabilities and the assets backing them are stated at their carrying amounts in the statement of financial position.

4.4 Underwriting risk

Underwriting risk relates mainly to the uncertainty that the insured event will occur. The nature of an insurance contract is that the timing and size of claims are uncertain and therefore unpredictable. The principal underwriting risk is the risk that the actual outcome of mortality, morbidity and medical claims will result in volatile profits from one year to the next. Such volatility may result from large concentrations of risk or from charging inadequate premiums relative to the severity or incidence of the risk accepted. Inadequate policy wording may fail to protect the insurer from claims that were not envisaged when the product was priced. Insurance events are random and the actual number and amount of underwriting benefits will vary from the best estimates established from statistical techniques and taking cognizance of past experience. The Group manages these risks through its underwriting strategy, reinsurance arrangements and claims handling processes.

The following policies and practices are used by the Group as part of its underwriting strategy to mitigate underwriting risk:

- i) All long-term insurance product additions and alterations, both within and outside of agreed business definitions, are required to pass through the approvals framework that forms part of the governance process. The contracted actuary approves the financial soundness of new and revised products.
- ii) The Group's underwriting strategy aims to ensure that the underwriting risks are well diversified in terms of type (medical, occupational, financial) and amount of risk covered. Whilst this is difficult to measure at underwriting stage, the success or failure of the strategy may be measured by the historical stability of profits emerging from the book of business.
- iii) Product pricing and reserving policies also include specific allowance for the risk of HIV/AIDS.
- iv) The contracted actuary reports annually on the profitability of the business taking into consideration the reasonable benefit expectation of policy holders. All new rate tables are approved and authorized by the statutory actuary prior to being issued.
- v) The right to re-rate premiums is retained as far as possible, although this is limited by competitive pressure.
- vi) Investigations into mortality and morbidity experience are conducted when necessary to ensure that corrective action is taken

Notes To The Audited Financial Statements

4.6.1 Individual business

A gross premium method was used for individual risk business. This is a monthly cash flow projection approach taking into account the incidence of all expected future cash flows including office premiums, expenses and benefit payments satisfying the Liability Adequacy Test.

Individual Deposit Business

The reserves for individual deposit administration policies have been taken as the amount standing to the credit of the policy holders at the valuation date. Risk reserves have been held in addition to cover future expenses and the cost of life cover using a cash flow projection approach.

4.6.2 Group business

Reserves for Group Life business comprise an unexpired premium reserve (UPR) and where necessary, are serve for Incurred But Not Reported Claims (IBNR) to make an allowance for the delay in reporting of claims.

The UPR represents the unexpired portion of the premium for each scheme, net of an expense margin reflecting the acquisition cost loadings. The adequacy of the UPR has been tested by comparing against an Additional Unexpired Risk Reserve (AURR), which has been calculated using pooled industry claims data for the underlying assumptions. An AURR will be held in cases where the UPR is deemed insufficient to meet claims in respect of the unexpired period.

A loss ratio has been used for IBNR reserving, where the underlying claim rates are based on an analysis of historical group life claims experience, with judgement adopted where required. No separate reserve is proposed for claims handling costs for Group Life business as these are typically insignificant in size. Costs incurred are absorbed as part of the general business management costs.

4.7 Process used to decide on assumption**4.7.1 Valuation interest rate:**

The valuation interest rate is based on current market risk-free yields with adjustments. The use of a risk-free rate also implies that future investment margins (in excess of the risk-free return) will not be capitalized upon, which satisfies paragraph 27 of IFRS17. Further the result is a “fair value” liability calculation which aids the comparability of accounts between insurers.

Net valuation interest rate of 12.16% pa & 13.94% pa were adopted for annuity and other long term businesses, which has been applied as a single long term rate of return. As at 31 December, 2023, FGN bond yields of duration between 5 and 20 years were round 13.00%. The 30-year FGN bond yield was 13.28%.

For the purpose of determining the valuation interest rate, we have considered a 0.5% prudent margin against the long term yield to arrive at a gross valuation interest rate of 12.16% and 13.94%. This makes some allowance for the volatility and liquidity of the “riskfree” yields.

Notes To The Audited Financial Statements

4.7.2 Expenses The Company makes provisions for expenses in its mathematical reserves of an amount which is not less than the amount expected to be incurred in fulfilling its long-term insurance contracts.

Future maintenance expenses

The regulatory maintenance expenses are derived from the best estimate maintenance expenses plus a prudence margin for adverse deviations. The best estimate maintenance expenses are calculated using the sum of the following:

- (1) Per policy maintenance charges
- (2) Allocated operating expenses

4.7.3 Expense Inflation

The above expenses are subject to inflation at 13.19% pa. Consumer Price Inflation at 31 December 2023 was 13.19%. In the long run, we anticipate consumer price inflation levels falling and, as well, the Company being efficient in its operations.

4.7.4 Mortality There has been no change to the mortality assumption since the previous valuation. For annuity books we use UKPA 90 Ultimate Mortality Tables with an age rating of -2 for both males and females.

The mortality table for the current valuation remains at the UK's Mortality of Assured Lives 1967-70 (A67-70) without adjustment for individual risk business.

The industry analysis shows that the A67-70 table appears prudent based on recent experience. Further the reserves are less sensitive to the mortality basis.

4.7.5 Withdrawals

Withdrawals comprise both surrenders (voluntary) and lapses (involuntary). Surrenders are acceptable under the Endowment life assurance portfolio after policies have been in force for a pre-defined length of time (at which policies become eligible to receive a surrender value payout).

4.7.6 Bonuses

Reversionary bonuses are allotted in respect of each full year's premium paid. Reversionary bonuses vest on the policy anniversary.

4.4.7 Group life businesses.

Unexpired premium reserves (UPR) are reduced by a margin representing acquisition expenses, as these have been loaded into rates yet they have already been incurred Acquisition expense ratio of 20% of gross premium was adopted and a NAICOM (regulatory) fee is payable at 1% of premium, the remaining 10% of premium reflects the loading for additional acquisition expenses. Additional Reserves Additional reserves such as data contingencies and expense overrun reserves were estimated as necessary using the information available and reported in the main valuation.

4.7.9 Reinsurance agreements

Reinsurance is allowed for in the valuation by having gross and reinsurance ceded records in the policy files. All reserves has been reported gross of reinsurance, with the value of the reinsurance asset reported separately.

4.7.9 Changes in assumptions

The Company did not change its assumptions for the insurance contracts.

4.8 Insurance and Market risk sensitivities The sensitivity analysis of insurance and market risk is used as it provides a detailed understanding of the risks inherent in the business and to help develop a risk monitoring and management framework to ensure the risks remain within limits, taking into account the available capital and shareholder risk tolerance levels.

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 Audited Financial Statements for The Year Ended 31st December, 2024


31-Dec-2024	Carrying amount N'000	0-3 months N'000	3 to 9 months N'000	9 to 1 year N'000	1 to 5 years N'000	> 5 years N'000	Total N'000
Trade payables	3,443,737	344,374	860,934	1,205,308	516,561	516,561	3,443,737
Other liabilities	1,399,669	139,967	349,917	489,884	209,950	209,950	1,399,669
Investment linked contract liabilities	2,868,101	286,810	717,025	1,003,835	430,215	430,215	2,868,101
Total financial liabilities	7,374,498	737,450	1,843,625	2,581,074	1,106,175	1,106,175	7,374,498
Cash and bank balances	748,979	74,898	187,245	262,143	112,347	112,347	748,979
Marketable investment securities	1,964,784	98,239	58,944	137,535	98,239	1,571,827	1,964,784
Other receivables	613,796	61,380	153,449	214,828	92,069	92,069	613,796
Total financial assets	3,327,558	234,517	399,637	614,506	302,655	1,776,243	3,327,558
Net financial assets and liabilities	(4,046,940)	(502,934)	(1,443,988)	614,506	(803,520)	670,069	(4,046,943)
Insurance contract liabilities – Life fund	(37,412,939)	(1,201,610)	(1,602,146)	(2,563,434)	(2,643,541)	(29,402,208)	(37,412,939)
Net policyholders assets and liabilities	(41,459,879)	(1,704,544)	(3,046,135)	(4,530,002)	(3,447,062)	(28,732,140)	(41,459,882)
31-Dec-2023	Carrying amount	0-3 months	3 to 9 months	9 to 1 year	1 to 5 years	> 5 years	Total
Trade payables	2,905,370	290,537	726,343	1,016,880	435,806	435,806	2,905,370
Other liabilities	1,221,740	122,174	305,435	427,609	183,261	183,261	1,221,740
Investment linked contract liabilities	2,919,135	291,913	729,784	1,021,697	437,870	437,870	2,919,135
Total financial liabilities	7,046,245	704,624	1,761,562	2,466,186	1,056,937	1,056,937	7,046,245
Cash and bank balances	739,360	73,936	184,840	258,776	110,904	110,904	739,360
Marketable investment securities	33,237,789	3,323,779	8,309,447	11,633,226	4,985,668	4,985,668	33,237,789
Reinsurance contract assets	104,553	-	-	104,554	-	-	104,553
Other receivables	653,727	65,373	163,432	228,804	98,059	98,059	653,727
Total financial assets	34,735,429	3,463,088	8,657,719	12,225,359	5,194,631	5,194,631	34,735,429
Net financial assets and liabilities	27,689,184	2,758,464	6,896,158	9,759,176	4,137,695	4,137,695	27,689,186
Insurance contract liabilities – Life fund	40,849,131	4,084,913	10,212,283	14,297,196	6,127,370	6,127,370	40,849,131
Net policyholders assets and liabilities	68,538,315	6,843,377	17,108,441	24,056,372	10,265,065	10,265,065	68,538,317

The maturity of non-derivative financial liabilities and financial assets have been compiled based on undiscounted cash flows, which include estimated interest payments.

Notes To The Audited Financial Statements

4.9. Capital management policies and procedures

The Company manages its capital to ensure that the company will be able to continue as going concern and comply with the regulators' capital requirements while maximising the return to stakeholders through the optimization of the debt and equity balance. The capital structure of the company consists of equity attributable to equity holders of the parent, comprising issued capital, reserves and retained earnings.

In line with the Finance Act 2021 - Part ix – Insurance Act, as an existing company, the capital requirement is as shown below:

	2024	2023
Share capital	10,292,500	10,292,500
Share premium	14,365,133	14,365,133
Contingency reserves	2,157,966	1,983,877
Retained earnings	(38,224,789)	(41,222,611)
	<u>(11,409,190)</u>	<u>(14,581,101)</u>

The Company's policy is to maintain a strong capital base to maintain investor, creditor and market confidence and to sustain the future development of the business. Management uses regulatory capital ratios to monitor its capital base. Capital is allocated between specific operations and activities and to a large extent driven by optimization of the return achieved on the capital allocated.

The amount of capital allocated to each activity is based primarily on the regulatory capital. In some cases the regulatory requirements do not fully reflect the varying degree of risk associated with different activities.

In such cases, the capital requirements may be flexed to reflect differing risk profiles, subject to the overall level of capital to support a particular operation not falling below the minimum required for regulatory purposes.

The process of allocating capital to specific operations or activities is undertaken independently of those responsible for the operation by a committee.

The National Insurance Commission (NAICOM) specifies the minimum amount and type of capital that must be held by the company to cover the insurance liabilities. The regulator measures the financial strength of insurance companies using the capital adequacy requirements for the category of company. This test compares insurer's capital against the risk profile.

The company recorded a positive shareholders fund and Solvency Margin deficiency of N2,40 billion and N2.04billion respectively. The solvency margin is below the minimum regulatory capital of N2billion

Notes To The Audited Financial Statements

4.10. Company Hypothecation 2024

	Life Fund N'000	Annuity N'000	Investment Contract N'000	Total N'000
Insurance Contract Liabilities	8,136,092	29,276,847	-	37,412,939
Investment Contract Liabilities	-		2,849,146	2,849,146
Gross Insurance Funds	8,136,092	29,276,847	2,849,146	40,262,085
Less				
Reinsurance Receivables				
1 Reinsurance expenses prepaid	-	-	-	-
2 Reinsurers' share of Claims expense paid	(72,650)	-	-	(72,650)
3 Reinsurers' share of Unearned premium reserve	(44,658)	-	-	(44,658)
4 Reinsurers' share of Incurred but not reported claims	-	-	-	-
5 Others (specify)	-	-	-	-
Net Insurance Funds	8,018,784	29,276,847	2,849,146	40,144,777
Admissible Assets				
1 Cash and Cash Equivalents	420,150	210,120	118,709	748,979
2 Government and Corporate Bonds	336,508	268,975	1,273,213	1,878,696
3 Loans to Policy holders	153,064	-	-	153,064
4 Investment Properties	6,588,000	670,000	2,323,500	9,581,500
Total Admissible Assets	7,497,722	1,149,095	3,715,422	12,362,239
SURPLUS (DEFICIT) IN ASSETS COVER	(521,062)	(28,127,752)	866,276	(27,782,538)

Notes To The Audited Financial Statements

Company Hypothecation

2023

Item	Life Fund N'000	Annuity N'000	Investment Contract N'000	Total N'000
Insurance Contract Liabilities	11,046,871	29,276,847	-	40,323,718
Investment Contract Liabilities	-	-	2,919,135	2,919,135
Gross Insurance Funds	11,046,871	29,276,847	2,919,135	43,242,853
Less				
Reinsurance Receivables				
1 Reinsurance expenses prepaid	-	-	-	-
2 Reinsurers' share of Claims expense paid	(76,220)	-	-	(76,220)
3 Reinsurers' share of Unearned premium reserve	(58,901)	-	-	(58,901)
4 Reinsurers' share of Incurred but not reported claims	-	-	-	-
5 Others (specify)	-	-	-	-
Net Insurance Funds	10,911,750	29,276,847	2,919,135	43,107,732
Admissible Assets				
1 Cash and Cash Equivalents	325,140	287,632	126,588	739,360
2 Government & Corporate Bonds	2,255,857	275,278	584,577	3,115,712
3 Quoted Shares	101,215	-	30,103	131,318
4 Unquoted Shares	46,292	21,060	27,045	94,397
5 Investment Properties	5,759,230	494,948	2,150,822	8,405,000
Total Admissible Assets	8,487,734	1,078,918	2,919,135	12,485,787
SURPLUS (DEFICIT) IN ASSETS COVER	(2,424,016)	(28,197,929)	-	(30,621,945)

Notes To The Audited Financial Statements

4.11 Minimum Capital requirement

The Company's issued and paid up share capital as at December, 2024 is N10,292,500

The Solvency Margin of The Company as at 31 December 2024 is as follows

	Total	Admissible	Inadmissible
	N'000	N'000	N'000
Assets			
Cash & Cash Equivalent	748,979	748,979	-
FVTPL- Quoted Equities	86,088	86,088	-
FVTPL- Bonds	1,878,696	1,878,696	-
FVTOCI	29,847,197	29,847,197	-
Amortised Cost	62,782	62,782	-
Trade Receivable	-	-	-
Reinsurance contract assets	117,308	117,308	-
Other Receivable & Prepayment	613,796	142,463	471,333
Investment properties	15,079,500	9,581,500	5,498,000
Investment in Subsidiary	105,000	-	105,000
Deferred Tax Asset	146,476	-	146,476
Intangible assets	20,718	-	20,718
Right of Use Assets	50,795	-	50,795
Property Plant & Equipment(Land & Building)	274,221	274,221	-
Property Plant & Equipment (Others)	269,533	269,533	-
Statutory Deposit	200,000	200,000	-
Total Assets (a)	49,501,090	43,208,767	6,292,322
Liabilities			
Insurance Contract Liabilities	37,412,939	37,412,939	-
Investment Contract Liabilities	2,849,146	2,849,146	-
Borrowing	-	-	-
Trade Payable	3,443,737	3,443,737	-
Other Payables & Accruals	1,085,457	1,085,457	-
Provision and Accruals	-	-	-
Employee Benefits Liabilities	60,531	60,531	-
Deferred Tax Liabilities	92,107	-	92,107
Tax Payable	567,981	567,981	-
Total Liabilities (b)	45,511,898	45,419,791	92,107
SOLVENCY MARGIN (a-b)		(2,211,024)	
Subject to Higher of:			
Net Premium Income			
15% of Net premium income	1,537,808		
Minimum Capital Requirement or		2,000,000	
Surplus/(Deficit) In Solvency Margin		(4,211,024)	
Regulatory Solvency Ratio		(111)%	
Solvency Coverage Ratio		(211)%	

The company did not meet the minimum capital requirement of N2 billion as stipulated by the Insurance Act

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Audited Financial Statements for The Year Ended 31st December, 2024**Notes To The Audited Financial Statements**

The Solvency Margin for African Alliance Insurance Plc. as at 31 December 2023 is as follows:	Total N'000	Admissible N'000	Inadmissible N'000
Assets			
Cash & Cash Equivalent	739,360	623,253	116,107
FVTPL – Quoted Equities	139,135	139,135	-
FVTPL – Bonds	6,269,671	6,269,671	-
FVTOCI	29,846,418	29,846,418	-
Amortised Cost	62,292	62,292	-
Trade Receivable	-	-	-
Reinsurance Contract Assets	100,957	100,957	-
Other Receivables & Prepayment	691,955	172,434	519,521
Investment Properties	11,080,750	5,335,966	5,744,784
Investment in Subsidiary	105,000	-	105,000
Investment in Associate	-	-	-
Retirement Benefit Assets	-	-	-
Deferred Tax Asset	146,476	-	146,476
Intangible Assets	33,360	33,360	-
Right of Use Assets	23,490	-	23,490
Property Plant & Equipment (Land & Building)	284,000	284,000	-
Property Plant & Equipment (Others)	479,378	479,378	-
Statutory Deposit	200,000	200,000	-
Total Assets (a)	50,522,970	43,867,593	6,655,377
Liabilities			
Insurance Contract Liabilities	40,323,718	40,323,718	-
Investment Contract Liabilities	2,919,135	2,919,135	-
Borrowing	-	-	-
Trade Payable	2,905,370	2,905,370	-
Other Payables & Accruals	611,550	708,927	-
Provision and Accruals	-	-	-
Employee Benefits Liabilities	92,107	92,107	-
Deferred Tax Liabilities	561,869	-	561,869
Tax Payable	561,865	561,865	-
Total Liabilities (b)	47,975,614	47,511,122	561,869
SOLVENCY MARGIN (a-b)		(2,041,906)	
Subject to Higher of:			
Net Premium Income	6,889,986		
15% of Net Premium Income	1,033,498		
Minimum Capital Requirement	2,000,000		
Surplus/(Deficit) in Solvency Margin		(4,041,906)	
Gross Solvency Ratio		(202%)	
Net Solvency Ratio		(302%)	

6. Cash and cash equivalent

	2024 N'000	2023 N'000
Cash in bank (note 6.2)	1,167,914	273,904
Short Term Bank Deposit (Termination of FD)	(418,935)	465,456
	748,979	739,360
Short Term Bank Deposit		
Short Term Bank Deposit (Termination of FD)	(394,886)	489,505
ECL Impairment (notes 6.1)	(24,049)	(19,336)
Additional ECL Impairment during the year	-	(4,713)
	(418,935)	465,456

6.1 Movement in ECL adjustment on cash and cash equivalent is detailed below

	2024 N'000	2023 N'000
At 1 January	24,049	19,336
Movement for the year	-	4,713
At 31 December	24,049	24,049

6.2 Cash and cash equivalent for the purpose of cashflow

Cash and cash equivalents includes cash in hand, deposits held at call with banks, other short-term highly liquid investments with original maturities of three months or less. They include:

	2024 N'000	2023 N'000
Cash in bank	1,167,914	273,904
Short Term Bank Deposit (Termination of FD)	(394,886)	489,505
Bank overdraft (see note 23)	-	-
Cash and cash equivalent for cash flow purpose	773,028	763,408

7. Financial Asset

	2024 N'000	2023 N'000
Financial assets	31,874,763	33,238,568

Notes To The Audited Financial Statements**7.1 FVTPL - Quoted equities**

These are quoted equities in the Nigerian Stock Exchange, the fair value were determined by reference to the quoted closing bid price at the end of the reporting year derived as follows:

	2024	2023
	N'000	N'000
Quoted equity securities	86,088	270,453
	86,088	270,453

7.1(i) Movement in FVTPL - Quoted equities

At 1 January	270,453	139,135
Fair value changes	(184,365)	131,318
At 31 December	86,088	270,453

During the year 2021, the entity's investment in quoted equities of 3,900,000,000 units in universal Insurance Plcs was transfer to CONAU Trade and Investment Limited as part of the purchase consideration towards the re- acquisition of its investment in PAL Pensions Limited at market value of N780 million included in the disposal amount above.

For the purpose of cash flow, the market value of N780 million was not included as the transfer didn't involve exchange of cash between the parties (Conau Trade and Investment Limited and the Entity African Alliance Insurance)

7.2 FVTPL - Debt Securities (bonds)

Government and corporate bonds	3,058,136	2,929,077
Disposal	(1,104,121)	
Fair value changes	(75,319)	129,058
	1,878,696	3,058,136

7.2(i) Movement in FVTPL - Debt Securities (bonds)

At 1 January	3,058,136	6,269,672
Reclassification from Amortized cost – FVTPL	-	-
Additions	-	240,000
Redemption/disposal	(1,104,121)	(3,580,594)
Interest income on bond		-
Fair value changes	(75,319)	129,058
	1,878,696	3,058,136

Notes To The Audited Financial Statements

7.2(ii) Net fair value gains/(loss)

	2024 N'000	2023 N'000
Fair value loss on equity shares	(184,365)	131,318
Fair value loss on Bonds	(75,319)	129,058
	(259,684)	260,376

7.3 (FVOCI (Unquoted Equities))

The unquoted equities carried as fair value through Other Comprehensive Income financial assets were fair valued using the fund prices advised by the investee companies

Other unquoted equities (note 7.3i)	94,397	94,397
Investment in PAL Pension Limited	29,752,800	29,752,800
	29,847,197	29,847,197

The Company received dividend income of ₦1.477 billion from PAL Pensions Limited during the year, which has been recognised as part of investment income in the statement of profit or loss.

7.3(i) Movement in FVOCI – other unquoted equities

At 1 January	94,397	93,618
Translation adjustment	-	-
Fair value changes	-	779
At 31 December	94,397	94,397

7.3(ii) Movement in unquoted equities FVOCI

At 1 January	94,397	94,397
Additions	-	-
Impairment (charge)/write back	-	-
Fair value loss at the date of repurchase Note 29	-	-
Disposal	-	-
Fair value changes	-	-
At 31 December	94,397	94,397

7.4 Amortised cost - Debt securities

Corporate bond	57,576	57,576
Treasury Bills	6,205	6,205
ECL Adjustment	(999)	(999)
	62,782	62,782

Notes To The Audited Financial Statements**7.4(i) Movement in ECL adjustment on Amortised cost - Debt securities**

	2024	2023
	N'000	N'000
At 1 January	(999)	(1,489)
Movement for the year	-	490
At 31 December	(999)	(999)

8. Premium receivables

Premium receivables	-	-
Trade debtors	-	-
Impairment allowance	-	-
	-	-

8.1 Movement in impairments of trade receivables

At 1 January	-	-
Additional charge during the year	-	-
At 31 December	-	-

8.1 Movement in Premium Receivables

Opening Trade Premium	-	-
Gross Premium Written	4,315,147	5,386,767
Total	4,315,147	5,386,767
Premium Received/Receipted	(4,315,147)	(5,386,767)
Closing Premium Receivables	-	-
Less:	-	-
Impairment (ECL) allowance	-	-
	-	-

9 Reinsurance contract assets:

This is analysed as follows:

Asset for Remaining coverage	72,650	76,220
Asset for Incurred claims	44,657	58,901
	117,308	135,120

9.1 Reconciliation of the Asset for remaining coverage and the Asset for incurred claims for reinsurance contracts - AGGREGATE - 2024

	Asset for Remaining Coverage (ARC)		Asset for Incurred Claims(AIC)	Risk Adjustment	Reinsurance Contract Asset
	Non-onerous	Onerous	PVFCF		
Reconciliation of carrying amounts by ARC/AIC: reinsurance					
Opening reinsurance contract assets	76,219	-	57,722	1,178	135,120
Opening reinsurance contract liabilities	-	-	-	-	-
Net opening balance	76,219	-	57,722	1,178	135,120
reinsurance revenue	(79,409)	-	-		(79,409)
reinsurance service expenses					
Incurred claims and other expenses	-	-	-		-
Acquisition expenses	-	-	-		-
Changes related to future service	-	-	-		-
Changes related to past service	-	-	(13,958)	(285)	(14,243)
Net Expense/Income from Reinsurance Held.	-	-	(13,958)	(285)	(14,243)
Investment components	-	-	-		-
reinsurance service result	(79,409)	-	(13,958)	(285)	(93,652)
reinsurance finance expenses	-	-	-		-
Total change in comprehensive income	(79,409)	-	(13,958)	(285)	(93,652)
Premiums Paid net of commission	75,840	-	-		75,840
Reinsurance Claims and expenses received	-	-	-		-
Acquisition costs paid	-	-	-		-
Total cash flows	75,840	-	-		75,840
Closing reinsurance contract assets	72,650	-	43,764	893	117,308
Closing reinsurance contract liabilities	-	-	-		-
Net closing balance	72,650	-	43,764	893	117,308

9.2 Reconciliation of the Asset for remaining coverage and the Asset for incurred claims for reinsurance contracts - PAA – 2024

	Asset for Remaining Coverage (ARC)		Asset for Incurred Claims(AIC)	Risk Adjustment	Reinsurance Contract Asset
	Non-onerous	Onerous			
Reconciliation of carrying amounts by ARC/AIC: reinsurance			PVFCF		
Opening reinsurance contract assets	76,219	-	57,722	1,178	135,120
Opening reinsurance contract liabilities	-	-	-	-	-
Net opening balance	76,219	-	57,722	1,178	135,120
reinsurance revenue	(79,409)	-	-		(79,409)
reinsurance service expenses					
Incurred claims and other expenses	-	-	-		-
Acquisition expenses	-	-	-		-
Changes related to future service	-	-	-		-
Changes related to past service	-	-	(13,958)	(285)	(14,243)
Net Expense/Income from Reinsurance Held.	-	-	(13,958)	(285)	(14,243)
Investment components	-	-	-		-
reinsurance service result	(79,409)	-	(13,958)	(285)	(93,652)
reinsurance finance expenses	-	-	-		-
Total change in comprehensive income	(79,409)	-	(13,958)	(285)	(93,652)
Premiums Paid net of commission	75,840	-	-		75,840
Claims and expenses received	-	-	-		-
Acquisition costs paid received	-	-	-		-
Total cash flows	75,840	-	-		75,840
Closing reinsurance contract assets	72,650	-	43,764	893	117,308
Closing reinsurance contract liabilities	-	-	-		-
Net closing balance	72,650	-	43,764	893	117,308

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9.3 Reconciliation of the Asset for remaining coverage and the Asset for incurred claims for reinsurance contracts - AGGREGATE – 2023

	Asset for Remaining Coverage (ARC)		Asset for Incurred Claims PVFCF	Risk Adjustment	Reinsurance Contract Asset
	Non-onerous	Onerous			
Reconciliation of carrying amounts by ARC/AIC: reinsurance					
Opening reinsurance contract assets	82,932	-	82,208	1,678	166,818
Opening reinsurance contract liabilities	-	-	-	-	-
Net opening balance	82,932	-	82,208	1,678	166,818
reinsurance revenue	(152,333)	-	-	-	(152,333)
reinsurance service expenses					
Incurred claims and other expenses	-	-	31,211	637	31,848
Acquisition expenses	-	-	-	-	-
Changes related to future service	-	-	-	-	-
Changes related to past service	-	-	(24,486)	(500)	(24,986)
Net Expense/Income from Reinsurance Held.	-	-	6,725	137	6,862
Investment components	-	-	-	-	-
reinsurance service result	(152,333)	-	6,725	137	(145,470)
reinsurance finance expenses	-	-	-	-	-
Total change in comprehensive income	(152,333)	-	6,725	137	(145,470)
Premiums Paid net of commission	145,621	-	-	-	145,621
Reinsurance Claims and expenses received	-	-	(31,211)	(637)	(31,848)
Acquisition costs received	-	-	-	-	-
Total cash flows	145,621	-	(31,211)	(637)	113,772
Closing reinsurance contract assets	76,219	-	57,722	1,178	135,120
Closing reinsurance contract liabilities	-	-	-	-	-
Net closing balance	76,219	-	57,722	1,178	135,120

9.4 Reconciliation of the Asset for remaining coverage and the Asset for incurred claims for reinsurance contracts - PAA – 2023

	Asset for Remaining Coverage (ARC)		Asset for Incurred Claims	Risk Adjustment	Reinsurance Contract Asset
	Non-onerous	Onerous			
Reconciliation of carrying amounts by ARC/AIC: reinsurance					
Opening reinsurance contract assets	82,932	-	82,208	1,678	166,818
Opening reinsurance contract liabilities	-	-	-	-	-
Net opening balance	82,932	-	82,208	1,678	166,818
reinsurance revenue	(152,333)	-	-	-	(152,333)
reinsurance service expenses					
Incurred claims and other expenses	-	-	31,211	637	31,848
Acquisition expenses	-	-	-	-	-
Changes related to future service	-	-	-	-	-
Changes related to past service	-	-	(24,486)	(500)	(24,986)
Net Expense/Income from Reinsurance Held.	-	-	6,725	137	6,862
Investment components	-	-	-	-	-
reinsurance service result	(152,333)	-	6,725	137	(145,470)
reinsurance finance expenses	-	-	-	-	-
Total change in comprehensive income	(152,333)	-	6,725	137	(145,470)
Premiums Paid net of commission	145,621	-	-	-	145,621
Reinsurance Claims and expenses received	-	-	(31,211)	(637)	(31,848)
Acquisition costs received	-	-	-	-	-
Total cash flows	145,621	-	(31,211)	(637)	113,772
Closing reinsurance contract assets	76,219	-	57,722	1,178	135,120
Closing reinsurance contract liabilities	-	-	-	-	-
Net closing balance	76,219	-	57,722	1,178	135,120

Notes To The Audited Financial Statements

10. Prepayments other receivables

	N'000	N'000
Mortgage Loans- staff	10,305	10,555
Policy loans	171,472	180,696
Due from agents	57,385	58,457
Prepayment Rent	1,859	4,408
Prepayment – Others	99,205	48,490
Staff Loans & Receivables	7,263	8,477
Deposit for Investment (note 10.2)	-	-
Due from related company (note 10.3)	1,600,267	1,600,267
Stock of raw materials & consumables	1,682	1701
Staff share loans	2,131,790	2,131,790
Other receivables	313,771	390,123
	<u>4,395,000</u>	<u>4,434,964</u>
Impairment allowance (note 10.1d)	<u>(3,781,204)</u>	<u>(3,781,232)</u>
	613,796	653,727
Current	36,000	(87,745)
Non-current	577,796	742,472
	613,796	653,727

10.1(a) The Movement in Other receivables and prepayments

At 1 January	4,578,244	4,469,323
Transfer from Loans and Receivables	-	-
Additional loans and receivables	-	-
Balances written off against provision	-	-
Movement during the year	-	108,921
At 31 December	4,578,244	4,578,244

10.1(b) Staff Share Loan:

This amount is made up of African Alliance Company Plc share purchased during the private placement exercise on behalf of staff of the company and this has been fully impaired.

10.1(c) The Movement in impairment allowance is as follows

At 1 January	3,781,237	3,777,367
Impairment allowance no longer required	(33)	3,870
Balances written off against provision	-	-
At 31 December	3,781,204	3,781,237

10.1(d)

Impairment allowance		
Policy Loans	18,407	18,407
Mortgage staff loans	2,809	2,842
Due from agents	4,199	4,199
Due to related company	1,600,267	1,600,267
Staff Account Receivable	7,002	7,002
Staff Share loan	2,131,790	2,131,790
Other receivables	16,729	16,729
	3,781,204	3,781,237

Notes To The Audited Financial Statements**10.1(e) The Movement in impairment allowance**

other receivables	-	-
Policy loans (note 10.1f)	-	-
Mortgage Staff Loan	-	2,935
Agency Loan	(33)	935
Staff Account Receivable	-	-
Short Term Loan	-	-
Other Debit Balance	-	-
	(33)	3,870

10.1(e) Policy Loans

The Company grants policy loan to customers with in-forced policies collateralised by the life insurance policy. There was no movement in impairment of policy loan during the year. Movement in impairment in the comparative period relates to excess impairment allowance write back.

10.2 Due from related company

Universal Insurance Company Plc	1,600,267	1,600,267
---------------------------------	------------------	------------------

10.3 Movement in impairment allowance

At 1 January	1,600,267	1,600,267
Impairment charge/(written back) for the year	-	-
At 31 December	1,600,267	1,600,267

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Audited Financial Statements for The Year Ended 31st December, 2024**Notes To The Audited Financial Statements****11. Investment properties**

	2024 N'000	2023 N'000
Investment properties		
At 1 January	12,734,000	11,080,750
Acquisition/improvement	-	-
Transfer to Conau Trade and Investment Limited	-	-
Transfer to Land & Building	-	-
Fair value gain on revaluation	2,345,500	1,653,250
At 31 December	15,079,500	12,734,000
Of the investment properties, the following relates to insurance Funds:		
Insurance funds	9,581,500	8,405,000
Shareholders funds	5,498,000	4,329,000
	15,079,500	12,734,000

The properties were valued by A.C. Otegbulu & Partners Estate surveyors & Valuers, a registered member of Financial Reporting Council of Nigeria (FRCN/2013/NIESV/0000001582), in December, 2024 on the basis of determining the open market value of the investment properties. The open market value of all the properties were determined using recent comparable market prices.

The properties are held for long term capital appreciation and rental income.

A brief descriptions of the properties held by Company are as follows

Breadfruit Street Marina Lagos	5,664,000	4,920,000
Pankere Village Near Abijo GRA, IbejuLekki L.G.A.	5,498,000	4,329,000
Plot C4, Rumuogba Layout, Aba road, Port Harcourt	984,000	944,000
Sani Abacha Estate, Abuja	1,320,000	1,078,000
73 Oyemekun street, Akure	48,000	38,000
Property at Millennium Housing estate	178,500	97,000
112 Broad Street, Lagos	1,387,000	1,328,000
	15,079,500	12,734,000

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Audited Financial Statements for The Year Ended 31st December, 2024**Notes To The Audited Financial Statements**

A brief description of the properties held by the company in the name of Conau Limited are as follows:

Pankere Village Near Abijo GRA, Ibeju Lekki L.G.A.

B

A + B

5,498,000 4,329,000

5,498,000 4,329,000**15,079,500 12,734,000**

Description	Opening balance N'000	Additions N'000	Disposal/Transfer N'000	Fair value N'000	Closing balance N'000
Breadfruit Street Marina Lagos	4,920,000	-	-	744,000	5,664,000
Land at Pankere Village, Abijo, Ibeju Lekki	4,329,000	-	-	1,169,000	5,498,000
Plot C4, Rumuogba Layout, Aba road, Port Harcourt	944,000	-	-	40,000	984,000
Sani Abacha Estate, Abuja	1,078,000	-	-	242,000	1,320,000
73 Oyemekun street, Akure	38,000	-	-	10,000	48,000
Property at Millennium Housing estate	97,000	-	-	81,500	178,500
112 Broad Street, Lagos	1,328,000	-	-	59,000	1,387,000
	12,734,000	-	-	2,345,500	15,079,500

Notes To The Audited Financial Statements

PROPERTIES	TITLE OF DOCUMENTS	DATE OF ACQUISITION	TITLE DOCUMENT NO	LOCATION	CARRYING AMOUNT N'000
Land at Pankere Village, Abijo, Ibeju Lekki	Deed of Assignment & Governor's Consent for Application to assignment between Land Owner and Conau Limited	Year 2008	N/A	Abijo GRA Ibeju Lekki, Lagos state	5,498,000

PROPERTIES	TITLE OF DOCUMENTS	DATE OF ACQUISITION	TITLE DOCUMENT NO	LOCATION	CARRYING AMOUNT N'000
Property Breadfruit Street Marina Lagos	Lagos State Government Land Certificate and Deed of Assignment	Year 1960	L03746	13/17 Breadfruit Street, Lagos	5,664,000
Property Rumuogba Layout, Aba road, Port Harcourt	Deed of Assignment & Certificate of Occupancy	Year 2008	N/A	Plot C4, Rumuogba Layout, Aba road, Port Harcourt	984,000
73 Oyemekun street, Akure	Certificate of Right of Occupancy	Year 1983	N/A	73 Oyemekun street, Akure	48,000
Property at Millennium Housing estate	Lagos State Government Allocation Letter	Year 2004	N/A	Block B House 9B Oba Adeyinka Oyekan Housing Estate Lekki, Lagos	178,500
Duplex at Sani Abacha Estate, Abuja	Deed of Assignment between Federal Republic of Nigeria represented by EFCC and Conau Limited	Year 2008	N/A	2220 Suez Canal Crescent Sani Abacha Estate, Abuja	1,320,000
Property 112 Broad Street, Lagos	Lagos State Government Land Certificate and Deed of Assignment	Year 1961	L03990	112 Broad Street, Lagos	1,387,000

Notes To The Audited Financial Statements**12. Investment in subsidiary**

	2024	2023
	N'000	N'000
Axiom Air Limited (Note 12a)	3,000,000	3,000,000
Ghana Life Insurance Company Limited (Note 12b)	1,770,741	1,770,741
	4,770,741	4,770,741
Impairment allowance (note 12d)	(4,665,741)	(4,665,741)
	105,000	105,000

12a. Axom Air Limited

The company's investment in subsidiary is as stated be low:

At 1 January	3,000,000	3,000,000
Additions during the period (capital injection)	-	-
Impairment allowance	3,000,000	3,000,000
	-	-

The company was incorporated on 17 July 2008 to carry on the business of airline owners and management, provide air transport for public use; to provide all necessary and or desirable services incidental to this objective, including booking, reservation, routing and ticketing services, baggage management, flight catering and entertainment and provision of hotel accommodation. The company is wholly owned.

12b. Ghana Life Insurance Company Limited

At 1 January	1,770,741	1,770,741
Additions during the period (capital injection)	-	-
Impairment allowance	(1,665,741)	(1,665,741)
	105,000	105,000

The company is a subsidiary of African Alliance Insurance Plc. The company is domiciled in Ghana and is permitted by its regulation to carry on the business of life insurance.

12c. Movement in the impairment in Ghana life is as follows

At 1 January	1,665,741	1,665,741
Impairment charge/(written back) for the year	-	-
At 31 December	1,665,741	1,665,741

12d. Movement in impairment allowance in investment in subsidiary

At 1 January	4,665,740	4,665,740
Impairment charge/(written back) for the year	-	-
At 31 December	4,665,740	4,665,740

Notes To The Audited Financial Statements**12e. Movement in impairment allowance**

	2024	2023
	N'000	N'000
Axiom Air Limited	-	3,000,000
Ghana Life Insurance company	-	1,665,740
	-	4,665,740

13. Intangible Asset

	Computer Software	Total
Cost		
At 1 January 2024	290,554	290,554
Additions	-	-
Write off	(123,952)	(123,952)
At 31 December 2024	166,602	166,602
Amortisation		
At 1 January 2024	133,816	133,816
Charge for the period	12,067	12,067
Impairment charge	-	-
At 31 December 2024	145,883	145,883
Net book amount		
At 31 December 2024	20,718	20,718
At 31 December 2023	156,738	156,738

14 Property, Plant and Equipment

Property and equipment	Land	Building	Motor Vehicles	Furniture & Fittings	Computer Equipment	Office Equipment	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Cost							
At 1 January 2024	100,000	188,331	494,904	213,632	314,508	419,570	1,730,945
Additions	-	-	-	-	8,672	749	9,421
Disposal	-	-	-	(202)	-	(134)	(337)
At 31 December 2024	100,000	188,331	494,904	213,430	323,180	420,185	1,740,029
Depreciation							
At 1 January 2024	-	7,821	372,790	147,849	275,024	242,772	1,046,256
Charge for the year	-	6,288	73,971	13,695	22,777	33,625	150,356
Disposal	-	-	-	(202)	-	(134)	(337)
At 31 December 2024	-	14,109	446,761	161,342	297,801	276,263	1,196,275
Net book amount							
At 31 December 2024	100,000	174,222	48,143	52,088	25,379	143,922	543,754
At 31 December 2023	100,000	180,510	122,114	65,782	39,484	176,798	684,689

Notes To The Audited Financial Statements

15. Right of Use Assets

	2024	2023
	N'000	N'000
At 1 January	123,953	23,490
Additions	-	195,935
Amortizations	(73,158)	(95,472)
	50,795	123,953

These are leased assets for use of the head office and branch offices

16. Statutory deposit

This represents 10% of the regulatory minimum share capital deposited with the Central Bank of Nigeria in accordance with the requirement of section a(i) and section 10(3) of Insurance Act. Interest Income earned on this deposit is included in investment income

Statutory deposit	200,000	200,000
Non-current	200,000	200,000

17. Insurance Contract Liabilities

Liability for Remaining Coverage:	28,226,065	37,380,866
Liability for Incurred Claims	9,186,874	2,942,852
	37,412,939	40,323,718

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Audited Financial Statements for The Year Ended 31st December, 2024

Notes To The Audited Financial Statements

17.1 Reconciliation of the LRC/LIC for insurance contracts: 2024 - Aggregate Entity

	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims		Insurance Contract Liabilities (ICL)	
	Non-onerous	Onerous	PVFCF	Risk Adjustment	CSM	
Reconciliation of carrying amounts by LRC/LIC: insurance						
Opening insurance contract assets	-	-	-	-	-	-
Opening insurance contract liabilities	26,527,667	9,080,936	2,917,364	1,135,243	662,506	40,323,717
Net opening balance	26,527,667	9,080,936	2,917,364	1,135,243	662,506	40,323,717
Insurance revenue	(9,163,331)	-	-	(179,632)	(909,087)	(10,252,050)
Insurance service expenses						-
Incurred claims	-	-	7,557,608	-		7,557,608
Incurred expenses	-	-	627,108	-		627,108
Acquisition expenses	431,054	-	-	-		431,054
Changes related to future service	(1,928,278)	(7,079,815)	-	66,438	1,861,839	(7,079,815)
Changes related to past service	-	-	(544,475)	2,479		(541,995)
Total Insurance service expenses	(1,497,223)	(7,079,815)	7,640,241	68,918	1,861,839	993,959
Investment components	(998,955)	-	998,955	-		-
Insurance service result	(11,659,510)	(7,079,815)	8,639,197	(110,714)	952,751	(9,258,091)
Insurance finance expenses	7,472,694	-	-		89,930	7,562,625
Total change in comprehensive income	(4,186,816)	(7,079,815)	8,639,197	(110,741)	1,042,682	(1,695,465)
Premiums Received	4,315,147	-	-	-		4,315,147
Claims paid	-	-	(4,472,298)	-		(4,472,298)
Expenses paid	-	-	(627,108)	-		(627,108)
Acquisition costs paid	(431,054)	-	-	-		(431,054)
Total cash flows	3,884,093	-	(5,099,406)	-		(1,215,312)
Closing insurance contract assets	-	-	-	-		-
Closing insurance contract liabilities	26,224,944	2,001,120	6,457,155	1,024,528	1,705,189	37,412,939
Net closing balance	26,224,944	2,001,120	6,457,155	1,024,528	1,705,189	37,412,939

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17.2 Reconciliation of the LRC/LIC for insurance contracts: 2023 - Aggregate Entity

Reconciliation of carrying amounts by LRC/LIC: insurance	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims		CSM	Insurance Contract Liabilities (ICL)
	Non-onerous	Onerous	PVFCF	Risk Adjustment		
Opening insurance contract assets	-	-	-	-	-	-
Opening insurance contract liabilities	35,917,009	2,448,883	1,778,666	1,281,295	982,950	42,408,806
Net opening balance	35,917,009	2,448,883	1,778,666	1,281,295	982,950	42,408,806
Insurance revenue	(6,649,795)	-	-	(175,597)	(263,776)	(7,089,168)
Insurance service expenses						-
Incurred claims and other expenses	-	(1,805,331)	6,962,152	-		5,156,820
Acquisition expenses	1,339,463	-	-	-		1,339,463
Changes related to future service	142,315	8,437,384	-	40,356	(182,672)	8,437,384
Changes related to past service	-	-	1,055,830	(10,811)		1,045,018
Total Insurance service expenses	1,481,779	6,632,052	8,017,982	29,544	(182,672)	15,978,685
Investment components	(5,134,547)	-	5,134,547	-		-
Insurance service result	(10,302,562)	6,632,052	13,152,530	(146,052)	(446,448)	8,889,518
Insurance finance expenses	(3,134,082)	-	-		126,004	(3,008,077)
Total change in comprehensive income	(13,436,645)	6,632,052	13,152,530	(146,052)	(320,444)	5,881,440
Premiums Received	5,386,766	-	-	-		5,386,766
Claims and expenses paid	-	-	(12,013,832)	-		(12,013,832)
Acquisition costs paid	(1,339,463)	-	-	-		(1,339,463)
Total cash flows	4,047,303	-	(12,013,832)	-		(7,966,529)
Closing insurance contract assets	-	-	-	-		-
Closing insurance contract liabilities	26,527,667	9,080,936	2,917,364	1,135,243	662,506	40,323,717
Net closing balance	26,527,667	9,080,936	2,917,364	1,135,243	662,506	40,323,717

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17.3 Reconciliation of the LRC/LIC for insurance contracts: (GMM – Aggregated 2024)

	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims		Insurance Contract Liabilities (ICL)	
	Non-onerous	Onerous	PVFCF	Risk Adjustment	CSM	
Reconciliation of carrying amounts by LRC/LIC: insurance						
Opening insurance contract assets	-	-	-	-	-	-
Opening insurance contract liabilities	25,833,677	9,080,936	1,668,484	1,109,756	662,506	38,355,361
Net opening balance	25,833,677	9,080,936	1,668,484	1,109,756	662,506	38,355,361
Insurance revenue	(7,833,166)	-	-	-	-	(7,833,166)
Insurance service expenses						
Incurred claims	-	-	6,544,750	-	-	6,544,850
Incurred Fulfilment expenses	-	-	250,843	-	-	250,843
Acquisition expenses	190,743	-	-	-	-	190,743
Changes related to future service	-	(7,079,815)	-	-	-	(7,079,815)
Changes related to past service	-	-	-	-	-	-
Total Insurance service expenses	190,743	(7,079,815)	6,795,693	-	-	(93,378)
Investment components	(998,955)	-	998,955			-
Insurance service result	(8,641,379)	(7,079,815)	7,794,649	-	-	(7,926,545)
Insurance finance expenses	7,472,695	-	-		-	7,562,625
Total change in comprehensive income	(1,078,754)	(7,079,815)	7,794,649	-	-	(363,920)
Premiums received	1,912,038	-	-	-		1,912,038
Claims paid	-	-	(4,125,504)			(4,125,504)
Expenses paid	-	-	(250,843)			(250,843)
Acquisition costs paid	(190,743)	-	-	-		(190,743)
Total cash flows	1,721,295	-	(4,376,347)	-		(2,655,052)
Closing insurance contract assets	-	-	-	-		-
Closing insurance contract liabilities	28,248,481	2,001,120	3,314,526	1,109,756	662,506	35,336,389
Net closing balance	26,224,944	2,001,120	3,314,526	1,109,756	662,506	35,336,389

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17.4 Reconciliation of the LRC/LIC for insurance contracts: (GMM – Aggregated 2023)

	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims		Insurance Contract Liabilities (ICL)	
	Non-onerous	Onerous	PVFCF	Risk Adjustment	CSM	
Reconciliation of carrying amounts by LRC/LIC: insurance						
Opening insurance contract assets	-	-	-	-	-	-
Opening insurance contract liabilities	35,384,849	2,448,883	-	1,244,996	982,950	40,061,680
Net opening balance	35,384,849	2,448,883	-	1,244,996	982,950	40,061,680
Insurance revenue	-(4,015,026)	-	-	(100,880)	(338,493)	(4,454,400)
Insurance service expenses						-
Incurred claims and other expenses	-	-(1,805,331)	-5,145,132	-		3,339,801
Acquisition expenses	581,274	-	-			581,274
Changes related to future service	142,315	-8,437,384	-	(79,285)	(63,030)	8,437,384
Changes related to past service	-	-	-1,668,484	-		1,668,484
Total Insurance service expenses	723,590	-6,632,052	-6,813,617	(79,285)	(63,030)	14,026,944
Investment components	(5,134,547)	-	-5,134,547			-
Insurance service result	-(8,425,983)	-6,632,052	-11,948,164	(79,285)	(63,030)	9,572,544
Insurance finance expenses	(3,134,082)	-	-	70,412	55,592	(3,008,077)
Total change in comprehensive income	(11,560,066)	6,632,052	11,948,164	(109,753)	(345,931)	6,564,466
Premiums received	2,590,168	-	-	-		2,590,168
Claims and expenses paid	-	-	(10,279,680)			(10,279,680)
Acquisition costs paid	(581,274)	-	-			(581,274)
Total cash flows	2,008,894	-	(10,279,680)	-	-	(8,270,785)
Closing insurance contract assets	-	-	-	-	-	-
Closing insurance contract liabilities	25,833,677	9,080,936	1,668,484	1,135,243	637,019	38,355,361
Net closing balance	25,833,677	9,080,936	1,668,484	1,135,243	637,019	38,355,361

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17.5 Reconciliation of the LRC/LIC for insurance contracts: Endowment

Endowment	2024			2023				
Reconciliation of the liability for remaining coverage and the liability for incurred claims for insurance contracts	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Total	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Total
Reconciliation of carrying amounts by LRC/LIC: insurance	Non- onerous	Onerous	LIC		Non- onerous	Onerous	LIC	
Opening insurance contract liabilities	3,339,916	3,239,897	490,979	7,070,792	4,483,668	600,208	-	5,083,876
Net opening balance	3,339,916	3,239,897	490,979	7,070,792	4,483,668	600,208	-	5,083,876
Insurance revenue	(2,885,848)			(2,885,848)	(733,833)	-	-	(733,833)
Incurred claims and other expenses	-	-	2,542,752	2,542,752	-	(454,220)	297,797	(156,422)
Acquisition expenses	148,342	-	-	148,342	573,221	-	-	573,221
Changes related to future service	-	(2,533,623)	-	(2,533,623)	-	3,093,910	-	3,093,910
Changes related to past service	-	-	-	-	-	-	490,979	490,979
Total Insurance service expenses	148,342	(2,533,623)	2,542,752	157,471	573,221	2,639,689	788,777	4,001,687
Investment components	(643,516)	-	643,516	-	(2,614,282)	-	2,614,282	-
Insurance service result	(3,381,022)	(2,533,623)	3,186,268	(2,728,377)	(2,774,895)	2,639,689	3,403,059	3,267,853
Insurance finance expenses	352,906	-	-	352,906	380,982	-	-	380,982
Total change in comprehensive income	(3,028,116)	(2,533,623)	3,186,268	(2,375,471)	(2,393,912)	2,639,689	3,403,059	3,648,836
Premiums received	1,483,425	-	-	1,483,425				
Claims and expenses paid	-	-	(660,894)	(660,894)	1,823,382	-	-	1,823,382
Acquisition costs paid	(148,394)	-	-	(148,394)	-	-	(2,912,080)	(2,912,080)
Total cash flows	1,335,031	-	(660,894)	674,137	(573,221)	-	-	(573,221)
Closing insurance contract assets	-	-	-	-	1,250,161	-	(2,912,080)	(1,661,919)
Closing insurance contract liabilities	1,646,883	706,275	3,016,352	5,369,510	3,339,916	3,239,897	490,979	7,070,792
Net closing balance	1,646,883	706,275	3,016,352	5,369,510	3,339,916	3,239,897	490,979	7,070,792

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17.6 Reconciliation of the LRC and LIC for insurance contracts: Protection

Protection	2024				2023			
Reconciliation of the liability for remaining coverage and the liability for incurred claims for insurance contracts - Protection	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Total	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Total
Reconciliation of carrying amounts by LRC/LIC: insurance	Non-onerous	Onerous	LIC		Non-onerous	Onerous	LIC	
Opening insurance contract assets	-	-	-	-	-	-	-	-
Opening insurance contract liabilities	(203,952)	230,349	168,203	194,600	87,987	-	-	87,987
Net opening balance	(203,952)	230,349	168,203	194,600	87,987	-	-	87,987
Insurance revenue	(8,450)	-	-	(8,450)	(3,409)	-	-	(3,409)
Insurance service expenses	-	-	-	-	-	-	-	-
Incurred claims and other expenses	-	-	60	60	-	(36,546)	70,699	34,153
Acquisition expenses	91	-	-	91	1,180	-	-	1,180
Changes related to future service	-	(13,331)	-	(13,331)	-	266,895	-	266,895
Changes related to past service	-	-	-	-	-	-	168,204	168,204
Total Insurance service expenses	91	(13,331)	60	(13,180)	1,180	230,349	238,903	470,431
Investment components	-	-	-	-	(316,221)	-	316,221	-
Insurance service result	(8,359)	(13,331)	60	(21,630)	(311,632)	230,349	555,124	473,840
Insurance finance expenses	4,048	-	-	4,048	9,526	-	-	9,526
Total change in comprehensive income	(4,311)	(13,331)	60	(17,582)	(302,106)	230,349	555,124	483,367
Premiums received	910	-	-	910	11,347	-	-	11,347
Claims and expenses paid	-	-	(168,264)	(168,264)	-	-	(386,920)	(386,920)
Acquisition costs paid	(91)	-	-	(91)	(1,180)	-	-	(1,180)
Total cash flows	819	-	-168,264	(168,264)	10,167	-	(386,920)	(376,753)
Closing insurance contract assets	-	-	-	-	-	-	-	-
Closing insurance contract liabilities	(207,444)	217,018	(1)	9,573	(203,952)	230,349	168,203	194,600
Net closing balance	(207,444)	217,018	(1)	9,573	(203,952)	230,349	168,203	194,601

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17.7 Reconciliation of the LRC and LIC for insurance contracts: Investment Linked

Investment Linked	2024				2023			
Reconciliation of the liability for remaining coverage and the liability for incurred claims for insurance contracts – Investment Linked	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Total	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Total
Reconciliation of carrying amounts by LRC/LIC: insurance	Non-onerous	Onerous	LIC		Non-onerous	Onerous	LIC	
Opening insurance contract assets	-	-	-	-	-	-	-	-
Opening insurance contract liabilities	2,647,229	839,942	1,009,302	4,496,473	3,705,154	-	-	3,705,154
Net opening balance	2,647,229	839,942	1,009,302	4,496,473	3,705,154	-	-	3,705,154
Insurance revenue	(1,211,151)			(1,211,151)	(47,305)	-	-	(47,305)
Insurance service expenses	-	-	-	-	-	-	-	-
Incurred claims and other expenses	-	-	(185,260)	(185,260)	-	(493,527)	584,923	91,395
Acquisition expenses	42,310	-	-	42,310	6,874	-	-	6,874
Changes related to future service	-	(834,145)	-	(834,145)	-	1,333,470	-	1,333,470
Changes related to past service	-	-	-	-	-	-	1,009,302	1,009,302
Total Insurance service expenses	42,310	(834,145)	(185,260)	(977,095)	6,874	839,942	1,594,225	2,441,041
Investment components	(355,440)	-	355,440	-	(2,204,044)	-	2,204,044	-
Insurance service result	(1,524,281)	(834,145)	170,180	(2,188,246)	(2,244,475)	839,943	3,798,269	2,393,736
Insurance finance expenses	231,032			231,032	472,453	-	-	472,453
Total change in comprehensive income	(1,293,249)	(834,145)	170,180	(1,957,214)	(1,772,022)	839,942	3,798,269	2,866,190
Premiums received	423,097	-		423,097	720,970	-	-	720,970
Claims and expenses paid	-	-	(359,479)	(359,479)	-	-	(2,788,967)	(2,788,967)
Acquisition costs paid	(42,310)			(42,310)	(6,874)	-	-	(6,874)
Total cash flows	380,787	-	(359,479)	21,308	714,096	-	(2,788,967)	(2,074,871)
Closing insurance contract assets	-	-	-	-	-	-	-	-
Closing insurance contract liabilities	1,734,767	5,797	820,003	2,560,567	2,647,229	839,942	1,009,302	4,496,474
Net closing balance	1,734,767	5,797	820,003	2,560,567	2,647,229	839,942	1,009,302	4,496,474

17.8 Reconciliation of the LRC and LIC for insurance contracts: Credit Life

Credit Life	2024				2023			
Reconciliation of the liability for remaining coverage and the liability for incurred claims for insurance contracts – Credit Life	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Total	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Total
Reconciliation of carrying amounts by LRC/LIC: insurance	Non-onerous	Onerous	LIC		Non-onerous	Onerous	LIC	
Opening insurance contract assets	-	-	-	-	-	-	-	-
Opening insurance contract liabilities	(852)	852	-	-	(605)	852	-	248
Net opening balance	852	852		-	(605)	852	-	248
Insurance revenue	-	-	-	-	(277)	-	-	(277)
Insurance service expenses	-	-	-	-	-	-	-	-
Incurred claims and other expenses	-	-	-	-	-	-	-	-
Acquisition expenses	-	-	-	-	-	-	-	-
Changes related to future service	-	-	-	-	-	-	-	-
Changes related to past service	-	-	-	-	-	-	-	-
Total Insurance service expenses	-	-	-	-	-	-	-	-
Investment components	-	-	-	-	-	-	-	-
Insurance service result	-	-	-	-	(277)	-	-	(277)
Insurance finance expenses	-	-	-	-	29	-	-	29
Total change in comprehensive income	-	-	-	-	(248)	-	-	(248)
Premiums received	-	-	-	-	-	-	-	-
Claims and expenses paid	-	-	-	-	-	-	-	-
Acquisition costs paid	-	-	-	-	-	-	-	-
Total cash flows	-	-	-	-	-	-	-	-
Closing insurance contract assets	-	-	-	-	-	-	-	-
Closing insurance contract liabilities	-	-	-	-	-	-	-	-
Net closing balance	(852)	852	-	-	(852)	852	-	-

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17.9 Reconciliation of the LRC and LIC for insurance contracts – Annuity

Annuity	2024				2023			
Reconciliation of the liability for remaining coverage and the liability for incurred claims for insurance contracts – Annuity	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Total	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Total
Reconciliation of carrying amounts by LRC/LIC: insurance	Non-onerous	Onerous	LIC		Non-onerous	Onerous	LIC	
Opening insurance contract assets								
Opening insurance contract liabilities	21,823,598	4,769,896	-	26,593,494	29,336,592	1,847,824	-	31,184,416
Net opening balance	21,823,598	4,769,896		26,593,494	29,336,592	1,847,824	-	31,184,416
Insurance revenue	(3,727,716)	-	-	(3,727,716)	(3,676,394)	-	-	(3,676,394)
Insurance service expenses	-	-	-	-	-	-	-	-
Incurred claims and other expenses	-	-	4,438,141	4,438,141	-	(821,038)	4,191,713	3,370,676
Acquisition expenses	-	-	-	-	-	-	-	-
Changes related to future service		(3,698,716)		(3,698,716)	-	3,743,110	-	3,743,110
Changes related to past service	-	-	-	-	-	-	-	-
Total Insurance service expenses	-	(3,698,716)	4,438,141	739,425	-	2,922,072	4,191,713	7,113,785
Investment components	-	-	-	-	-	-	-	-
Insurance service result	(3,727,716)	(3,698,716)	4,438,141	(2,988,291)	(3,676,394)	2,922,072	4,191,713	3,437,391
Insurance finance expenses	6,974,638	-	-	6,974,638	(3,871,069)	-	-	(3,871,069)
Total change in comprehensive income	3,246,922	(3,698,716)	4,438,141	3,986,347	(7,547,463)	2,922,072	4,191,713	(433,678)
Premiums received	4,605	-	-	4,605	34,469	-	-	34,469
Claims and expenses paid	-	-	(3,187,709)	(3,187,709)	-	-	(4,191,713)	(4,191,713)
Acquisition costs paid	-	-	-	-	-	-	-	-
Total cash flows	4,605	-	(3,187,709)	(3,183,104)	34,469	-	(4,191,713)	(4,157,244)
Closing insurance contract assets								-
Closing insurance contract liabilities	25,075,125	1,071,180	1,250,432	27,396,737	21,823,598	4,769,896	-	26,593,494
Net closing balance	25,075,125	1,071,180	1,250,432	27,396,737	21,823,598	4,769,896	-	26,593,494

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17.10 Reconciliation of the LRC and LIC for insurance contracts – Group Life 2024

	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims		
	Non-onerous	Onerous	PVFCF	Risk Adjustment	Insurance Contract Liabilities (ICL)
Reconciliation of carrying amounts by LRC/LIC: insurance					
Opening insurance contract assets	-	-	-	-	-
Opening insurance contract liabilities	693,989	-	1,248,879	25,487	1,968,356
Net opening balance	693,989	-	1,248,879	25,487	1,968,356
Insurance revenue	(2,418,884)	-	-		(2,418,884)
Insurance service expenses					
Incurred claims	-	-	1,012,757		1,012,757
Incurred Fulfilment expenses	-	-	376,264		376,264
Acquisition expenses	-	-	-		-
Changes related to future service	-	-	-		-
Changes related to past service	-	-	(544,475)	2,479	(541,995)
Total Insurance service expenses	-	-	844,547	2,479	847,027
Investment components	-	-	-		-
Insurance service result	(2,418,884)	-	844,547	2,479	(1,571,857)
Insurance finance expenses	-	-	-	-	-
Total change in comprehensive income	(2,418,884)	-	844,547	2,479	(1,571,857)
Premiums received	2,403,108	-	-	-	2,403,108
Claims paid	-	-	(346,793)	-	(346,793)
Expenses paid	-	-	(376,264)	-	(376,264)
Acquisition costs paid	(240,310)	-	-		(240,310)
Total cash flows	2,162,798	-	(723,058)	-	1,439,739
Closing insurance contract assets	-	-	-	-	-
Closing insurance contract liabilities	678,214	-	1,370,368	27,966	2,076,549
Net closing balance	678,214	-	1,370,368	27,966	2,076,549

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Reconciliation of carrying amounts by LRC/LIC: insurance (Group Life) 2023

	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims		Insurance Contract Liabilities (ICL)
	Non-onerous	Onerous	PVFCF	Risk Adjustment	
Reconciliation of carrying amounts by LRC/LIC: insurance					
Opening insurance contract assets	-	-	-	-	-
Opening insurance contract liabilities	532,159	-	1,778,666	36,299	2,347,125
Net opening balance	532,159	-	1,778,666	36,299	2,347,125
Insurance revenue	(2,634,768)	-	-		(2,634,768)
Insurance service expenses					
Incurred claims and other expenses	-	-	1,817,019		1,817,019
Acquisition expenses	758,189	-	-		758,189
Changes related to future service	-	-	-		-
Changes related to past service	-	-	(612,654)	(10,811)	(623,466)
Total Insurance service expenses	758,189	-	1,204,365	(10,811)	1,951,742
Investment components	-	-	-	-	-
Insurance service result	(1,876,579)	-	1,204,365	(10,811)	(683,025)
Insurance finance expenses	-	-	-		-
Total change in comprehensive income	(1,876,579)	-	1,204,365	(10,811)	(683,025)
Premiums received	2,796,597	-	-		2,796,597
Claims and expenses paid	-	-	(1,734,152)		(1,734,152)
Acquisition costs paid	(758,189)	-	-		(758,189)
Total cash flows	2,038,408	-	(1,734,152)	-	304,256
Closing insurance contract assets	-	-	-	-	-
Closing insurance contract liabilities	693,989	-	1,248,879	25,487	1,968,356
Net closing balance	693,989	-	1,248,879	25,487	1,968,356

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Notes To The Audited Financial Statements (Cont'd)

17.11 Reconciliation of the LRC and LIC for insurance contracts – GMM Business

Reconciliation of components of insurance contract liabilities – GMM Business	2024				2023			
Reconciliation of carrying amounts by BEL/RA/CSM: insurance	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total
Opening insurance contract assets	-	-	-	-	-	-	-	-
Opening insurance contract liabilities	36,583,099	1,109,756	662,507	38,355,361	37,833,734	1,244,996	982,951	40,061,681
Net opening balance	36,583,099	1,109,756	662,507	38,355,361	37,833,734	1,244,996	982,951	40,061,681
Changes related to current services	-	-	-	-	-	-	-	-
CSM for service provided	-	-	(909,087)	(909,087)	-	-	(263,776)	(263,776)
Risk Adjustment release for expired risks	-	(179,632)	-	(179,632)	-	(175,597)	-	(175,597)
Experience adjustments	(3,176,312)	-	-	(3,176,312)	(93,951)	-	-	(93,951)
Total changes related to current services	(3,176,312)	(179,632)	(909,087)	(4,265,031)	(93,951)	(175,597)	(263,776)	(533,325)
Changes related to future services	-	-	-	-	-	-	-	-
New contracts recognized	7,384	1,840	-	9,224	(40,368)	8,920	39,226	7,777
Changes in estimates reflected in CSM	(1,853,341)	(8,498)	1,861,839	-	217,689	4,210	(221,899)	-
Changes in estimates resulting in contract losses	(7,162,136)	73,096	-	(7,089,040)	8,402,379	27,228	-	8,429,607
Total changes related to future services	(9,008,093)	66,438	1,861,839	(7,079,816)	8,579,700	40,357	(182,673)	8,437,384
Adjustments to liabilities for incurred claims	-	-	-	-	1,668,485	-	-	1,668,485
Total changes that relate to past service	-	-	-	-	1,668,485	-	-	1,668,485
Insurance service result	12,184,405	113,194	(952,752)	11,344,847	(10,154,234)	135,241	446,449	(9,572,544)
Insurance finance expenses	7,472,695	-	89,930	7,562,625	(3,134,083)	-	126,005	(3,008,078)
Total change in comprehensive income	4,711,710	113,194	(1,042,682)	3,782,222	(7,020,151)	135,241	320,444	(6,564,466)
Total cash flows	763,250	-	-	763,250	(8,270,786)	-	-	(8,270,786)
Closing insurance contract assets	-	-	-	-	-	-	-	-
Closing insurance contract liabilities	32,634,639	996,562	1,705,189	35,336,389	36,583,099	1,109,756	662,507	38,355,361
Net closing balance	32,634,639	996,562	1,705,189	35,336,389	36,583,099	1,109,756	662,507	38,355,361

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Notes To The Audited Financial Statements (Cont'd)


17.12. Expected release of Contractual Service Margin for insurance contracts issued (2024)	2024			
	Protection	Investment Linked	Endowment	Total
Expected release of Contractual Service Margin				
Year 1	183	493,785	70,671	564,639
Year 2	1,249	361,179	27,914	390,342
Year 3	62	232,132	70,736	302,930
Year 4	62	90,655	45,391	136,108
Year 5	62	49,112	12,044	61,218
Year 6	62	28,048	10,888	38,998
Year 7	61	14,345	27,268	41,674
Year 8	61	9,775	17,825	27,661
Year 9	61	6,785	7,870	14,716
Year 10	889	10,113	115,900	126,902
Above Year 10	-	-	-	-
Total CSM	2,752	1,295,929	406,507	1,705,188

2023

Expected release of Contractual Service Margin (2023)	Protection	Investment Linked	Endowment	Total
Year 1	2,900	49,419	55,145	107,464
Year 2	95	33,030	49,986	83,112
Year 3	49	21,333	31,474	52,857
Year 4	234	13,821	14,522	28,578
Year 5	9	5,349	44,670	50,02G
Year 6	10	1,613	38,312	3G,G35
Year 7	11	968	11,627	12,606
Year 8	12	586	11,909	12,508
Year 9	13	462	43,285	43,761
Year 10	15	126	27,841	27,G83
Above Year 10	637	11	203,020	203,668
Total CSM	3,G8G	126,723	531,7G4	662,507

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Notes To The Audited Financial Statements (Cont'd)


17.13 Insurance contracts recognized in a year	2024				2023			
	Protection	Investment Linked	Endowment	Total	Annuity	Protection	Investment Linked	Total
Estimates of future cash inflows	914	184	108,394	109,492	20,976	1,491	189,519	900,743
Estimates of future cash outflows								
- Claims	862	152	82,161	83,175	15,064	702	2,335	417,359
- Directly attributable expenses	2,036	1,268	12,423	15,727	4,465	379	118,736	184,899
- Acquisition cash flows	323	79	17,571	17,973	917	53	6,627	125,862
	3,221	1,499	112,155	116,875	20,447	1,135	127,696	728,119
Risk adjustment for non-financial risk	47	26	1,767	1,840	203	20	3,480	10,268
Contractual service margin	2,355	1,341	5,528	9,224	326	337	58,342,670	162,355
Total insurance contract liabilities at Inception					-	-	-	-

17.14 Age Analysis of Outstanding Claims**Age Analysis – Summary**

Age Bracket	2024 No. of Claimants	2024 (₦'000)	2023 No. of Claimants	2023 (₦'000)
0 – 90 days	70	200,361,301	20	33,750,88
91 – 180 days	368	576,004,939	77	150,578,516
181 – 270 days	1265	2,164,129,758	63	184,954,639
271 – 365 days	865	1,278,853,425	434	135,700,013
366 days and above			-	
Total	2568	4,219,349,424	591	1,751,352,177

17.15 Reasons for Outstanding Claims – Analysis**2024 Outstanding Claims Analysis**

Reason	Above 365 Days Qty	Amount (₦'000)
Discharge Voucher Issued –	2568	4,219,349,424
Awaiting Loss Adjusters Report	-	-
Awaiting Documentation from Claimants	-	-
Abandoned by Claimants	-	-
Incomplete Documentations	-	-
Total	2568	4,219,349,424



Reason	Above 365 Days Qty	Amount (₦'000)
Discharge Voucher Issued	591	1,751,352,177
Awaiting Loss Adjusters Report		
Awaiting Documentation from Claimants		
Abandoned by Claimants		
Incomplete Documentations		
Total	591	1,751,352,177

Notes To The Audited Financial Statements (Cont'd)

	2024 (N'000)	2023 (N'000)
18. Investment contract liabilities		
The investment contract liabilities comprise interest-linked guaranteed investment funds. The movement in the investment contract liabilities is shown below:		
At 1 January	2,919,135	4,089,863
Deposits received during the year	5,346	724,374
Withdrawals during the year	(957,038)	(1,986,647)
Guaranteed interest in the year	29,001	91,545
At 31 December	2,849,146	2,919,135
Non-current	2,849,146	2,919,135

Investment contract liabilities consist of group deposit administered funds and account balance of policy holders under investment linked insurance funds. Movement in the relevant funds are detailed below

19. Trade Payables

Unallocated premium deposits	3,287,825	2,692,917
Due to co-insurance	7,541	-
Due To/from Reinsurance	148,035	212,117
Trade creditors	336	336
Current	3,443,737	2,905,370

19.1.

Unallocated premium deposits At 1 January	2,692,916	533,466
Addition during the year	594,909	2,159,451
At 31 December	3,287,825	2,692,917

19.2 The amount represent premium deposits for which policy holders are yet to be identified due to inadequate information. The Company has already set up a committee to review it and make recommendations to management. Please see below the age analysis of the payables

S/N	Age of Unallocated Premium Deposit		
1	0 - 90 days	-	-
2	91- 180 days	-	-
3	181-270 days	-	-
4	271 -365 days	3,287,825	2,692,917
5	366 days and above	-	-
		3,287,825	2,692,917

Notes To The Audited Financial Statements (Cont'd)

	2024 (N'000)	2023 (N'000)
20. Other Payables and Accruals		
Agent savings	165,364	169,571
PAYE and other withholding taxes payable	211,948	123,771
Provisions and accruals	18,231	23,131
Rent payable	222,347	154,878
Accrued Expenses (Insurance Levy, NITDA, etc)	316,898	140,199
Current (Payable within the period)	934,788	611,550

21. Short-Term Borrowings

Cash Advance from Naicom	20,000	-
Cash Advance from Conau	130,669	-
	150,669	-

21.1 This relates to ₦ 20,000,000 received from NAICOM and ₦ 130,668,700 from Conau Ltd during the year

22. Retirement Benefit Liabilities

Staff pension scheme	60,531	561,869
	60,531	561,869

Contributory Pension Scheme The company and its employees makes joint contribution of 10% and 8% respectively of the basic salary, housing and transport allowance to each employee's retirement savings account maintained with their nominated pension fund administrators.

22. Retirement Benefit Liabilities

Balance as at the beginning of the year	92,107	113,310
Amount paid during the year	(31,576)	(21,203)
	60,531	92,107

23. Borrowings

Secured -at amortised cost	-	-
Overdraft Facility	-	-
Term Loan (i)	-	-
	-	-

24. Tax Payable

Company income tax payable:		
At 1 January	561,864	558,186
Charge to profit and loss	6,117	3,678
Tax paid in the year	-	-
At 31 December	567,981	561,864

Notes To The Audited Financial Statements (Cont'd)

24.1 Statement of profit or loss

Statement of profit or loss	2024							
	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Investment	Total
Insurance revenue	3,727,716	8,451	1,211,151	2,418,884	-	2,885,848	-	10,252,050
Insurance service expense	(739,425)	13,179	977,097	(1,087,337)	-	(157,472)	-	(993,958)
Net income or expense from reinsurance contracts held	-	-	-	(93,653)	-	-	-	(93,653)
Insurance service result	2,988,291	21,630	2,188,248	1,237,894	-	2,728,376	-	9,164,439
Investment income	2,788,816	2,454	47,727	182,798	-	205,131	(28,983)	3,577,201
Insurance finance expenses	(6,974,638)	(4,048)	(231,032)	-	-	(352,906)	-	(7,562,624)
Reinsurance finance income	-	-	-	-	-	-	-	-
Financial insurance result	(4,185,822)	(1,594)	(183,305)	182,798	-	(147,775)	(28,983)	4,563,164
Other expenses	(628,783)	(166)	(11,072)	(1,031,494)	-	(47,640)	-	(1,719,155)
Profit before tax	(1,826,314)	19,870	1,993,871	389,198	-	2,532,961	(28,983)	3,178,026
Income tax	(6,117)	-	-	-	-	-	-	(6,117)
Profit for the year	(1,826,314)	19,860	1,992,707	389,019	-	2,531,522	(28,983)	3,171,909

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Notes To The Audited Financial Statements (Cont'd)

24.1 Statement of profit or loss

Statement of profit or loss	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Investment	Total
Insurance revenue	3,676,394	(3,409)	47,305	2,634,768	277	733,834	-	7,089,169
Insurance service expense	(7,113,785)	(470,431)	(2,441,041)	(1,951,742)	-	(4,001,687)	-	(15,978,687)
Net income or expense from reinsurance contracts held	-	-	-	(145,471)	-	-	-	(145,471)
Insurance service result	(3,437,391)	(473,840)	(2,393,736)	537,555	277	(3,267,853)	-	(9,034,989)
Investment income	2,547,484	3,256	166,144	217,157	-	556,113	340,084	3,830,238
Insurance finance expenses	3,871,069	(9,526)	(472,453)	-	(29)	(380,982)	-	3,008,078
Reinsurance finance income	-	-	-	-	-	-	-	-
Financial insurance result	6,413,840	(6,270)	(306,309)	217,157	(29)	175,131	340,084	6,833,603
Other Operating Income	240,420	100,364	116,108	97,214	-	52,325	-	646,441
Other expenses	(662,091)	(590,831)	(488,529)	(498,723)	-	(446,897)	(315,392)	(3,002,463)
Profit before tax	2,599,491	(970,577)	(3,072,466)	353,203	248	(3,487,284)	24,692	(4,552,695)
Income tax	(3,081)	-	-	(384)	-	-	(214)	(3,678)
Profit for the year	2,596,410	(970,577)	(3,072,466)	357,605	247	(3,487,284)	24,478	(4,556,373)

Notes To The Audited Financial Statements (Cont'd)

	2024 (N'000)	2023(N'000)
25. Deferred tax liability		
The analysis of deferred tax liabilities is as follows:		
Deferred tax liability to be incurred within 12 months	-	-
Deferred tax liability to be incurred after more than 12months	92,107	92,107
	<u>92,107</u>	<u>92,107</u>
25a. The movement on the deferred tax liabilities account is as follows:		
At 1 January	92,107	92,107
Foreign exchange difference arising from translation	-	-
Income statement charge	-	-
Reversal	-	-
At 31 December	<u>92,107</u>	<u>92,107</u>
Non- current	<u>92,107</u>	<u>92,107</u>
26. Share capital		
26a. Authorised share capital ('000)	30,000,000	30,000,000
26b.		
Paid up share capital of 20.585 billion ordinary shares of 50 kobo each	10,292,500	10,292,500
Paid up/(Cancelled) during the year	-	-
At 31 December	<u>10,292,500</u>	<u>10,292,500</u>
Number of shares		
Shares at the beginning of the year('000)	20,585,000	20,585,000
Paid up/(Cancelled) during the year ('000):	-	-
At 31 December	<u>20,585,000</u>	<u>20,585,000</u>

Notes To The Audited Financial Statements (Cont'd)

	2024 (N'000)	2023(N'000)
26c. Share premium		
At 1 January	14,365,133	14,365,133
Share Premium cancellation	-	-
Capital Restructuring account	-	-
At 31 December	14,365,133	14,365,133
27. Contingency reserves		
At 1 January	1,983,879	1,922,694
Transfer from retained earnings	174,087	61,183
At 31 December	2,157,966	1,983,879
In accordance with the insurance act, a contingency reserve is credited with the greater of 1% of total premiums or 10% of net profit. This shall accumulate until it reaches the amount of greater of minimum paid-up capital or 50 percent of net premium		
28. Retained Earnings		
At 1 January	(41,222,571)	(36,605,015)
Transfer to contingency reserves	(174,087)	(61,183)
Profit/(Loss) for the period	3,171,909	(4,556,373)
At 31 December	(38,224,789)	(41,222,571)
29. Fair value reserves		
At 1 January	15,398,382	15,398,382
Gain/(Derecognition) on revaluation on land and building	-	-
Change in value of FVOCI financial assets (net of taxes)	-	-
Additional reserve on repurchase of PAL Pension Limited	-	-
At 31 December	15,398,382	15,398,382
29a. Fair value changes-statement of comprehensive income		
Gain/(Derecognition) on revaluation on land and building	-	-
Change in value of available for sale financial assets (net of taxes)	-	-
Additional reserve on repurchase of PAL Pension Limited	-	-
30. Insurance Revenue		
Individual life	-	277
Group life	2,418,884	2,634,768
Annuity	3,727,716	3,676,394
Protection	8,451	3,409
Investment linked.	1,211,151	47,305
Endowment	2,885,848	733,834
	10,252,050	7,089,169

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Notes To The Audited Financial Statements (Cont'd)

30.1 (a) 2024 Insurance Revenue

31st December 2024	Annuity	Protection	Investment Linked	Group Life	Endowment	Investment	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Amounts relating to changes in LFRC	-	-	-	-	-	-	-
Expected benefits incurred	3,224,104	2,710	33,390	2,421,363	2,262,463	-	7,944,030
Expected expenses incurred	373,386	3,920	395,515		258,216	-	1,031,037
Loss Component: systematic allocation	-	-	-	-	-	-	-
Change in the risk adjustment	130,226	81	3,599	(2,479)	45,726	-	177,153
CSM recognized	-	1,649	736,337	-	171,101	-	909,087
Recovery of acquisition cash flows	-	91	42,310	-	148,342	-	190,743
Contracts not measured under PAA	3,727,716	8,451	1,211,151	-	2,885,848	-	7,833,166
Contracts measured under PAA	-	-	-	2,418,884	-	-	2,418,884
Total Insurance Revenue	3,727,716	8,451	1,211,151	2,418,884	2,885,848	-	10,252,050

30.1 (b)

31st December 2023	Annuity	Protection	Investment Linked	Group Life	Endowment	Credit Life	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Amounts relating to changes in LFRC	-	-	-	-	-	-	-
Expected benefits incurred	4,180,165	4,147	47,043	2,623,956	236,332	165,905	7,091,810
Expected expenses incurred	158,250	4,056	379,269	-	229,621	35,055	771,231
Loss Component: systematic allocation	(821,038)	(36,546)	(493,527)	-	(454,221)	-	(1,805,331)
Change in the risk adjustment	159,016	153	3,321	10,812	13,104	3,901	186,409
CSM recognized	-	23,602	104,326	-	135,776	72,186	263,776
Recovery of acquisition cash flows	-	1,180	6,874	-	573,221	-	581,275
Contracts not measured under PAA	3,676,394	(3,409)	47,305	-	733,834	277,047	4,454,401
Contracts measured under PAA	-	-	-	2,634,768	-	-	2,634,768
Total Insurance Revenue	3,676,394	(3,409)	47,305	2,634,768	733,834	277,047	7,089,169

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Notes To The Audited Financial Statements (Cont'd)

31. Insurance service expense

31st December 2024	Annuity	Protection	Investment Linked	Group Life	Endowment	Investment	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Incurring claims	(4,208,777)	-	189,299	(1,012,758)	(2,525,374)	-	(7,557,610)
Incurring Fulfilment expenses	(229,365)	(61)	-4,038	-376,265	(17,378)	-	(627,107)
Amortisation of insurance acquisition cash flows	-	(91)	-42,310	-240,311	(148,342)	-	(431,054)
Changes in BEL related to LIC	-	-	-	541,996	-	-	541,996
Loss Component: systematic allocation	-	-	-	-	-	-	-
Loss Component: losses and reversal of losses	3,698,716	13,331	834,146	-	2,533,622	-	7,079,815
Total insurance service expense	(739,426)	13,179	977,097	(1,087,338)	(157,472)	-	(993,960)

Insurance service expense

31st December 2024	Annuity	Protection	Investment Linked	Group Life	Endowment	Investment	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Incurring claims	(3,984,749)	(28,470)	-	(1,012,758)	-	-	(5,025,977)
Incurring Fulfilment expenses	(206,964)	(42,229)	(584,923)	(804,262)	(297,797)	-	(1,936,176)
Amortisation of insurance acquisition cash flows	-	(1,180)	(6,874)	(758,189)	(573,221)	-	(1,339,464)
Changes in BEL related to LIC	-	(168,203)	(1,009,302)	623,466	(490,979)	-	(1,045,019)
Loss Component: systematic allocation	821,038	36,546	493,527	-	454,220	-	1,805,332
Loss Component: losses and reversal of losses	(3,743,110)	(266,895)	(1,333,469)	-	(3,093,909)	-	(8,437,384)
Total insurance service expense	(7,113,785)	(470,431)	(2,441,041)	(1,951,742)	(4,001,687)	-	15,978,687

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Audited Financial Statements for The Year Ended 31st December, 2024

Notes To The Audited Financial Statements (Cont'd)

32a. Net income or expense from reinsurance contracts held

31st December 2024	Annuity	Protection	Investment	Group Life	Endowment	Investment	Total
	N'000	N'000	Linked	N'000	N'000	N'000	N'000
			N'000				
Reinsurance income	-	-	-	(79,409)	-	-	(79,409)
Reinsurance RA allocation	-	-	-	-	-	-	-
Allocation of reinsurer Insurance Revenue	-	-	-	(79,409)	-	-	(79,409)
Amounts recoverable for claims	-	-	-	-	-	-	-
Changes related to past services	-	-	-	(14,243)	-	-	(14,243)
Net income or expense from reinsurance contracts held		-	-	(93,653)	-	-	(93,653)

31st December 2023	Annuity	Protection	Investment	Group Life	Endowment	Investment	Total
	N'000	N'000	Linked	N'000	N'000	N'000	N'000
			N'000				
Expected recovery for claims		-	-	(151,834)	-	-	-151,834
Reinsurance RA allocation		-	-	(500)	-	-	-500
Allocation of reinsurer Insurance Revenue	-	-	-	(152,334)	-	-	-152,333
Amounts recoverable for claims		-	-	31,849	-	-	31,849
Changes in BEL related to reinsurance LIC	-	-	-	(24,987)	-	-	(24,986)
Amounts recoverable from reinsurer		-	-	6,863	-	-	6,863
Net income or expense from reinsurance contracts held		-	-	(145,471)	-	-	(145,470)

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Audited Financial Statements for The Year Ended 31st December, 2024

Notes To The Audited Financial Statements (Cont'd)

32b Insurance finance expenses

31st December 2024	Annuity	Protection	Investment Linked	Group Life	Endowment	Investment	
	N'000	N'000	N'000	N'000			
Insurance finance expenses							
Net finance expenses from insurance contracts							
Unwind of discount on FCFs: LRC	(1,548,235)	(1,619)	(202,151)	-	-	(358,894)	(2,110,899)
Unwind of discount on FCFs: LRC	(2,074,897)	(470)	(3,065)	-	-	(120,704)	(2,199,136)
Effect of change in economic assumptions: LRC	-	(529)	(17,086)	-	-	(72,316)	(89,931)
Interest accretion on CSM	(3,351,507)	(1,430)	(8,730)	-	-	199,008	(3,162,659)
Effect of change in Discount rate assumptions: LRC	-	-	-	-	-	-	-
Total Net finance expenses from insurance contracts	(6,974,639)	(4,048)	(231,032)	-	-	(352,906)	(7,562,625)

31st December 2023	Annuity	Protection	Investment Linked	Group Life	Endowment	Investment	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Insurance finance expenses							
Net finance expenses from insurance contracts							
Unwind of discount on FCFs: LRC	(3,631,707)	(4,782)	(396,502)	-	(24)	(546,062)	(4,579,077)
Effect of change in economic assumptions: LRC	(3,292,551)	(858)	(40,177)	-	-	(45,025)	(3,378,611)
Interest accretion on CSM		(5,946)	(51,487)	-	(6)	(68,566)	(126,005)
Effect of change in Discount rate assumptions: LRC	10,795,327	2,059	15,713	-	-	278,671	11,091,770
Total Net finance expenses from insurance contracts	3,871,069	(9,526)	(472,453)	-	(29)	(380,982)	3,008,078

Notes To The Audited Financial Statements (Cont'd)

33. Investment income

31st December 2024	Annuity	Protection	Investment Linked	Group Life	Endowment	Investment	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Fair value Gain or Loss	1,760,281	536	35,570	136,383	153,045	-	2,085,815
Dividend Income	1,270,544	2,074	22,456	85,904	96,400	-	1,477,388
Net impairment loss on financial assets	844	-	15	57	64	-	980
Total Net Investment Income	3,031,669	2,610	58,041	222,344	249,509	-	3,564,183

Investment income

31st December 2023	Annuity	Protection	Investment Linked	Group Life	Endowment	Investment	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Interest revenue on financial assets not measured at FVTPL	1,180,885	1,449	77,159	100,850	258,264	157,938	1,776,544
Fair value Gain or Loss	998,290	1,225	65,228	85,256	218,330	133,517	1,501,846
Other investment revenue	368,975	589	24,109	31,511	80,696	49,349	555,229
Net impairment loss on financial assets	(5,379)	(7)	(351)	(459)	(1,177)	(720)	(8,093)
Total Net Investment Income	2,542,771	3,256	166,144	217,157	556,113	340,084	3,825,525

Notes To The Audited Financial Statements (Cont'd)**34. Other income**

Rental income	77,673	95,622
Gain on disposal of PPE	337	-
Foreign exchange gain/(loss)	-	544,337
Sundry(loss)/ income	12,812	6,482
	90,822	646,441

34a Realised gain on disposal of investment in FGN bonds

Proceeds on disposal of FGN bond	-	-
Bond (FVPL) disposed	-	-
	-	-

34b. Realized gain on disposal of equity instrument

Proceeds on disposal of quoted equities investment	-	-
Net carrying amount as disposal	-	-
	-	-

35. Investment income

Dividend Income	1,477,388	12,823
Other Interest Income	-	191,753
Fair value Gain or Loss (Notes 36)	2,085,815	3,626,036
Net impairment loss on financial assets	980	(8,093)
	3,564,183	3,825,526

36. Fair value gain/(loss)

Fair Value Gain on Investment properties	2,345,499	1,501,846
Bonds	(75,319)	1,992,872
Quoted equities	(184,365)	131,318
	2,085,815	3,626,036

37. Profit/(Loss) from investment contract:

Investment income from investment contract liabilities	-	-
Deposit administration no longer required	-	-
Guaranteed interest	-	-
	-	-

38. ECL Impairment on assets

Provision on due from related party no longer required	-	4,713
	-	4,713

Notes To The Audited Financial Statements (Cont'd)

	2024 (N'000)	2023 (N'000)
39 Employer's benefits expenses and directors' remuneration		
39.1 Employee benefits expenses		
Wages and salaries	544,494	703,596
Other Staff Cost	170,124	243,157
Defined contribution pension costs	27,511	40,974
Defined benefit pension cost	2,137	7,588
	744,266	995,315

The average number of persons employed in the company during the year was:

	No.	No.
Executive Directors	3	2
Management Staff	5	7
Non Management Staff	76	105
	84	114

40. Other operating and administrative expenses

Directors' emoluments	8,775	25,846
Bank Charges	12,340	54,637
Auditors' remuneration	-	12,000
Depreciation	150,356	149,982
Amortisation on Rights of Use assets	73,158	95,472
Amortisation	12,067	14,013
Consultancy expenses	105,131	168,478
Security	7,916	12,929
Rent and rates	55,505	38,052
General maintenance and running costs	165,059	154,054
Advert and Publicity	22,816	179,907
Telecommunications	13,472	15,337
Dues and Subscription	2,159	15,848
Travels and accommodation	173,784	284,856
Insurance supervision fees	53,868	-
Insurance expenses	32,908	33,462
Printing and stationeries	1,663	10,021
Industrial training fund	817	10,620
Entertainment	7,794	22,212
Regulatory levies	-	28,746
Foreign exchange loss	209,636	458,701
Leasehold Amortization	-	12,134
Office ICT expenses	179,365	137,853
Donation	-	2,900
Office cleaning expenses	26,108	20,109
Medical Expenses	283	-
Other regulatory fees and fines	-	23,585
Other Administrative Expenses	19,545	48,980
	1,334,525	2,007,148

Notes To The Audited Financial Statements (Cont'd)

	2024 (N'000)	2023 (N'000)
41. ECL Allowance on cash and cash equivalents and Financial Assets		
Cash & Cash Equivalents	-	4,713
Amortised Cost-bonds	-	490
Agency Loans	(1,169)	(1,169)
Loans and Receivables	189	189
	(980)	8,093
42. Finance Cost		
Interest expense on borrowings	-	-
	-	-
43. Income tax expense		
Current tax on profits for the year (note 24)	6,117	3,678
Capital gains tax	-	-
Deferred tax charge for the year	-	-
	6,117	3,678

44. Capital commitments

There were no capital commitments at 31 December 2024 (2023: Nil).

45. Contingent liabilities**(a) Legal proceedings**

The Group is presently in fifteen (15) legal proceedings (2022 fifteen (15)), the cases arose in the normal course of business. However, the outcome of the cases will not give rise to any significant loss from the review case files and confirmation from the company's solicitor indicates that there were no material contingent liabilities in respect of pending litigations against the Group.

The Directors are of the opinion that all known commitments and liabilities which are relevant in assessing the situation of the company have been taken into consideration in the preparation of these financial statements.

The Company operates in the insurance industry and is subject to legal proceedings in the normal course of business. While it is not practicable to forecast or determine final results of all pending or threatened legal proceedings, management does not believe that such proceedings (including litigations) will have a material effect on its results and financial position.

However, due to the material amount and the relationship that exist between the parties, this pending litigation is disclosed between the entity and the management of its former associate company PAL Pension Limited now investment measured at Fair Value through other comprehensive income:

Notes To The Audited Financial Statements (Cont'd)

African Alliance Insurance Plc Vs Pension Alliance Limited - FHC/L/CS/193/2021.

The Petitioner is minority shareholder and holds 49 percent of the total share of the 1st Respondent. The outstanding 51 percent shares is held by First Securities Discount House (FSDH Merchant Bank Limited), the majority shareholder. The Board of Directors consisted of 12 members, in which the Petitioner retained a board seat, which was occupied by its erstwhile Managing Director, Mrs Funmi Omo. Following the resignation and exit from the Petitioner and the 1st Respondent in 2020, the Petitioner lost its only board seat. The Petitioner has proposed nominee to fill the causal vacancy created by the exit of its former Managing Director, its board nominee to ensure and protect its right of participation on the board of the company.

By Article 27 and 28 of the Article of Association of the 1st Respondent, the directors of the company are authorized to appoint new directors and an additional director to fill a causal vacancy, while the appointment is to be approved by members at the general meeting.

Since the Petitioner has no Director on the Board of the 1st Respondent, the majority shareholders have refused to appoint any director nominated by the Petitioner. The Petitioner is thus unable to participate in the management of the 1st Respondent despite being the only one shareholder aside the Majority shareholder.

The Majority shareholder acting through its nominated board of directors, has advantage of the Petitioner's lack of board participation to propose resolutions that are detrimental to the interest of the Petitioner.

In 2020, the Respondent in collaboration with the Majority shareholder proposed written resolution of the Board of Directors for increase of the 1st Respondent's share capital from N1,100,000,000 to N2,300,000,000 and authorizing the 1st respondent directors to raise up to N10,000,000,000 from local or foreign investors.

The Petitioner opposed this on the basis that share capital can be increased by special resolution passed at general meetings and the proposed capital dilutes the Petitioner's equity and violates the Petitioner's preemptive rights including the re-election of exiting directors and appointment of a non-executive director.

The petitioner thus filed this action for minority protection. It also filed a motion for interim and interlocutory injunctions asking for restraining orders. The Honourable court granted the application for interim injunction and the matter was adjourned to 17th January 2022. The 1st, 2nd, 3rd and 4th Respondent entered their appearance in the suit and filed an application before the court.

Financial implications

In granting the interim order, the Honourable court ordered the AAI file a written undertaking to compensate the Respondent in damage if the interim order of the court ought not to have been made in the first instance. In the unlikely event that the Honourable Court holds that the order ought not to have been granted, the financial implications of the suit will be limited to the reasonable damages that the court will order to be paid to the Respondents. There are also the ancillary expenses for prosecuting the suit.

Notes To The Audited Financial Statements (Cont'd)

46. Comparative figure

Where necessary, comparative figures have been adjusted to conform with changes in the presentation of the current year financial statements.

47 Segment reporting

For management purposes, the Company is organised into business units based on their products and services and has two reportable operating segments as follows:

Group Life

The group life insurance segment offers pure protection products and other long-term insurance contracts for employers of labour covering their workforce. It is purely a protection policy that pays benefit on the death of the life assured occurring within the period of insurance. Revenue from this segment is derived primarily from insurance premium, fees and commission income and investment income.

Individual Life

The individual life insurance segment offers savings, protection products and other long-term contracts (both with and without insurance risk for policyholders on individual basis. It comprises a wide range of whole life, term assurance, guaranteed pensions, pure endowment pensions and mortgage endowment products. Revenue from this segment is derived primarily from insurance premium, fees and commission income and investment income.

Investment contract

The investment contract segment offers savings, investment and other long-term contracts for both individual and group contract holders.

No operating segments have been aggregated to form the above reportable operating segments. Segment performance is evaluated based on profit or loss which, in certain respects, is measured differently from profit or loss in the financial statements. The Company's financing and income taxes are managed on a group basis and are not allocated to individual operating segments.

Notes To The Audited Financial Statements (Cont'd)**48. Restatement of Prior Period Financial Statement**

Subsequent to the issuance of the financial statements for the year ended 31 December 2023, Management performed a review of the accounting treatment and presentation of certain payable balances.

Following the review, adjustments were identified as necessary to align the carrying amounts of the affected liabilities with the underlying obligations of the Company. Consequently, the comparative figures have been revised to reflect the appropriate recognition and presentation of these balances.

The revisions have been applied retrospectively in accordance with **IAS 8 – Accounting Policies, Changes in Accounting Estimates and Errors**, and the impact on the previously reported financial statements is summarised below.

Impact on Statement of Financial Position As of 31 December 2023

	PREVIOUSLY REPORTED	ADJUSTMENT	RESTATED
Retained Earnings	(39,967,227)	(1,255,384)	(41,222,611)
Trade Payables	1,649,987	1,255,384	2,905,370

Deferred Tax

This is a correction of a prior-period error under IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors. The deferred tax liability opening balance of ₦561.869 million reported in the prior year was incorrect due to a transposition/misclassification error.

The correct opening balance was ₦92.107 million. Consequently, the apparent reversal of ₦469.762 million does not represent the reversal of taxable temporary differences but the correction of a prior-period error.

The deferred tax liability note has been adjusted to reflect the correct deferred tax liability.

STATEMENT OF VALUE ADDED

	2024		2023	
VALUE ADDED	₦'000	%	₦'000	%
Insurance revenue			7,212,520	
Claims and benefits			(3,641,878)	
Amortisation of acquisition cost			(1,348,408)	
Investment income			1,053,966	
Other service expenses			(2,092,933)	
Value Added			1,183,268	100
			8	
Applied as follows:				
Employees:				
Employees benefits expenses			791,938	67
Government:				
Income tax			4,997	0
Retained for business expansion:				
Depreciation of property, plant and equipment			71,980	6
Amortisation of intangible assets			10,985	1
Profit for the year			303,368	26
			1,183,268	100
			8	

Value added represents the additional wealth the Company has been able to create by its own and its employees' efforts.

This statement shows the allocation of the wealth between employees, shareholders, government and that retained for the year.

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Audited Financial Statements for The Year Ended 31st December, 2024**FIVE YEAR FINANCIAL SUMMARY****Statement Of Financial Position As At 31st December 2024**

	IFRS 17 – 2024	IFRS 17 – 2023 Restated	IFRS 17 – 2022	IFRS 17 – 2021	IFRS 4 – 2020
	N'000	N'000	N'000	N'000	N'000
Cash and cash equivalents	748,979	739,360	739,360	739,360	739,360
Trade receivables	-	-	-	-	-
Deferred acquisition cost	-	-	-	-	-
Financial assets	31,874,763	33,238,568	33,237,789	33,237,789	33,237,789
Reinsurance assets	-	-	-	-	-
Reinsurance contract assets	117,308	135,120	104,553	104,553	104,553
Prepayments & other receivables	613,796	653,727	653,727	653,727	653,727
Investment properties	15,079,500	12,734,000	12,734,000	12,734,000	12,734,000
Investment in subsidiary	105,000	105,000	105,000	105,000	105,000
Deferred tax asset	146,476	146,476	146,476	146,476	146,476
Intangible assets	20,718	156,738	32,785	32,785	32,785
Property plant and Equipment	543,754	684,688	684,688	684,688	684,688
Right use of asset	50,795	123,952	123,952	123,952	123,952
Statutory deposit	200,000	200,000	200,000	200,000	200,000
Total Assets	49,501,090	48,793,677	48,762,330	48,762,330	48,762,330

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Audited Financial Statements for The Year Ended 31st December, 2024**FIVE YEAR FINANCIAL SUMMARY CONT'D****Statement of Profit or Loss As At 31st December 2024 Cont'd**

	IFRS 17 – 2024	IFRS 17 – 2023	IFRS 17 – 2022	IFRS 17 – 2021	IFRS 4 – 2020
	N'000	N'000	N'000	N'000	N'000
Insurance contract liabilities	37,412,939	40,849,131	40,849,131	40,849,131	40,849,131
Investment contract liabilities	2,428,773	2,919,135	2,919,135	2,919,135	2,919,135
Reinsurance contract liabilities	-	-	-	-	-
Trade payables	3,443,737	2,905,370	,649,987	,649,987	,649,987
Other payables & accruals	882,387	612,332	611,550	611,550	611,550
Provisions and accruals	-	-	23,131	23,131	23,131
Employee benefit liability	60,531	48,325	47,346	35,652	49,732
Borrowing	-	-	22,444	54,034	252,759
Income tax liabilities	567,981	561,865	558,187	582,882	600,123
Deferred tax liabilities	92,107	92,107	92,107	92,107	92,107
Total Liabilities	45,511,898	47,976,396	46,001,605	44,996,422	58,517,047
Issued share capital	10,292,500	10,292,500	10,292,500	10,292,500	10,292,500
Share premium	14,365,133	14,365,133	14,365,133	14,365,133	14,365,133
Contingency reserve	2,157,966	1,983,877	1,922,695	1,854,544	1,570,986
Fair value reserve	15,398,382	15,398,382	15,398,382	1,616,522	4,214,472
Retained earnings	(38,224,789)	(41,222,611)	(37,457,344)	(32,421,384)	(34,938,147)
Total Equity	3,989,192	817,282	4,521,365	(4,292,685)	(4,495,056)
Total Liabilities and Equity	49,501,090	48,793,677	50,522,970	40,703,737	54,021,991

FIVE YEAR FINANCIAL SUMMARY CONT'D

Statement of Profit or Loss as At 31st December 2024

	IFRS 17 – 2024	IFRS 17 – 2023	IFRS 17 – 2022	IFRS 17 – 2021	IFRS 4 – 2020
	N'000	N'000	N'000	N'000	N'000
Gross premium written					
Insurance revenue	10,252,051	7,089,169	8,118,388	6,158,340	5,963,632
Profit/(loss) before taxation	(993,959)	(4,552,695)	(4,685,150)	2,835,487	2,013,936
Income tax expense	(6,117)	(3,678)	(5,304)	(35,265)	(46,218)
Profit/(loss) for the year	3,171,909	(4,556,373)	(4,679,846)	2,800,322	1,967,718
Basic earnings/(loss) per share (kobo)					